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BAHIR DAR UNIVERSITY

FACULTY OF LAW

CIVIL PROCEDUR I

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April 1999 E.C

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MODULE INTRODUCTION

My dear distance learner, first and for most, I would like to welcome you to the study of the course on Law of Civil Procedure. Till now, you have studied and completed a number of courses on the substantive laws, which deal with the notion and definition of rights, privileges and duties of citizens. This course is a complete move to study the mechanism by which the rights created by substantive Laws can be enforced. Therefore, to fully understand the ideas in Civil Procedure, you will be required to remember related notions studied in the courses such as the law of Contracts, Family Law, Law of Succession, etc. Thus this course will enable you to be practical and to put what you know in theory into practice.

The whole study of Civil Procedure is divided into two courses Civil Procedure I and Civil Procedure II. These two Courses, though categorized into two-semester courses, should not be taken as unrelated or having no interdependence. They are two aspects of the same subject-matter, and the division is dictated only by convenience or consideration of time.

This course, Civil Procedure I, is a three credit hours course and it is meant to lay the basic rules of procedure in litigating civil cases. It serves as a key to unlock some very important problems of procedure with respect to stages in civil litigation.

In studying and better understanding this course, this writer will advise the distance student the following facts. This material is not designed to consider every issue that may arise in the area of Civil Procedure I. This Module rather is intended to discuss and enable you to tackle the fundamental and representative issues in the area. In doing so, you are expected to read and understand the rules enshrined in the Civil Procedure Code of Ethiopia, and Proclamation No. 25/96, which provides for the Powers and Jurisdiction of Federal Courts in Ethiopia. If possible, you are advised to refer both the Amharic and English versions of the Code & the Proclamation.

For your convenience, I have reproduced the whole text of the said Proclamation, Proc.25/96 at the end of the First Module, and pertinent provisions of the Civil Procedure

Code are also reproduced in the discussions, where necessary. So you are advised to refer and analyze them seriously.

The course is divided into six Chapters. The first chapter will introduce you to the general notion or the subject matter of civil procedure. It provides for the definition and nature of Civil Procedure. The second chapter discusses procedural systems in general, and the system of procedure in Ethiopia. The comparison between the systems of procedure in the two major legal systems is also given a place.

Once you decide to take a civil action, the first question that you must answer is where suit may be taken. This is the question of jurisdiction. It is discussed in the third chapter. It lays down the most important fundamental elements of jurisdiction. For a court to litigate a case, it must have all the three elements cumulatively: judicial, material and local jurisdiction. The fourth chapter addresses issues with regard to the parties and the dimension of disputes. In ordinary litigations, we will have one plaintiff and one defendant. But in some cases, the dimension of the suit may be expanded due to the existence of more than one party as plaintiffs or defendants. So, how to manage the dimension of suits in such cases will be discussed in this same chapter. Who can be a party to a suit? This is a very curtail question. There arises the question of who can sue or be sued, who can be joined as plaintiffs, or defendants, what claims may be joined as parties.

The next question is all about how to prepare the suit. This involves organizing and filing the suit. This is all about pleadings. The issues here rotate around the form of pleadings, the content thereof and types of pleadings. They are addressed in the fifth chapter. The fifth chapter is devoted to discuss what we call pleadings. At this stage, we will consider what pleading is meant and how pleadings are submitted to and examined by the court.

In the last chapter, we will discuss service of process, the process by which the defendant is to be served with summons to enable him to realize that a suit has been instituted against him and to prepare his defence.

Summaries, activities and self-check-exercises are in place at the end of each chapter. Activities and self-check exercises are very important tools to check your understanding, and hence they deserve special emphasis so that you will be better off if you attempt all of them by yourself before resorting to the key answers I have given you at the end. Test the fun of knowing Civil Procedure I. CHEERS ☺ ☺

Course Objectives

After successfully studying the Module, the student will be able to

- Define Civil Procedure and identify its nature
- Explain the purpose and function of Civil Procedure
- Differentiate procedural rules from substantive ones
- Enumerate the basic features of procedure in general and civil procedure in particular
- Identify the jurisdiction of courts
- List out the requirements to be a party to a civil litigation
- Describe procedural systems of the world and the system of procedure in Ethiopia.
- Define the basic rules of pleading and develop the skill in preparing pleadings
- Enumerate and apply the steps to be followed in serving summons

CHAPTER ONE

INTRODUCTION TO CIVIL PROCEDURE

Chapter Introduction

This is the first Chapter of the course, which introduces the definition, nature and scope of procedure in general, and civil procedure in particular. The Chapter provides you with the purpose of civil procedure by making a clear distinction between rules governing civil procedure and other rules such as those of the substantive law. It also deals with the administration of justice in Ethiopia with regard to civil cases by considering the laws applicable on the matter of civil procedure in Ethiopia. You are advised to refer pertinent provisions of the Civil Procedure Code and Proc. 25/96.

Objective

At the end of this Chapter, students are expected to:

- define procedure in general & civil procedure in particular;
- explain the purpose & scope of civil procedure;
- discuss the past & present judicial system in Ethiopia concerning civil cases;
- enumerate the sources & applicable rules on civil procedure.

1.1. Definition

The subject Civil Procedure concerns the societal process for handling disputes of a non-criminal sort. The term “civil” refers to the private rights and remedies of a citizen or pertaining to the ordinary life and affairs of a citizen, as distinguished from ecclesiastical, criminal political etc. And “procedure” refers to the mode or form of conducting judicial (or other) proceedings in a prescribed course of action to enforce the legal right. Taking together the two terms, therefore, civil procedure refers to the procedure that is followed to enforce the private legal rights, privileges and remedies pertaining to the ordinary life

and affairs of a citizen by the appropriate legal tribunals. In other words, it is the procedure that deals with the rules and principles applicable in resolving **civil cases** or disputes only as opposed to criminal cases.

? Dear student, what is a civil case?

A civil case is a personal action which is instituted to compel payment, or the doing of some other thing which deals with that which constitute an infringement or privation of the private or civil rights belonging to individuals. Hence, a civil case is one that is instituted by a person against another for the purpose of obtaining redress for a wrong allegedly committed against him. The person who initiates a civil case is called the **plaintiff**, and the person who is sued is called the **defendant**.

? How can you distinguish civil cases, especially, from that of criminal cases?

As opposed to a civil case is a criminal case, which is instituted by the government for the purpose of securing obedience to its laws by incapacitation or correction of the lawbreaker, and a separate body of law i.e. the criminal procedure governs the litigation.

In making distinctions whether cases are civil or criminal, the following indices may be employed.

The first factor to distinguish civil cases from criminal ones is the identity of the parties involved in a suit.

? Dear student, who are the parties to a civil case and a criminal case?

Parties involved in a civil case are individual persons (natural or artificial). Most importantly, a civil case is instituted by a person who claims redress for some wrong alleged to have been committed against him. This means that it is the aggrieved party who initiates a civil case, and the state is not directly concerned as a party in the proceeding. Here the form is __ **Individual vs. Individual** (the individual being a private human person, or a legal person, or the government when it acts in its private capacity).

Instances of civil cases, to name some, are: disputes between spouses, contracting parties, parties to a tort action, or disputes between business enterprises.

On the other hand, parties to criminal cases are **the state and an offender**, who is alleged to have committed a crime. This means that criminal cases are initiated by the **public prosecutor** who represents the state though in rare cases the victim may be allowed to prosecute when the crime committed relates to an offence upon complaint. The Criminal Code lists down those offences that are offences upon complaint. Dear Student, you are advised to read your material on the Criminal Law of Ethiopia.

The other factor which determines whether a case is civil or criminal depends on the purpose for which the case is instituted or the relief demanded. The remedy demanded in civil cases has to do mostly with **pecuniary interests**. There can be an award to the prevailing party of damages, or restoration of property, or an order to the defendant to do or not to do something, as by an injunction or an order of specific performance. The relief has nothing to do with the privacy or liberty of the defendant i.e. the court cannot impose the arrest or detention of the person who is alleged to have committed a civil wrong.

? Why does the state institute a criminal proceeding?

In criminal cases, on the other hand, the relief demanded is to maintain peace and order by incapacitating or punishing the wrongdoer/lawbreaker. Its main objective centers on the rehabilitation of the lawbreaker rather than compensating the wrong done against the victim.

Related to the second factor of distinguishing a civil case from that of criminal is the relief that will be given. While the relief given in civil case, i.e. the compensation, directly compensates the victim, in criminal cases, the relief is meant to maintain public order. A criminal proceeding is an action instituted by the State in its own name against a person who is accused of committing a crime to punish him thereof. As distinguished from a civil proceeding which is for the redress of a private injury, the purpose of conducting a criminal proceeding is fixing the guilt of a crime.

Moreover, civil cases are subject to negotiation, arbitration or compromise by the parties which is not the case in criminal cases unless the offence is an offence upon complaint. The public prosecutor prosecutes the suspect regardless of the negotiation he made with the victim. This is to mean that parties to a civil case are at liberty whether to bring a court action or not, and they can withdraw even after the case is lodged to a court.

Dear student, are you able to define civil procedure now and distinguish it from criminal procedure?

N.B. The same act may constitute both a civil wrong and a penal offence.

1.2. Purpose and Nature of Civil Procedure

? What is the purpose of civil procedure?

Have you tried to answer the question? Trials occur because there are questions of law and of fact, and the object of a lawsuit is to get at the truth and arrive at the right result. This greatly is the sole object of the judge, and litigants should never lose sight of the objective that the end purpose is to win for his side. If so, how is this goal achieved?

1.2.1. Purpose of Civil Procedure

To understand the purpose of civil procedure and to achieve the end result intended by the same, it is important to know the most important stages designed to serve some function in the life history of a civil case.

? What are the stages in a civil case?

Once it has been decided to litigate a case, the first issue that the would be plaintiff must address is whether his case can be decided by a court of law and the law furnishes him relief. This is because to initiate a civil action one must have a redressable claim at law. This is elucidated by the following example.

Eg. Ato Gidyelew was a very indigent person who used to be assisted by his son Habtamu. Unfortunately, Ato Gidyelew was killed by a car accident caused by Mr. John. His son, Habtamu, felt much aggrieved at losing his father due to the car accident even though he has suffered no material damage as a result of his father's death. What legal redress does he have? Write your answers in the space provided below.

Of course, Ato Habtamu has felt very much hurt but his grievance is not redressable at law for he has suffered no material damage.

However, if it is ascertained that the grievance is redressable at law, series of questions ranging from deciding where to take the suit, how to make the potential defendant know that he is sued, how to frame issues and produce evidence, etc will be identified. This is a process which presupposes the existence of a pre-defined procedure, which enables us to handle the stages pointed out in a fair and orderly way. Hence, the purpose of civil procedure is to insure that legal disputes (civil) will be handled in a fair and orderly way and as expeditiously & economically as possible.

Note: When we explain the components, it means;

Fair = to provide for equal treatment of the interests of the parties in enforcing their rights and duties,

Orderly = to lay a well arranged ground for smooth and well-behaved flow of litigation,

Expeditiously = to get cases decided with speed and efficiency: cases must not stay undecided in court for a long period and parties must not waste unnecessary time (note The Right to Speedy Trial),

Economically = to litigate cases at a possible lower cost; to be careful in the spending of money and in the use of resources, the expense of the parties as well as the court must be taken into consideration when conducting a civil litigation.

To put it in a nutshell, the purpose of civil procedure is to secure the fair, orderly, speedy and inexpensive dispositions of cases in adjudicating, determining and enforcing the rights, privileges and remedies as defined under the substantive law. This takes us to the nature of civil procedure

1.2.2 Nature of Civil Procedure

? What is the nature of civil procedure?

Civil procedure, as we discussed earlier, is the method employed to enforce substantive civil rights by the appropriate legal tribunals. This implies that it is not an end in itself, but a means to the end. It does not have independent existence. And it presupposes the existence of substantive laws: it has utility only in so far as it enables the courts to enforce rights defined by the substantive law. It forms the main part of what is called **adjective law**.

? What is adjective law?

One way of classifying law is classifying it into **substantive** and **adjective**.

Substantive law simply is part of the law which creates and defines rights, privileges and duties. It provides rules governing a day-to-day conduct or behavior in the society and it indicates conditions in which legal tribunals are expected to grant remedy to those who are aggrieved. It forms the greater part of law. Instances of the substantive law include the law of Torts, Contracts, Family, Persons, etc. However, it does not tell us the ways of resolving in violation in case the rights defined are violated.

Part of the law dealing with how rights, privileges and duties are enforced is called **adjective law**, procedure being its main part. The other major parts of adjective law are Evidence Law and Private International Law. Ethiopia does not have a comprehensive and coded Evidence and Private International Laws, although some provisions of the

Civil Procedure Code and the substantive codes deal with evidence, and some internationally accepted legal principles are applied on cases involving questions of private international law. Anyways, in the broad sense, adjective law refers to any area of law not classified as "substantive".

The procedural laws, in which claims of persons are adjudicated, are in turn classified in to

- a) Civil Procedure, the procedure that is followed in civil cases, to compensate the wrong allegedly done;
 - b) Criminal Procedure, the procedure which is followed in criminal cases to incapacitate & rehabilitate the wrongdoer; and
 - c) Administrative Procedure — that which is applied in administrative cases by the executive branch of government to enable the administration to make efficient, economical and justifiable decisions. The executive branch has quasi — judicial power.
- (For a better understanding, please refer your discussion on distinguishing civil cases from that of criminal ones)

Since substantive law creates rights, duties and remedies, some people contend that the substantive law is more important than the procedural laws. Do you agree with? Why not? Does the existence of rights without the enforcement thereof bake any bread?

The rights, privileges and duties a person may have against another will mean nothing unless they can be enforced. In general, it is the function of adjective laws to ensure that such rights and duties are enforced, and for all practical purposes, they will be meaningless without an effective system of procedural law. It is here that the importance of adjective law in general and rules of procedural law in particular and that of civil procedure come into being. This is why civil procedure is just as important as any of substantive laws like Family or Contracts. It is civil procedure, for example, which determines how the rights and duties of spouses as defined by the family law are adjudicated.

? Dear student, what is your position now? Do you agree that rules of procedure are equally important?

Among other things, rules of civil procedure are found mainly in the Civil Procedure Code of 1965, Proc. 25/96 together with its Amendment Proc. No. 138/98, a Proclamation which provides for the Establishment and Jurisdiction of Federal courts, etc.

? Dear student, do you know any distinct law which incorporates rules of civil procedure in Ethiopia? Try to mention as much as you can in the space provided below.

1.3 Fundamental Procedural Principles

As opposed to any specific direction governing any particular instance, there are some procedural guidelines which are of fundamental importance in guiding how the procedure is to be conducted. Such fundamental procedural principles apply to all procedural rules, be it civil, criminal or administrative. They serve as grounds on which a suit or proceeding may be instituted and a case decided. Since they form the foundation of all procedural rules, any procedural rule is built on the basis of them.

? What are Fundamental Procedural Principles?

I have provided you with three of them. Try to list out as much as you can:

A. Fair Hearing of a Suit

Democratic societies are characterized by a democratic legal system where there is an independent, fair and competent judiciary to interpret the laws governing the society. The judiciary as an institution in general and judges in particular should be independent. This is mainly because courts secure public confidence only where the institution itself and judges have integrity and independence. Their integrity and independence can be inferred from their freedom to act without fear and favor.

? Does the independence of the judiciary mean the independence of judges?

Independence of the judges, however, does not mean that they can act arbitrarily. They shall be directed by the law and shall treat both parties in an equal manner. Since constitutionally all persons are equal before the law, there should not be a bias and discrimination between the parties on the basis of irrelevant considerations such as race, nation, nationality, or other social origin, color, sex, language, religion, political or other opinion, property, birth or other status. The court shall give equal chance to both parties to participate in the litigation process. To conclude, we say there is fair hearing if the parties are treated based solely on the law.

? Do you see any nexus between this procedural principle and the right to equality as incorporated in Art.25 of the FDRE Constitution?

B. Public Hearing of a Suit

? What does the term “hearing” refer to?

Hearing means a judicial session held for the purpose of deciding issues of fact or that of law. It refers to all stages of the trial of a suit, namely, settling of issues, taking and production of evidence and hearing of arguments or other proceedings tending to a final adjudication of a suit. Generally, the trial of a suit is called **hearing** and technically considered, this includes not only the introduction of evidence and arguments, but the pronouncing of the decree by the presiding judge.

? When do we say hearing is public?

In any suit, there should be a hearing process, and hearing is constituted when and party institutes a suit to a court of law, the other party should be communicated as to the fact that he is sued and he should be given the chance to present his version of the suit. In any way, the court to which a suit is filed should not make any decision without informing and demanding the other party to defend the case instituted against him.

Unless otherwise some exceptional conditions are met, all cases shall be heard in open court. This means that the hearing to be carried out by a court must be open to every one so that the public at large will have access to observe the justice — making process. This

ensures the transparency of courts, and strengthens the principle which says "Justice should not only be done but should also be seen done." Public hearing is also provided under Art 19(1) of the FDRE constitution and under Art. 26(1) of Proc. 25/96.

? Do you think that all hearings are always public?

Public hearing is the principle. Exceptionally, however, cases may be heard in camera where the case involves issues of **public and state safety and security**, and if the case is believed to affect **public morality and decency**. (Refer Art 26(2) of Proc. 25/96). When a case is determined to be heard in camera, no one except the parties, their advocates and witnesses is allowed to enter a courtroom and observe the litigation of the parties.

? My student, can you think of instances of cases to be heard in camera, which are believed to affect **public morality and decency**?

C. Duly Established and Constituted Court

This is one of the most important fundamental procedural principles that a court which entertains the case must be a court which is duly established and instituted .Unless established by law, courts cannot engage in judicial functions. There must be a specific law, usually the constitution that determines the power and procedure based on which courts exercise judicial power.

? My dear student, what do we mean by court and duly established court?

By court, we mean a body in the government to which the public administration of justice is delegated. It is a tribunal empowered to hear and determine issues between parties upon pleadings, either oral or written, and upon evidence to be adduced under well-defined and established rules, according to settled rules of law. Such a tribunal should be duly constituted by law.

? What is the legal basis for the establishment of courts in Ethiopia?

The judicial power of Ethiopia is vested in courts established by law. The 1995 FDRE Constitution provides for the legal basis for the existence of federal and regional courts under its Articles 78 and 79. So, at the Federal level, we have the Federal Supreme Court, the Federal High Court and the Federal First Instance Court, even though the establishment of the Federal High Court and First Instance Court is not mandatory. And at a state level, we have the State Supreme Court, the State High Court and the State Woreda Court.

Based on the above Constitutional provision, the House of Peoples' Representatives has now proclaimed Proc. 25/96 to establish Federal Courts in Addis Ababa and Dire Dawa, and Regional States have also come up with legislations to establish courts in their respective regions. For instance the Amhara National Regional State has come up with a proclamation to establish the power and jurisdiction of Social Courts in the Amhara Region (Zikire Hig Proc. 20/96). This is how courts are established and duly constituted. The Constitution also under its Art 78(4) declares that special or temporary bodies that do not follow the procedure prescribed by law and take away judicial functions from regular courts cannot be set up. Such courts are what we call **Kangaroo court**. This prohibits the

executive branch to establish special courts by directives and to give judicial power for them to discharge special purposes.

? Do we have special courts in Ethiopia now? During the Dergue?

In anyways, a decision rendered by such organs shall be of no effect since it will contradict with the Constitution (Art. 9(4) Constitution.) So, existence of duly established court is one of the most important fundamental principles of procedural laws.

SUMMARY

For the purpose of simplicity and clarity, laws may be classified into substantive and procedure. Procedural laws enforce substantive laws, and civil procedure is the law which enforces substantive civil rights, privileges and duties. It is all about the procedure followed in civil litigations. It is the means followed to the end of putting substantive laws into practice.

The main purpose of civil procedure is to adjudicate civil disputes in an efficient, economical and justifiable manner. If there were no procedural rules, the parties & the courts would have been very much confused and ended up in wastage of scarce resources. A dispute could not have been decided in reasonable time, resulting in delay or denial of justice. Hence, it has the purpose of ensuring the handling of disputes in a fair and orderly manner at a minimum cost & speedily. That is why we safely say that the rules of procedure guide the court and the parties how and when institute an action, and how to proceed in each step.

The Civil procedure law is as important as the substantive laws. Even in some Common law jurisdictions greater weight is given to procedural laws.

Once a person decides to litigate a his case, he must first know the rules which govern the steps in the process. The important steps to be followed in litigating a civil case may be summarized as institution of the suit in a proper court, serving the defendant with summons, preparing the statement of defence, adjudicating the case, trial, judgment, enforcing the judgment, and if any reviewing the judgment. These major steps will be discussed in the coming chapters.

Self-check Exercises

1. How do you define civil Procedure?

2. What are the main differences between a civil case & a criminal one?

3. What functions does civil procedure have?

4. Civil procedure is not as important as the substantive law. Do you agree?

5. How is public hearing considered as one of fundamental procedural principles?

CHAPTER TWO

PROCEDURAL SYSTEMS AND THE JUDICIAL SYSTEM OF ETHIOPIA

Overview

Every system of procedure does not develop in a philosophical vacuum. The modes of conducting judicial proceedings and the system of dispute settlement are established based on the philosophical thinking of different legal traditions. Among others, there are some differences between the common law legal traditions concerning the modes of litigation though the purpose is to achieve the same goal i.e. to dispense justice.

The formal system of procedure in Ethiopia was established in an organized form in the 1940s and 1950's. At these times, the courts were empowered to adjudicate civil and criminal cases. Then after, the court system and the system of procedure has become a clear manifestation of the change in the ideology and structure of government. In this chapter, we will first discuss major procedural systems in the world, and then see the judicial system of our country, Ethiopia, next. How an independent system of administration of justice is started in the country will be discussed in details.

Objective

My dear student, welcome to the second chapter of Module One. After studying this chapter, you will be able.

- to identify the procedural system employed in dispute resolution in different legal systems;
- to compare and contrast the adversarial and inquisitorial litigation systems;
- to identify and define the litigation system of Ethiopia

2.1. Procedural Systems

By procedural system we mean the mode or form of conducting judicial proceedings. Different legal traditions follow, to some extent, different systems for dispute settlement and hence every procedural code mostly establishes the purpose for which it is intended and the mode of litigation. Concerning the mode of litigation, there are some differences especially in the common law and civil law legal traditions. Hence, the system of procedure for settling disputes can be categorized into either adversary or inquisitorial.

2.1.1. Adversarial System of Litigation

Adversary proceeding refers to a proceeding involving a dispute between opposing parties having interests for the preservation for which opposition is essential.

? My dear student, what are the distinguishing features of adversary system of litigations?

In this system of litigation, it is the parties themselves or their lawyers who play a tremendous role in conducting the litigation and control the proceedings in a court of law. They initiate, shape and fix the scope of the litigation. The burden to present claims, defences, to collect relevant evidence, and to examine witnesses is shouldered by the parties or their advocates. The judge is neutral and hence plays a relatively passive role throughout the litigation. The plaintiff and the defendant, assisted by their lawyers have to raise points and produce evidence. The judge does not as such order the parties to present further evidence. What the judge does is simple to make an inquiry into the substance of the litigation, to ensure whether the parties are acting in line with procedural rules, to record what is said by the parties, to render rulings on objections raised by the parties and finally to render decisions.

This system of litigation is the practice in most common law countries.

? Is the Ethiopian system of litigation the adversary one?

2.1.2. Inquisitorial System of Litigation.

This system of litigation refers to the judicial inquiry or investigation of cases. In this system, the judge plays a prominent role in resolving the case.

? What does to inquire mean?

"To inquire" means to seek knowledge by putting a question and to make an investigation or inquisition. So, as the term itself implies, in this system of litigation, the judge can inquire into the merit of a case to decide on what real disputes parties have. In countries where pure inquisitorial system of litigation is practiced, the parties do not have the chance to cross-examination. They will forward any questions or examination via the judge. If the judge believes that a fair decision cannot be given, he can order the production of further evidence of its own motion. Of course, like adversary system, parties initiate, shape and fix the scope of the litigation. However, unlike that of the adversary system, they are subject to the inquiry of the judge at any stage of the litigation. This system is highly practiced in most civil law countries. My dear distance student, are you now clear with and inquiry?

? What are the main differences between adversary and inquisitorial litigation systems?

In the civil law legal tradition, litigation is divided into 3 stages; preliminary stage, trial stage and decision stage. At the first stage, otherwise called pleading stage, the court will appoint to hearing judge (a judge magistrate) who sends summons to the defendant. He is not the judge to give verdict. He simply hears and records the words of witnesses which will be transferred to the presiding judge. After evidence is heard, the role of the hearing judge comes to an end and finally decision will be rendered by a judge other than the hearing judge. In common law legal tradition, on the other hand, there is no such division, but the jury system

? What is the jury system?

The jury system refers to a body of laymen selected by lot, sworn to inquire, ascertain and try the facts of a case under the guidance of a judge, or the truth in question of fact arising in sessions cases upon such evidence as shall be delivered them in a cause; and they are swarm judges upon evidence in matter of fact.

In this system of litigations, the parties will present their arguments and witnesses will thereby be presented by the parties (**the trial stage**), the other party will be given the chance to cross-examine, objections will be made (**concentration stage**-since many jobs are done here at once.). Based on the finding of the jury on the question of fact, the judge will give decision on the spot.

? My dear student, which system is better?

From the point of time and economy, the concentration in common law is better. Moreover, in the civil law system of litigation, there is only one hearing judge. So, he may forget or fail to appreciate what the witnesses said. In this manner again, the jury system in common law is better. On the other hand, the jury is constituted of laymen. Since they are not professionals of law, they may be easily influenced. From this stand point, therefore, the inquisitorial system in the civil law tradition is better.

? How is the Ethiopian system of litigation defined?

Try the answer by yourself in the space provided and cross-check your answer with the discussion in the next sub-section.

2.1.3. The Ethiopian System of Litigation

Our system of litigation is defined in accordance with our need. Traditionally, most provisions of the substantive laws of Ethiopia traces back to the Roman Law and there was little emphasis on procedure. Many of the provisions of the civil procedure code of the country were based on the Indian Code of Civil Procedure, a common law origin. However, since the borrowing of procedural provisions from Indian Code of Procedure was highly selective, in some instances, the Code also incorporates civil law origin provisions of law. So, it is a distinct Code, which reflects a mixture of both adversary and inquisitorial systems of litigation. It differs from both in that;

1. There is no jury. The judge has to ask the parties (probably because the majority of the people i.e. the peasantry do not know how to ask). Elements of inquisitorial system are reflected (refer Arts.241, 249, 261, 264 & so on of the Civil Procedure Code of Ethiopia.).

2. Absence of clerks. In the civil law tradition, it is the hearing judge who hears the testimony and there is a clerk who records. The note recorded will be sent to the deciding judge. We call this system MEDIACY. But in Ethiopia, there is no distinct clerk as such. The judge himself will take the notes, and he will entertain the case.

To conclude, the procedural system adopted by the Ethiopian Civil Procedure is a mixture of both the adversary and inquisitorial systems though it seems to be tilted towards an adversary one.

2.2. The Judicial System of Ethiopia

Overview

Even though there were some procedural rules in the country, the cornerstone for the law of civil procedure in Ethiopia was laid down by the Administration of Justice Proclamation of 1942. And a complete Civil Procedure Code emerged as a Decree in 1965. This Section deals with the establishment and development of the court system of Ethiopia. The discussion in this system culminates in addressing issues concerning the current Federal Court system in Ethiopia.

Objective:

At the end of completely studying this section, the distance student will be able:

- to compare and contrast the then and the present judicial system of Ethiopia;
- to explain the differences and advantages of federal and unitary court system
- to identify the Ethiopian procedural system

? How do you identify the judicial system of Ethiopia?

Ethiopia had been under traditional systems of administration of justice for a greater part of its history. Until the end of the 19th C, there was no established and uniform hierarchy of courts, no established procedure for hearing cases, and no clearly determined law governing affairs of persons and there was no established legal profession and judicial system at all.

Disputes used to be settled by different mechanisms developed by various parts of the country. Local leaders, elders, tribal chiefs used to settle disputes by applying informal procedures of arbitration on the basis of local customs. At the lowest level, this means was the mechanism frequently used for the resolution of disputes and conflicts. If this system did not resolve disputes, the aggrieved party could go to the lowest level court official judge known as the "Chiqa Shum". A complainant against the "Chiqa Shum" could be filed to deputy governor whose decision is appealable to the governor of the particular area. The decision given by the governor, upon approval by "Womber Rases" that time located at Addis Ababa, used to be seen through appeal. The Afe Negus had appellate jurisdiction over the decisions of "Womber Rases". As a last resort, if the said mechanisms failed to resolve the dispute, a final appeal would be filed to the Emperor. This reflects the prevalence of a mixture of matters of state administration and justice.

? How and when was the system of independent administration of justice started?

It was the 1931 constitution which marked the beginning of a new era for the system of administration of justice in Ethiopia. It stipulated that law would establish a formal and uniform hierarchy of courts distinct from state administration and that law would also fix

their powers. Hence judicial power was vested in courts even though His Imperial Majesty exercises a type of judicial power in Chilot.

The basic structure of Ethiopian courts system was established for the first time by the Administration of Justice Proclamation, of 1942 (Proc. No. 2, Neg. Gez, year 1, No 10). Till this proclamation was repealed, it remained the law authorizing other courts. It established six levels of courts, namely Supreme, High, Teklay Gizat, Awraja, Woreda, and Miketil Woreda Courts. The Proclamation also gave courts the power to enact rules of procedures that would control litigations in courts, subject to approval by the Ministry of Justice

? Were courts the only organs vested with judicial power?

In addition to the courts, there were also local judges, who exercise a sort of judicial power, and whose role could be considered conveniently with that of courts. For instance, the local Judges Proclamation of 1947 was designed to eliminate delay and court congestion caused by minor disputes which could be settled informally by a respected figure in the community i.e. the "Shimagles", Mohammedian religious courts, such as Kadis, Naibas and Shariat courts in ascending order of hierarchy were also established (1944). These courts were created for the purpose of applying Mohammedian religious law in matters that are essentially of religious nature for persons of that faith i.e. Islam. The Ethiopian Orthodox church also used to function as a court in ecclesiastical matters in cases that parties voluntarily submit to it. Where the parties voluntarily submit to the jurisdiction of the church court, it was as if they had submitted their claim to arbitration and the provisions of law regarding arbitral submission would apply. (Refer- Arts 3325-3346 Civil Code).

Even though subsequent laws were enacted and rules of procedure were devised, later on it was found that the absence of a comprehensive procedural law affected the administration of justice in the country. Thus, the then Ministry of Justice started working on the preparation of procedural laws which would control civil litigation. Finally, the present Civil Procedure Code was enacted in 1965. It repealed all procedural rules that used to apply before it comes into force. It replaced any procedural rule found in other laws and this was intended to provide rules relating to civil cases in one Code.

? How was the Civil Procedure Code drafted?

The basic text of the Civil Procedure Code was drafted by the Codification Department of the Ministry of Justice rather than by foreign experts unlike other codes. It was promulgated as a Decree by the Emperor acting in accordance with Art 92 of the Revised Constitution. It has become effective as of October 1, 1965 & is applicable to all civil suits pending on that day or instituted thereafter. If a matter of procedural law is covered by the Code, any other rule previously in force dealing with that matter is repealed, even though the rule is not inconsistent with the Code.

The Civil Procedure Code contained comprehensive rules that apply to proceedings in a court of law and it established four levels of court, namely Supreme, High, Awraja and Woreda courts.

Aimed at improving the system of administration of justice in the country, several proclamations were enacted after the coming into force of the Civil Procedure Code. Till 1991, the tendency had been to create a unified and centralized judiciary. But following the down fall of the Dergue, the pattern in the administration of justice in particular and the administration of affairs of the government in general was changed. The Constitution of the Federal Democratic Republic of Ethiopia of 1994 provides for the establishment of two tiers of courts; Federal and Regional Courts. The Federal Courts adjudicate cases

falling under the jurisdiction of Federal Courts, and Regional Courts consider state matters.

? How are Courts established presently in Ethiopia?

On the basis of the Federal Constitution, a Proclamation to provide for the Jurisdiction and Power of Federal Courts was enacted in 1996. Pursuant to this Proclamation, matters falling under the jurisdiction of Federal Courts are listed and states assume a kind of residual judicial power. (Read Arts.3 through 5 of Proc. 25/96). As we will discuss in the proceeding chapters, provisions of the Civil Procedure Code dealing with matters provided for under Proc.25/96 are repealed; and states fully apply provisions of the Civil Procedure Code to dispose of matters falling under their exclusive jurisdiction.

SUMMARY

Leaving aside some smaller legal traditions interns of dominance, there are two systems of litigation. They can be categorized into either adversarial or inquisitorial. The Ethiopian system of procedure is a kind of hybride of the two, and from a historical perspective, the organization of courts in Ethiopia has taken two forms either a unitary or a federal one. The current Ethiopian judicial system has a federal form and consists of two- tier of courts, namely the Federal Courts and State Courts. Each court system has constitutional three level of courts,; the supreme Court, the High Court and the First Instance or Woreda Courts. By the Current F.D.R.E. Constitution, though judicial function is vested with Regular Courts, some institutions such as the Labour Relations Board, the Civil Service Tribunal and the like are also empowered to exercise such function.

Self — Check Exercises

1. What is the status of Kebele social Courts? Is their establishment recognized by the constitution?

2. Discuss the difference between unitary and dual organization of courts.

3. Briefly discuss the historical development of the judicial system of Ethiopia

4. Is the Ethiopian system of litigation adversarial or inquisitorial?

CHAPTER THREE

JURISDICTION OF COURTS

Introduction

My dear distance student, welcome to the third chapter of the Module. This chapter takes us to the first step to be taken in civil proceedings because jurisdiction is the first problem of civil procedure both to the parties and the courts. This chapter is an extension to our discussion on the court system of a country. Once you know the system of courts, the next step is to identify and understand the powers of each level of courts in Ethiopia to hear and decide a case. In this chapter, we will discuss and you will learn different types of jurisdiction and the fact that a particular level of court in a particular area is said to have these powers so that it will entertain and determine a case. We will study the chapter by taking the Federal Court structure into consideration since our country follows a federal form of government. In addition to the Civil Procedure Code, you are advised to refer and better understand the FDRE constitution and Proc. 25/96.

General Overview

With regard to resolving a dispute, the best thing is to deal with the matter outside the courtroom. However, if it is impossible, and a person decided to litigate a case, he must know first where to take his case, and determine a competent court to try his case. This is all about the issue of jurisdiction of courts. A suit can only be brought in a court that has jurisdiction. The term jurisdiction means the extent of the authority of a court to administer justice not only with reference to the subject matter of the suit but also to the local and pecuniary limits of its competence. It is generally defined as the power of courts to entertain and decide a case. It has three elements: judicial jurisdiction, which is more of the question of conflict of laws, and deals with the power of courts of a given state in general to litigate a case; local-jurisdiction, which is concerned as to where the suit should be brought; and material jurisdiction which is concerned with the level of the

court that should hear and decide a case. All the three elements must be present in a given case in order for a court to have jurisdiction.

Objectives

At the end of successfully studying this chapter, the student will be able to

- Decide jurisdiction of courts
- Identify components of jurisdiction
- Analyze rules on jurisdiction
- Enumerate grounds by which a court can assume jurisdiction, and
- Raise objections on jurisdiction

3.1. Elements of Jurisdiction

? What are the elements of jurisdiction?

Dear student, you have now a clear idea on jurisdiction which is the power of courts to see and determine a case. In this section, I will try to introduce you the three components of jurisdiction. Plaintiff, once has decided to litigate a case, must be sure that whether his case can be seen in the courts of a state. Then he has to decide, in case of a federal state, whether the matter at hand is within the jurisdiction of federal courts or regional courts. After this, he should determine the level of the court which is competent to see his case and finally, after asserting that the court has the above powers, it may come to his attention that another court may be in a better geographical location to see and determine the case. Hence, he has to know and determine the court that has local jurisdiction. For a court to have jurisdiction over a case, it must have the three aforementioned elements of jurisdiction cumulatively. This is because the failure of the court to provide the defendant with legally sufficient notice that a suit has been instituted against him, as a result of

which he does not appear and defend, can destroy the court's jurisdiction. Now, we will proceed to consider each of the three components of jurisdiction.

3.1.1. Judicial Jurisdiction

Overview

Objective

? What is judicial jurisdiction?

Judicial jurisdiction refers to the power of courts of a particular nation or state to render a judgment binding on an individual or his property.

? What do we mean by this?

For instance, on his sabbatical leave, the American law professor is invited to lecture at Bahir Dar University where he meets his ex-friend Ato Asefa. They had good business relation in America. Ato Asefa alleges that this American law professor has breached the contract which they contracted before 5 years while they both were in America. Realizing that the American professor is physically present in Ethiopia, Ato Asefa has decided to institute a court action against the former for breach of contract.

? Can he do so? Why? Why not?

My dear student, before you answer the above question, you have to address the following issue — i.e. whether Ethiopian courts have the power to subject this American professor to its judicial system.

In fact, Ato Asefa may bring a court action against the American professor, and the court may see the case and render a judgment. If the court does so, what problem do you see? Do you think that its judgment will be recognized and enforced? (Discuss with your friends)

? Why should a court need to have judicial jurisdiction?

My dear distance learners, have you tried? Good!

To render a valid and enforceable judgment, Ethiopian Courts must have judicial jurisdiction either over the defendant or the transaction or the property that is involved in the suit. It means that the court will have sufficient contacts with either the defendant or the transaction or property that is involved in the suit to make it reasonable that it exercises power over such person, transaction or property. Where a court of one state has judicial jurisdiction, the effect is that its judgment usually will be recognized and enforced in another state. The state in which enforcement is sought will not review the merits of the case. It will merely determine whether the court which rendered the judgment had jurisdiction to do so, and if it finds that there was jurisdiction, it will enforce the decision against any property that the defendant may have in that state. The plaintiff will not have to bring another suit on the merits of the case in that state. He will simply bring an action to enforce the judgment and obtain execution against the defendant's property there. Concerning the fate of foreign judgment in Ethiopia, the Civil Procedure Code in its Articles from 456 through 461 provides for the mechanisms of enforcing foreign judgment.

? What are the grounds for Ethiopian Courts to assume judicial jurisdiction?

There are no written provisions of law governing this kind of jurisdiction in Ethiopia. In most countries, judicial jurisdiction is treated as a question of private international law. But, again, there is no distinct Code dealing with private international law in Ethiopia, since the Draft has not yet been adopted by the parliament. So, the law on judicial jurisdiction is represented by the practice followed in Ethiopian Courts assisted by some highly accepted legal doctrines & general principles of law applicable to judicial jurisdiction.

? What is that practice on which the Ethiopia Courts will take judicial jurisdiction?

Dear student, at this point it is very important to distinguish between judicial jurisdiction *in personam* and judicial jurisdiction *in rem*. The distinction between the two lies in the type of action that is brought and the type of relief that the plaintiff seeks

? How do you differentiate judicial jurisdiction in personam from judicial jurisdiction in rem?

Judicial jurisdiction *in personam* is assumed over a defendant's **personal rights**. This is to mean an action *in personam* is brought against a person himself, and the relief sought is against the person of the defendant. A suit requiring the forced performance of an act by the defendant represents an *in personam* suit. Also you may refer to our previous hypothetical case between Ato Asefa and the American law professor.

Judicial jurisdiction *in rem*, on the other hand, is assumed when an action is brought against a thing, though an individual is named as a defendant, and the relief sought is with respect to the thing itself. This can be best understood in case of possessory actions. Now let us see these two types of judicial Jurisdiction separately.

3.1.1.1. Judicial Jurisdiction *in Personam*

The Latin term *in personam* is translated into English to mean against the person, determining the personal rights and interests. An action is said to be *in personam* when its object is to determine the rights and interests of the parties themselves in the subject-matter of the suit. Proceedings *in personam* are proceedings which seek the recovery of a personal judgment.

The Ethiopian court will exercise judicial jurisdiction *in personam* if one of the following conditions is fulfilled.

3.1.1.1.1. Nationality or Domicile

The most common ground for Ethiopian courts to assume judicial jurisdiction is when the defendant is an Ethiopian national or domiciliary.

? Who has the nationality of Ethiopia? (Please discuss it with your friends by referring to Art.6 of the FDRE Constitution.)

In anyways, if the defendant is the national of Ethiopia, he is subject to the judicial jurisdiction of Ethiopia irrespective of the place of transaction on which the suit is based.

? Do you think that the nationality of the plaintiff is material?

N.B. It is the nationality or domicile of the defendant, and not of the plaintiff, that determines judicial jurisdiction *in personam*. It is immaterial whether the plaintiff is an Ethiopian national or domiciliary. The defendant must be an Ethiopian national or domiciliary, at least at this stage. If the defendant is not an Ethiopian national or domiciliary, Ethiopian courts cannot take judicial jurisdiction *in personam* on the ground that the plaintiff possesses such status.

While an Ethiopian national is any person who acquires Ethiopian nationality, per Art. 6 of the FDRE Constitution, Ethiopian domiciliary is a person who has established the principal seat of his business and of his interests here in Ethiopia with the intention of residing, here permanently. (Refer Arts.183 and 184 C.C)

? Are all Ethiopian nationals the domiciliary of Ethiopia?

Just as physical persons are subject to judicial jurisdiction in the state of their nationality or domicile, legal persons are subject to suits in the state which created them. Therefore, any association established in accordance with provisions of the Civil or Commercial Code, or any foreign association which obtained an authorization to carry out an activity in Ethiopia then what? For more details, you are advised to cross-refer your discussion on the law of persons.

? What is the rational behind subjecting a national or domiciliary to the judicial jurisdiction of a state?

Where a person is a national or domiciliary of a state, he should not be unwilling to defend suits before the courts of that state. In one way or another, every state extends

benefits to its national and domiciliary. Persons transact only when there is peace and security, which is the traditional function of a state for which it is created. If this is the case, it is logical for that state to demand the defendant to submit to the judicial jurisdiction of its courts in exchange.

? Do you agree with the above assertion? (Discuss it with your friends!)

3.1.1.1.2. The Doing of an Act

The second basis for Ethiopian Courts to assume judicial jurisdiction *in personam* is the occurrence of the subject matter of the suit in Ethiopia. Even though the defendant is not an Ethiopian national or domiciliary, Ethiopian courts will assume judicial jurisdiction if the act that gives rise to the dispute occurred in Ethiopia. If, for instance, two Chinese persons conclude a contract in Ethiopia while they were visiting the Monasteries in Zeghe, Ethiopian Courts will have judicial jurisdiction since the act, the contract, which is the subject matter of the suit occurred in Ethiopia. This is greatly because, Ethiopia has an interest in providing a forum for a Chinese plaintiff who concluded the contract here and expects the contract to be enforced here, in Ethiopia. In addition, even if the act or some of the acts has occurred outside Ethiopia, Ethiopian Courts will assume judicial jurisdiction if the transaction has sufficient contact with Ethiopia. For instance, if two persons conclude a contract of sale in Japan of goods which is situated in Ethiopia, Ethiopia has sufficient contact with this transaction. Therefore, there may be judicial jurisdiction on the basis of the doing of an act which occurred outside of Ethiopia, but the performance of which is in Ethiopia.

? Can you think of two examples of this sort?

3.1.1.1.3. Consent

? What is consent, and its relation with assuming judicial jurisdiction?

Consent may be defined as an act of reason to agree and not to make an objection based on ones freewill. It is the third ground by which Ethiopian courts assume judicial jurisdiction. Even though the defendant is not otherwise subject to Ethiopians judicial jurisdiction, he can consent to the exercise of such jurisdiction.

? What does it mean?

It means that even though the defendant is not an Ethiopian national or is not domiciliary of Ethiopia, or the doing of an act does not occurred in Ethiopia, Ethiopian Courts may assume judicial jurisdiction if the defendant consents by consenting, he undertakes an obligation to submit his case to the judicial jurisdiction of Ethiopian Courts, and this obligation will be enforced as any other.

The defendant may express his consent expressly or impliedly. To say it in other words, consents may be express or implied.

? What is express consent?

For example two Swedish businessmen in Canada concluded a contract to be performed in Mexico. In their contract, they agreed that any dispute concerning their contract to be resolved in Ethiopia. By this contract, the parties have agreed to submit to the jurisdiction of Ethiopian Courts, and the latter will enforce this agreement. In this case, the defendant will be bound by his promise to submit to the judicial jurisdiction of Ethiopian Courts. This kind of consent is called express consent.

? What is implied consent?

It is a consent given tacitly and is found where a party does in fact submit to the court's jurisdiction though he does not expressly admit that he has done so. For instance, a Nigerian entered into a contract with an Ethiopian which has to be performed there. Fortunately, he was in Ethiopia, and was served with a summons issued by an Ethiopian court. In stead of objecting the jurisdiction of a court in Ethiopia over his case, he defended outrightly. The court in Ethiopia then would assume judicial jurisdiction since the defendant did not object its jurisdiction. This is called implied or tacit consent.

Although the defendant is not an Ethiopian national or domiciliary, and the act which is the subject matter of the suit did not occur in Ethiopia, there is judicial jurisdiction if the defendant defended the merit of the case. However, if he appeared for the sole purpose of contesting jurisdiction, per Art.244 C.P.C., he is not deemed to have consented. This is called a special appearance, and does not constitute consent.

? Are the parties always free to destroy the judicial jurisdiction of courts of a state by their consent?

I hope that you answered the question in the negative by saying no! Even though parties can destroy a court's jurisdiction by agreeing that suits shall not be brought in the court, it is subject to one grand exception. The agreement of the parties should not be against the public policy of the state, say Ethiopia.

? What constitutes public policy?

Elaborate the above assertion by assuming two examples!

Eg.

1-----

-----Eg.

2-----

3.1.1.2. Judicial Jurisdiction *in rem*.

As we discussed in our previous discussion, jurisdiction *in rem* comes into being when an action is brought against property and the relief sought is with respect to the property itself. In an action *in rem*, the plaintiff does not seek an order binding the person of the defendant, though an individual is named as a defendant. The only state that can exercise *in rem* jurisdiction is the state where the property, may be movable or immovable, is situate, or the *situs* of property has jurisdiction to hear any case where the relief is sought with respect to the property itself. To elaborate this, let us see the following example.

Eg. Two China Road Construction employees, both Chinese, entered into a contract of sale. The subject matter of the sale contract was a Toyota car which is situated in Ethiopia. In this case, even though both are not the nationals of Ethiopia, and do not consent to submit their case to Ethiopian Courts, the Ethiopian Courts will have judicial jurisdiction *in rem* since the subject matter of the dispute is situated in Ethiopia.

To summarize the discussion on judicial jurisdiction, it may be distinguished as *in personam* and *in rem*. If either of the two is present, Ethiopian courts will assume jurisdiction. *In personam* jurisdiction exists when the defendant is an Ethiopian national or domiciliary, or when the transaction occurred in Ethiopia, or when the defendant consents. On the other hand, *in rem* jurisdiction exists only when the property is situated in Ethiopia. Otherwise, Ethiopian courts will not have judicial jurisdiction. Where judicial jurisdiction is lacking, the case must be struck out for want of jurisdiction, and it is not necessary to consider the other elements of jurisdiction, i.e. material and local jurisdictions. But it will not preclude the plaintiff from bringing a fresh suit in a court that has judicial jurisdiction.

3.1.2. Material Jurisdiction

General Overview

Once the question as to whether Ethiopian Courts can see the case is answered in the positive, the next step is to determine the level of the court in Ethiopia having power over the case. This is about whether the case is one to be taken to the Supreme or High or First Instance or Woreda Court. It also concerns whether the case is a federal or state subject matter. Also it includes the principle of delegation. Generally this sub-section deals with material jurisdiction, which is all about determination of the amount of money involved in the case so that the court having power to see the case could be identified.

It is the second most important element of jurisdiction. Material jurisdiction refers to the power of the court to hear the kind of case that is before it. Mostly, it is concerned with the level(s) of courts, and the type of court that should hear a case. As we saw in the previous chapter, in Ethiopia, at Federal level in civil cases we have two levels of courts

which have original jurisdiction i.e. the Federal First Instance Courts, and the Federal High Court, and in some States, we have three levels of courts, like in the Amhara Region, which have original jurisdiction. They are Social courts, Woreda Courts and High Courts. Thus, we will consider whether a given suit is to be brought in the High Court or in First Instance (Woreda) court or in Social Court.

Objective

A successful study of this section will enable the student to:

- Identify the level of court in Ethiopia to see a given case;
- Enumerate federal & state subject matters;
- Explain and apply the principle of delegation of judicial power;

? What aspects does material jurisdiction have?

Rules on material jurisdiction in any system of courts reflect two aspects: **the subject matter aspect, and the pecuniary aspect**. The subject-matter material jurisdiction refers to the type of case that is to be instituted in a given court. The issue of subject matter jurisdiction is more of a problem of federal states, which have a dual system of courts, which distinguishes the type of case which is federal from that of a state case. (Refer Art 5 of Proc. 25/96).

➤ *A federal case or federal subject- matter refers to those types of cases that are to be seen and determined by federal courts where as a state case refers to those cases tried by state courts.*

In fact, subject matter jurisdiction could also be an issue in monolithic structured court systems. This happens when one or more types of cases are exclusively given to the jurisdiction of a particular court without regard to the pecuniary amount involved in the suit. This may be best elaborated by Arts.15 (2) and 18 of the Civil Procedure Code, which reflect a monolithic court system. For instance, irrespective of the pecuniary

amount involved in a suit, cases concerning **nationality, insurance policies, and the formation, dissolution and liquidation of bodies corporate** were under the exclusive jurisdiction of the High court. Nowadays, however, these provisions of the Civil Procedure Code should be seen in line with Proc. 25/96. So, the issue under jurisdictional apportionment is whether the case at hand is a special case that falls within the exclusive jurisdiction of a particular court or some other ordinary case whose jurisdiction would be determined only by the pecuniary amount.

In one case, the plaintiff (an employee) wants to bring an action claiming 600,000 birr for his contract of employment is unlawfully terminated.

? Where shall he take his case?

The 1994 FDRE Constitution has established a two tiered court system in Ethiopia, i.e. Federal and Regional or State Courts. So, *in Federal — State Court system, before determining the level of the Court based on the pecuniary amount involved, the issue will be first to determine whether the case is a Federal or State case.* In this regard, referring to Proc. 25/96 is of a paramount importance. After identifying the case as federal or state, we have to ascertain whether it falls within the exclusive jurisdiction of one particular court or not. Then the level of the court in the federal or states court system that has the power to handle the case will be determined. This is made possible by pecuniary aspect of material jurisdiction.

3.1.2.1. Federal/ State Matter Distinction

The 1994 FDRE Constitution, after establishing a federal/state court system, which is called as a dual court system, has laid some basic principles of jurisdiction. One of the basic principles of jurisdiction incorporated in this Constitution is the difference in

subject matter jurisdiction between federal courts and state courts. According to Art 80(2) of the Constitution, the Federal Supreme Court has the highest and final judicial matters over Federal matters, and State Supreme Courts shall have the highest and final judicial powers over state matters.

? What are federal matters, and what are state matters?

The Constitution does not define what federal and what state matters are. It, however, may depend upon the determination of the legislator. This means that if the legislator decides that certain matters are federal, then such matters would be called federal matters. But there are matters which, as a rule, must be categorized as federal matters or state matters. Under this rule, a case is a federal matter if it arises on federal laws and a state matter if it arises on state laws. This is supported by the following legal maxim stated by one American Justice. "*A suit arises under the law that creates the cause of action.*" We may, therefore, presume that all cases that arise or all claims that are based on federal law may be called federal cases, and the rest may be categorized as state matters. Here, we may have to raise the following grand question.

? What is a federal law? And what is a state law?

All laws that are made by the House of Peoples' Representatives under its enumerated powers of legislation per Art 55 of the Constitution, and laws made by the Council of Ministers per Art. 77 of the Constitution are federal laws. All other laws that are made by state legislature under residual power of legislation are state laws. You may refer to Art 52(1) of the Constitution.

Even though all federal matters are within the competence and exclusive jurisdiction of Federal Courts, sometimes a federal matter may arise in states where there is no federal court. For instance, there is no distinct Federal Court in the Amhara Region.

? What would, then, happen if a Federal matter, say a case between residents of two regions, arises in Gondar? Shall the parties take their case to Addis Ababa or Dire Dawa where there is a Federal Court or else?

The Federal exclusive jurisdiction is modified by the second principle of concurrent/delegation of jurisdiction that is incorporated in the FDRE Constitution.

3.1.2.1.1. Delegation of Jurisdiction.

Under the FDRE Constitution, the separation of Federal/State court jurisdiction is presumed as a result of the constitutional establishment of a dual court system which implies that federal matters will fall within the jurisdiction of federal courts and state matters will fall within the jurisdiction of state courts. But the Constitution has suspended the establishment of federal courts nation wide or in particular areas and has given the H.P.Rs, the discretionary power to establish federal courts all over the country or in a particular area only when it deems necessary. Until so decided in this manner, state courts are invested with delegated jurisdiction over federal matters pursuant to Art 80 (1) & (2) of the Constitution. This means that state courts are empowered to entertain federal matters concurrently with federal courts in addition to their exclusive jurisdiction over state matters. In particular, the State Supreme Courts are empowered to exercise the jurisdiction of the Federal High Court. While state High Courts are empowered to exercise the jurisdiction of the Federal First Instance Court per Art 80 (3) (b) & (4).

Moreover, the Constitution provides that the first instance decisions of State Supreme Courts on their delegated powers over federal matters are appealable to the Federal Supreme Court. This gives the Federal Supreme Court a final appellate judicial authority

over federal matters that are also decided by state courts. But this final appellate jurisdiction of the Federal Supreme court has been limited to federal cases that are originally decided by State Supreme Courts and to federal matters that are decided by State Supreme Courts in variation of State High court decisions in their appellate jurisdiction. So, as is provided under Art 9 of Proc. 25/96, the Federal Supreme Court is excluded from reviewing federal cases that are originally decided by State High Courts, and affirmed by State Supreme Courts on appeal.

3.1.2.1.2. Apportionment of Jurisdiction between Federal and State Courts.

Proclamation 25/96 sets forth the rules of apportioning jurisdiction between Federal Courts and State Courts. It enumerates the areas where the Federal Courts would assume jurisdiction, and the areas that are not specifically mentioned to fall under the Federal Courts jurisdiction are presumed to be under the jurisdiction of State Courts. The Proclamation allocated subject matter jurisdiction to Federal Courts on the basis of three grounds: *laws*, *parties* and *places*.

? What does it mean?

Art.3(1) of Proc. 25/96 stipulates that Federal Courts can assume jurisdiction over cases arising under the Constitution, Federal Laws (Specifically) enacted to be applicable only in areas where the federal government has direct control, i.e. Addis Ababa and Dire Dawa, and International Treaties. This is the general principle. Arts 4-8 of the Proclamation specifically enumerate a very small number of federal laws that fall within federal courts jurisdiction. In his Article entitled "The Court System and Questions of Jurisdiction Under the FDRE Constitution and Proc. 25/96", Ato Abebe Mulatu states that the wisdom of providing a blanket provision as a principle that encompasses all

federal laws and then reducing the type of federal laws that fall within the jurisdiction of federal courts is not understandable. Anyways, the Proclamation has provided that Federal Courts shall have jurisdiction over a few numbers of federal laws in both civil and criminal areas. The rest of the federal laws enacted by the H.P.Rs. pursuant to its power under Art. 55 of the Constitution, but which are not enumerated under Proc. 25/96 is then understood to be within the jurisdiction of state courts. For instance, even though the Labour law is enacted by the Federal legislature and is called a Federal law, states courts have inherent jurisdiction, and not delegated one, to entertain and decide on labour matters. The Proclamation, thus, has provided us with a different meaning of federal matters. Under the Proclamation, a federal matter is not a case that may arise from any federal law, but only from a federal law which is enumerated under Arts 4-8 of the Proclamation. So, the state courts will entertain the case like any state case on the basis of states' law of material jurisdiction and the final decision of the state court on such matter is not appealable to the Federal Court system.

? Is there any difference as to the identity of the parties involved in a suit?

Concerning the identity of the parties, Art.3 (2) of the Proc., provides that Federal Courts would assume jurisdiction over parties specified in Federal Laws. (Refer Arts 4 -8 of the Proc. at the end of the Module) So, the matter will be within the jurisdiction of Federal Courts where one of the parties is the Federal Government, or a foreign national, or the suit is between persons permanently residing in different regions, or the suit is against officials of the Ffederal government in connection with their official responsibility. (Read closely Art 5 of the Proclamation.)

? Which places are within the jurisdiction of Federal Courts?

With regard to places, Art 3(3) of the proclamation invests Federal Courts with the power to assume jurisdiction over all matters which arise in certain places that are specified in the constitution and other Federal Laws. The constitution, in fact, does not provide for places that fall within the jurisdiction of Federal Courts. However, Arts. 11(1) (b) and 14 (2) of the Proclamation provide that cases arising in Addis Ababa and Dire Dawa are within the jurisdiction of Federal Courts.

? Are Dire Dawa and Addis Ababa the only places where the Federal Courts assume Jurisdiction?

Art 78 (2) of the Constitution empowers the House of Peoples Representatives to establish Federal High and First Instance Courts either all over the country or in some places. So, even though now Addis Ababa and Dire Dawa are the only places, it is possible that other places, such as Bahir Dar can be with the exclusive jurisdiction of Federal Courts if the H.P.Rs uses its discretionary power of establishing Federal Courts in States.

To sum up the discussion of subject matter jurisdiction, a case will be a federal subject matter if it;

- a. arises on federal laws,
- b. parties are mentioned under federal law, or
- c. the case arises, at least for now, in Addis Ababa and Dire Dawa.

Otherwise, the matter will be left to be within the exclusive jurisdiction of state courts if it does not fall either in "a", or "b", or "c" above.

Next, we will see the second aspect of material jurisdiction i.e. the pecuniary aspect.

3.1.2.2. Pecuniary Aspect of Material Jurisdiction

Once we decided whether the matter falls within the jurisdiction of federal or State Courts, the next issue will be to determine the level of the court within the Federal or States' Court System. We said, for instance, if parties are permanent residents of two regions, no doubt that the case is a federal matter. But which level of court within the Federal Court System is competent to see the case? This question is answered by the pecuniary aspect of material jurisdiction. This aspect of material jurisdiction determines the level of the court within the court system that has jurisdiction in a particular case.

Under the current Federal and State Court System of Ethiopia, the rules providing for the jurisdictional limits of court are found in proc. 25/96 and the Civil Procedure Code of Ethiopia. The rules that are provided under the proclamation determine the jurisdictional limits of Federal Courts, and the residual power is left to the states which are governed by rules that are provided in the Civil Procedure code. We will try to see one after the other.

3.1.2.3 Jurisdictional Limits of Federal Courts.

As I have tried to discuss earlier hierarchically the constitution provides for three levels of Federal Courts: the Federal Supreme, High, and First Instance Courts. Each of them has their own jurisdictional limits with regard to the kind of case they entertain both in civil and criminal cases.

? What are the civil jurisdictions of Federal Courts?

Art 5 of the proclamation lists down and states civil jurisdiction of Federal Courts. You are invited and advised to read Art — 5 of the proclamation.

The fact that a given matter falls within the jurisdiction of Federal Courts does not mean that it can be entertained by any level court. And by the same taken, it does not mean that any level court can randomly pick and entertain any case which is a federal matter. Each level of court has its own jurisdictional limits to try and decide a case. Accordingly, the Federal First Instance Court shall have first instance jurisdiction over civil cases involving an amount not in excess of 500,000 (five hundred thousand) Birr. Therefore, per Art — 14 of the Proc., Federal subject matter cases that involve an amount of less or equal to five hundred thousand birr will be within the jurisdictional limit of the Federal First Instance Court. In addition, it has jurisdiction over cases the value of which cannot be calculated in terms of money such as application of change of name, divorce, declaration of absence, or will etc. Generally the Federal First Instance court, per Art 14(1) of the proc., has exclusive jurisdiction over civil cases the value of which cannot be expressed in money where such power is not given to the Federal High and Supreme Court under Arts 8 and 11(2) of the proclamation. So, you may distinguish cases where subject matter cannot be expressed in money and are within the jurisdiction of the Federal First Instance Court by conjointly reading Art 5, 11(2) and Art 14 of the Proclamation.

? How is the pecuniary jurisdiction of High Court determined?

The Federal High Court has original civil jurisdiction over cases involving an amount in excess of Birr five hundred thousand (500,000). In addition to this, according to Art 11(2), cases regarding private international law, cases regarding nationality, application regarding the enforcement of foreign judgment, and applications for change of venue from one Federal Instance Court to another or to itself fall within the jurisdiction of the Federal High court irrespective of the value involved in the case. To elaborate this, if the amount of a case between an American and a given Ethiopian nation is calculated to be 60,000 birr, the case will be seen by the Federal High Court once Ethiopian Courts assume judicial jurisdiction per Art 11(2) (a) of Proc. 25/96. Because of this the Federal High Court is said to have exclusive jurisdiction over these cases.

? What do we mean by exclusive jurisdiction?

In addition to identifying matters that fall within the jurisdiction of Federal Courts, the Proclamation provides rules on exclusive subject matter jurisdiction. Exclusive jurisdiction means that a given court will have jurisdiction irrespective of the pecuniary amount involved in the case. For instance, even though the pecuniary amount of a particular case is less than 500,000 birr, the Federal High Court will have jurisdiction if the case is a type of case listed under Art 11(2) of the proclamation. By the same token, the Federal First Instance Court will assume exclusive jurisdiction over cases whose subject matter cannot be expressed in monetary terms if such cases do not fall within the jurisdiction of either the Federal Supreme Court per Art 8 or the Federal High Court per Art 11(2) even though the pecuniary amount of a case involves more than 500,000 Birr. For instance, all suits regarding negotiable instruments are within the exclusive jurisdiction of the Federal First Instance Court though the amount involved is a million dollar.

The Federal High Court, in addition to its first instance or original jurisdiction, has appellate jurisdiction over decisions of the Federal First Instance Court per Art 13 of the proclamation. Finally, we will see the jurisdiction of the Federal Supreme Court. Excepting application for change of venue from one Federal High Court to another or itself, the Federal Supreme Court does not have first instance or original jurisdiction over civil cases. It only has appellate and cassation jurisdiction.

? Can the Federal Supreme Court entertain a case in its first instance power?

Pursuant to Art 9 of the Proc., the Federal Supreme Court shall have appellate jurisdiction over decisions of the High Court rendered in its original jurisdiction, and over decisions of the High Court rendered in its appellate jurisdiction in variation of the decision of the Federal First Instance Court.

? Do you think that the Federal Supreme Court will have appellate jurisdiction if the Federal High Court confirms, in its appellate jurisdiction, the decision of the Federal First Instance Court?

(For the time being, discuss it with your friends. Later on, we will address this issue when we discuss about appeal in Chapter 8)

Moreover, where they contain fundamental error of law, the Federal Supreme Court has the power of cassation over:

- a) final decisions of the Federal High Court rendered in its appellate jurisdiction;
- b) final decisions of regular division of the Federal Supreme Court;
- c) final decisions of the Regional Supreme Courts rendered in a regular division or in its appellate jurisdiction.

This is what Art 10 of the Proclamation provides for the cassation power of the Federal Supreme Court. You are advised to cross-refer this Article with Art 22 of the same.

As it is stated, the ground for cassation is the existence of fundamental error of law. When do we say a case contains fundamental error of Law? - Discuss with your friends. Next, we will see jurisdiction of state Courts.

3.1.2.3.1 Jurisdictional Limits of State Courts.

As we have already discussed it the Federal Courts Establishment Proclamation, Proc. 25/96, provides only for the jurisdictional limits of Federal Courts. It lists matters which

fall under the jurisdiction of Federal Courts. This in effect means that all matters or cases which are not listed under the proclamation to be federal matters are left to be within the jurisdiction of states. From this point of view, therefore, states have residual jurisdiction.

With regard to matter falling within the jurisdiction of Federal matters, since the material jurisdiction is determined by the Proclamation, provisions of the Civil Procedure Code dealing with material jurisdiction are impliedly repealed by Art 37(2) of Proc. 25/96. Matters falling within the jurisdiction of States, however, are not within the ambit of this Proclamation. Therefore, the jurisdictional limit of State Courts is determined on the basis of pertinent provisions of the Civil Procedure Code. Accordingly, the States' High Court shall have jurisdiction over all cases regarding immovable property where the amount involved exceeds 10,000 (ten thousand) birr, and over all cases regarding movable property if the amount involved exceeds 5000 (five thousand) birr.

Woreda Courts, on the other hand, have jurisdiction in claims that involve cases up to 5000 Birr for movable property, and up to 10,000 Birr for cases regarding immovable property. Save as the jurisdiction of Social Courts in the Amhara Region (Refer Art. 6 of Proc. 27/1998).

? Why is that the Code draws a distinction between cases regarding immovable property, and those suits not involving immovable property?

Jurisdictional limits are lower for cases not involving immovable property, and higher for cases involving immovable property. This is according to Allen Sedler, no doubt due to the fact that land disputes are very common in Ethiopia, and higher jurisdictional limits for such cases will reduce the number of cases brought in the higher courts.

State Supreme Courts do not have first instance or original jurisdiction in civil cases. This means that all cases in state courts must start either in Woreda or High courts. Hence, the

States Supreme court has only appellate jurisdiction and final cassation power over state matters. But it does not cancel its first instance jurisdiction over federal matters in its constitutional delegated power.

Some states have by legislation, established social courts to reduce the congestion of cases in Woreda Courts. For instance, the Amhara National Regional State Council has enacted a Proclamation to provide for the Power of Social Courts. By this Proclamation, Social Courts are empowered to entertain civil cases the amount of which is not more than 1500 Birr. This is how the jurisdictional limit of State Courts is determined.

3.1.2.4. Common Rules Applicable to Material Jurisdiction

Sometimes you may have difficulty in deciding what amount is involved in the suit and which court has material jurisdiction. To avoid this difficulty when determining the jurisdictional limits of courts, it is important to look Art 17 of the Civil Procedure Code. It provides as follows.

Art — 17 — Plurality of Claims

1. Where one or more plaintiffs have united in the same suit several claims against the same defendant or the same defendants jointly, the jurisdiction of the court shall, except in cases where suits have been consolidated depend on the amount or value of the aggregated claims.
2. Where several claims are made in the same suit, some of which are principal and some of which are accessory, or where alternative claims are made, the jurisdiction of the court shall depend on the amount or value of the higher principal claim are made, the jurisdiction of the court shall depend on the amount or value of the higher principal claim.
3. Where a counter claim is made, the jurisdiction of the court shall depend on the amount or value of the higher claim which ever it may be.

To elucidate this by examples,

1. If plaintiff A claims Birr 4000 from defendant B for a tort caused by B, and Birr 1500 from the same on a sales contract, the material jurisdiction of the court will be determined by the aggregate amount of the two claims i.e $4000 + 1500$. Thus, the states

High court will have material jurisdiction. But if the cases were not aggregated, and were brought separately, the two suits would have been brought to the states' Woreda Court.

2. For example, the plaintiff sues the defendant for breach of contract of sale of a house claiming damages in amount of 16000 Birr in the states High court. Alternatively, he claims the return of the down payment of 6000 Ethiopian Birr if the court finds that there was no contract. In this case, material jurisdiction depends on the higher claim i.e. 16,000 Birr, and the states high court will have jurisdiction. (refer Art 17(2) C.P.C)

3. In case of counter claims, the jurisdiction depends on the value of the higher claim, and the same principle applies. So, if the plaintiff sues in a States' Social Court claiming Birr 400, and the defendant filed a counter claim for 6000 Birr in a case not involving an immovable property, the Social Court should transfer the case to the High Court since the material jurisdiction of the court depends on the higher claim i.e. 6000 Birr.

The Code also deals with the effect of subsequent changes in the amount of money involved. Where part of the claim is admitted before evidence is produced, the subject matter of the suit is accordingly reduced and the case will be transferred to a lower court if the value of the case is less than the lower limit of the pecuniary jurisdiction of the court in which the suit was originally filed. But according to Art 16(3), the court in which the suit was first filed has the discretion whether or not to transfer the case to a subordinate court. If, for example, the plaintiff claims 9000 Birr against the defendant in the High Court, and the defendant admits that he owes the plaintiff only 5000 Birr, then dispute will be only on the 4000 Birr. In this case, the suit will be transferred to the states' Woreda Court.

? What would happen if there exists an inflation in the mean time?

Pursuant to Art 16(4), where a suit has been instituted in a court competent under the law, such court shall remain competent notwithstanding that the amount of the subject-matter

of the suit increases or decreases in consequence of changes in economic circumstances. This means that a change in the value of the suit due to a change in economic circumstances does not affect material jurisdiction.

For example, Ato Alemu has undertaken to deliver ten quintals of sesame to Ato Demsash which amounts to 4000 Birr. Because the former failed to discharge his obligation, Ato Demsash brought a suit claiming the ten quintals of sesame which was valued 4000 Birr in Gondar Woreda Court. Unexpectedly, the value of sesame has increased, and thereby the value of the ten quintals of sesame was increased to 10,000 Birr.

? Do you think that the case will be transferred to the High court for 10,000 Birr is within the jurisdictional limits of the States' High Court? Try by yourself

3.1.2.5. Determination of Amount in Controversy

My dear distance student, even though you meant to sue someone, there are times when you do not know how much you claim from your defendant. Let us say you and your friend have a Share Company, and you have been ousted for the last two years from the company. If you want to bring action claiming the share of the profit for two years, how do you know your share of the profit? How do you estimate the amount of net profit claiming from your friend to determine the jurisdiction of the court competent to try your case?

The most significant question in the area of material jurisdiction, especially in the determination of amount in controversy is how to determine the amount of many involved in the case. The answer to this question is embodied in the Civil Procedure Code. Art 16(2) CPC provides that in deciding whether it has pecuniary jurisdiction, the court shall have regard to the amount stated in the statement of claim. And Arts 226-228

govern the amount to be stated in the statement of claim. Please read these provisions extracted from the Code.

Art. 16-Pecuniary Jurisdiction

- (1) A court shall have pecuniary jurisdiction when the amount or value of the subject-matter of the suit as on the day of the institution of the suit does not exceed the limits laid down in this Chapter for the court concerned.
- (2) In deciding under Art. 231 whether it has pecuniary jurisdiction, the court shall have regard to the amount stated in the statement of claim in accordance with Arts. 226-228
- (3) Where part of the claim is admitted at any time before evidence is produced and the amount or value of the subject-matter of the suit is accordingly reduced, the court may try the suit or of its own motion order the transfer of the suit to such subordinate court as has pecuniary jurisdiction with regard to the amount or value thus reduced.
- (4) Where a suit has been instituted in a court competent under the provisions of this Chapter, such court shall remain competent notwithstanding that the amount or value of the subject-matter of the suit increases or is reduced in consequence or changes in economic circumstances.

Art.226-Particulars as to the Amount of Claim

- (1) Where the plaintiff seeks the recovery of money, the precise amount claimed shall be indicated in the statement of claim.
- (2) Where the plaintiff sues for an amount which will be found due to him on taking unsettled accounts between him and the defendant then, for purposes of pecuniary jurisdiction only, the approximate amount claimed shall, whenever possible, be indicated in the statement of claim.
- (3) Where the claim relates to a specific thing the actual value of such thing shall be indicated in the statement of claim.
- (4) Where the claim relates to a generic thing the current price of such thing shall be indicated in the statement of claim.

Art.227-Claims Relating to Periodical Dues

(1) Where the claim relates to periodical dues payable for a specified period of time, the value of the capital producing such dues shall be indicated in the statement of claim.

(2) Where the claim relates to periodical dues payable for an unspecified period of time, then, for purposes of pecuniary jurisdiction only, the value of the annual amount of such dues multiplied by twenty shall be indicated in the statement of claim.

Art.228-Establishment, Enforcement and Termination of Rights

Where the plaintiff seeks to establish, enforce or terminate a right the actual value of which cannot be indicated in accordance with the preceding Articles, then, for purposes of pecuniary jurisdiction only, statement of claim shall, whenever possible, indicate the estimated pecuniary benefit, if any, which would accrue to the plaintiff in consequence of judgment being given in his favour.

Where the plaintiff seeks the recovery of money, the precise amount claimed shall be indicated in the statement of claim. This is determined by the amount that the plaintiff reasonably claimed in his statement of claim. This amount only represents the amount that is involved for purpose of pecuniary jurisdiction. Whether or not the plaintiff is entitled to the stated claim goes to the merits of the case. If, however, the plaintiff's claim will be known after inventory or accounting is made, then, he is required to put the estimated amount in his statement of claim. (Remember the hypothetical case which I raised at the beginning of this sub topic between you and your friend). If the plaintiff is seeking the recovery of specific thing, he has to indicate the actual value of the thing in the statement of claim. (Remind the cases between Ato Alemu and Ato Demsash in our previous discussion)

Generally, the plaintiff is required to estimate the amount of his claim in his statement of aim to identify the court that has first instance material jurisdiction.

3.1.2.6. Matters outside the Jurisdiction of Courts

? My dear student, do you think that all forms of disputes can be resolved by courts?

Sometimes, even though Ethiopia has judicial jurisdiction, courts in general may not have material jurisdiction at all, on the ground that the case is to be tried by some other agency. Now, I am going to show you that there are some civil cases which are outside the jurisdiction of Federal or State Courts.

One of the areas where there is a question of the court's material jurisdiction is that of a dispute between the tax-payer and the Tax Authority. A person who is dissatisfied with an income tax assessment made by the Income Tax Authority must appeal to the Tax Appeal Commission and may not take his case to courts. It is only through appeal on the decision of the Tax Appeal Commission that such aggrieved party is allowed to take his case to regular courts. You are advised to read the Income Tax Proclamation.

The other area where there is a question of court's jurisdiction is employer-employee relationship. The labour Proclamation, Proc. 377/2004, establishes the Labour Relations Board, which has the power to hear cases involving collective labour disputes. The scope of the proclamation, in this regard, extends to progress of work, advancement of, and the expeditious settlement of understandings etc. based on collective labour relations.

To summarize the discussion on material jurisdiction, which is concerned with the level of courts, and the type of court that should hear the case, it has two aspects: **the subject matter aspect, and the pecuniary aspect**. In Federal States like ours, before determining the level of the court, one has to identify whether the case is a federal or a state matter. It is after this that we will determine the level of court which has material jurisdiction to entertain that case.

Local Jurisdiction

General Overview

The study in this section takes us to the understanding of the specific court to which we may submit our case. We have a number of Woreda courts. If it is decided that the woreda court has material jurisdiction over the case, then the next issue will be to decide which woreda court will have power to see the case. This section will address such issues.

Objective

The main objective of this section is to:

- Explain local jurisdiction
- Identify the court having local jurisdiction
- Not measurable issues of conflict of jurisdiction

When we say Ethiopia has judicial jurisdiction, we mean that some court in Ethiopia has the power to subject a particular person or property to its jurisdiction. But there are a number of courts having hierarchical levels found in different vicinity of the country. With regard to the level of court, material jurisdiction gives the solution. But again there are a number of courts having equal status or level. So, among equal level of courts, since a case cannot be instituted in more than one court, which court is competent to try the case? This question is answered by the notion called local jurisdiction, which is the third most important element of jurisdiction.

Local jurisdiction refers to the area of Ethiopia in which a case is to be tried. Assuming that the courts of Ethiopia have judicial jurisdiction, and that the case is within the material jurisdiction of the state's High Court, the question is which High Court, for instance we have 10 High Courts in the Amhara Region, shall hear the case.

? What is the purpose of local jurisdiction?

The rules relating to local jurisdiction exist primarily for the convenience of parties. It may make quite a practical difference whether a case is to be tried in Bahir Dar or Gondar or Dessie, and the Civil Procedure Code is trying to balance the interest and convenience of the parties. That is why the Code is providing the rules and covers the matter of local jurisdiction explicitly.

3.1.3.1. The Basic Place of Local Jurisdiction

A number of courts may be equally competent and have material jurisdiction to see the case. From the point of view of the interest of the parties, however, most of them may be inconvenient to the parties, and one or more of them may be more convenient than others. So, for the purpose of local jurisdiction, the most important and convenient place is what may be called the basic place of local jurisdiction. This is the place where local jurisdiction lies unless a specific provision of the Code prohibits the existence of or exercises of local jurisdiction there or authorizes the existence and exercise of local jurisdiction in another court.

? Where is the basic place of local jurisdiction?

Art 19 of the Civil Procedure Code sets forth the basic principle of local jurisdiction.

Art 19 — Principle

(1) Without prejudice to the provisions of the following Articles and to such special places of jurisdiction as may be provided for by any law, every suit shall be instituted in the court of the place where the defendant actually resides or carries on business or personally works for gain.

(2) A suit against joint defendants may be instituted in the court of the place where any of the defendants resides, or carries on business or personally works for gain.

As you may see and grasp from the Article, the basic place of local jurisdiction is the place where the defendant resides, or carries on business or personally works for gain.

? Where is the place where a person normally resides?

In the legal sense of the term, and as it should be understood, it is where he habitually (normally) lives and spends most of his time. But a person may have several residences. In this case, close scrutiny of Art 177 of the Civil Code is of high import Sub-article (2) of this provision provides that one of these residences may have the character of principal residence and the remaining others are that of secondary residences. So, in which of his residences shall the defendant be sued? The code does not answer this question. But the opinion of this writer; the defendant's principal residence should be the basic place of local jurisdiction for that is probably the place where it is most convenient for him to defend his case. Practically, it would mean that if a person owns a house in Gondar and has a cottage at the southern coast of Lake Tana in Bahir Dar, where he spends weekends, for the purpose of local jurisdiction per Art 19 C.P.C, he would be considered to reside in Gondar, and not in Bahir Dar.

A person may have his business or may work in a place different from the place where he resides. For example, a person who has residence and family in Delghi may carry on business in Gondar. In this case the defendant may be subject to suit in each of the different places i.e. either in Delghi or Gondar.

? What about in case of joint defendants?

Joint defendants are defendants who are liable to the plaintiff on the same obligation. In a case involving joint defendants, suit may be instituted in the court of the places where any of the defendants resides or carries on business or works for gain personally. Assume that two brothers Ato yohannes who lives in Dessie, and Ato Yakob who lives in Debre Birhan inherited a car from their father which they sold to Ato Petros. The two brothers, even they received the proceed of the car, have not yet delivered the car and transfer ownership. Ato Petros can bring a suit either in Dessie or Debre Birhan.

Sometimes, even though the defendant is Ethiopian national, he may not reside or carry on business or work for gain in Ethiopia. Art 20 of the Code, deals with the place of the suit where the defendant does not reside or carry on business or work for gain in Ethiopia. In this case, the plaintiff can institute a suit in any court in Ethiopia, as he may choose, which has material jurisdiction. This rule, however, is subject to one exception. If the suit relates to an immovable property which the defendant owns in Ethiopia, the suit may be instituted only in the court of the place where such property is situated. Art 20 (2) refers to a foreign defendant. For more details, read the provision in the Civil Procedure Code.

3.1.3.2. Mandatory Place of Local Jurisdiction

In the previous sub-section, we saw the basic place of local jurisdiction. It is, we said, the place where the defendant resides, or carries on business or works for gain personally. It is up to the plaintiff to bring a suit either in the place where the defendant resides or carries on business or personally works for gain.

Just as the Code provides a basic place of local jurisdiction, it provides a place of local jurisdiction for specific types of cases. In there cases, the plaintiff is duty bound to institute his suit only in places provided for by the Civil Procedure Code. Next, we will see such instances

3.1.3.2.1. Suits Against Legal Persons

What are legal persons? I left the answer for your reading. The Code provides the place of local jurisdiction for suits against legal persons. According to Art 22(1), suits against a business organization shall be instituted in the court where the head office or branches against which the suit is made is situated. Here I want you to note that a suit can not be filed in the place where the branch is situating if it, but the head office, was not involved. If the suit is against the head office, it should be instituted in the court of a place where the head office is situated, not in court of a place where the branch is situated. Let us say Ato Demsash, resident of Delghi, has agreed to deliver sesame to a business organization at the head office in Gondar. The organization has a branch in Delghi. But Ato Demsash cannot bring a court action against the business organization in Delghi that was not involved in the contract. He has to bring the action in Gondar where the head office of the organization is situated. For they are analogous to what we discussed earlier, you are only advised to read Art 22(2 & 3) in line with Arts 394-520 of the Civil Code.

? Why is the state sued in any place of the country which is convenient for the defendant?

Art. 21 - C.P.C. provides for suits against the state.

Suits against the State or a Government department or agency may in the discretion of the plaintiff be instituted in the court of the place where:

- (a) the plaintiff resides, carries on business or personally works for gain;
- (b) the contract to which the suit relates was made or was to be executed; or
- (c) the act giving rise to liability occurred

In a suit against the state, or government department or agency, the convenience of the plaintiff is considered unlike other rules of local jurisdiction which consider highly the convenience of the defendant. This is presumable because the government is prepared to defend its case anywhere within its territorial boundary. Because of their simplicity, I invite you to read Arts.23 and 28 of the C.P.C.

Art.23 — *Suits regarding successions*

Suits regarding a succession which is being liquidated shall be instituted in the court of the place where the succession was opened

Art.28 — *Suits regarding bankruptcy*

Suits regarding bankruptcy shall be instituted in the division of the High Court on circuit in the Teklay Guezat in which the principal place of business of the bankrupt situate.

3.1.3.2.2. Suits Regarding Contracts

? Can you name and differentiate the four kinds of contracts under Art.24 of the Code?

Art 24 governs the place where suits regarding contracts should be brought. It refers to four kinds of contracts. Art 24(1) is talking about contracts generally where as sub, articles (2), (3) and (4) are talking about specific types of contracts of carriage, insurance, and contracts of pledge, deposit, or bailment respectively. Since the Article has contained four mutually exhaustive rules, each sub-article should be seen independently. Accordingly, the place of local jurisdiction concerning any type of contract other than

those stipulated in Art 24(2), (3) and 4) is the place where the contract was made or was to be performed or was to be executed unless some other place is mentioned in the contract. (Art 24(1)).

Art.24-Suits Regarding Contracts

- (1) Suits regarding contracts may in the discretion of the plaintiff be instituted in the court of the place where the contract was made or was to be executed, unless some other place is mentioned in the contract.
- (2) Suits regarding a contract of carriage shall be instituted in accordance with the provisions of Art. 208 Maritime Code or Art. 647 Commercial Code, as the case may be.
- (3) Suits regarding a contract of insurance may be instituted in the court of the place where the head office of the insurance company concerned is situate or registered in Ethiopia or where the object insured is situate.
- (4) Suits regarding pledge, deposit or bailment may be instituted in the court of the place where the property which is the subject matter of the suit is situate.

? Where do you think is the place of local jurisdiction if a parties concluded a contract in Lalibela to be performed in Daga? Would the place of local jurisdiction be different if they agreed that Bahir Dar will be the place where a suit will be brought in case a dispute arises?

In their contract, as we discuss when we talk about judicial jurisdiction the parties can indicate the place of local jurisdiction in their contract. If they do so, the place of formation and the place of performance of the contract have noting to do with local jurisdiction. The plaintiff will be forced to institute action only in a place where they indicate in their contract.

Per Art 24(2), suits regarding contract of carriage shall be instituted in accordance with provisions of the Commercial Code and the Maritime Code. The Maritime Code will be applicable when the contract is carriage by sea. And they are to be instituted in the court sitting at the port of arrival of the goods per Art 208 of the Maritime Code.

The Commercial Code will be applicable where the contract involves carriage by air. Suits involving contract of carriage by air are to be instituted according to Art.647 of the Commercial Code.

Art 647. Justification

1) Any claim for damages under this title (carriage by air) may be brought, in the discretion of the plaintiff, either before the court of the place where the carrier is domiciled (registered or formed), has his principal place of business or has an agent who make the contract or before the court of the place of destination.

Let us assume that Ato Kibru was a passenger on an Ethiopia Airlines plane flying to Lalibela. He boarded the plane in Bahir Dar. The plane encountered a crash in Gondar, injuring Ato Kibru. Ato Kibru can sue in Addis Ababa where the Company is registered, in Lalibela which is the place of destination and in Bahir Dar where the contract was concluded. Generally, the Commercial Code gives a number of options to the plaintiff to fill his action.

According to Art 24(3), suits regarding a contract of insurance may be instituted in the court of the place where the head office of the Insurance Company is situate or registered or where the object insured is situate. If it involves a life insurance, suit could be instituted in the court of a place where the insured person resides. However, in case of contract of insurance, Art 24(3) does not authorize the plaintiff to institute action in the court of the place where the contract of insurance was made. For Instance, if Ato Habtamu buys an insurance policy in Bahir Dar against his property in Debre Tabor from Africa Insurance Company, he cannot file a suit in Bahir Dar. He can bring action against

the insurance Company only either in Debre Tabor where the insured property is situated or in Addis Ababa where the head office of the company is situate.

Since Art.24 (4) is simple to understand, it is left for your reading. However, Art. 24(1) is not applicable. This is all about local jurisdiction regarding contracts.

3.1.3.2.3. Suits for Wrong Done to Persons or Movable Property.

A resident of Addis Ababa, Ato Kenyalfal, in his journey to Gondar, has encountered a car crash accident. He himself was driving the car which caused the death of 3 persons and 5 oxen at Woreta. The 3 deceased person were residents of Gondar, Metema, and Quara. If heirs of the deceased persons and the owner of the 5 oxen, a resident of Bahir Dar approach you seeking your well-founded advice as to where to institute action, what do you advise them concerning the court that has local jurisdiction?

Art. 27 governs suits for extra contractual liability.

Art. 27. Suits Regarding Wrong To Persons or Movables

a. Suits for compensation for wrong done to persons or to movables property may be instituted in the court of the place where such wrong was done or in accordance with the provisions of Art. 19.

b. Suits regarding collisions at sea shall be instituted in accordance with the provisions of Art. 237 of the Maritime Code.

In the opinion of this writer, it is better for the plaintiff to bring the action for compensation of wrong done in the court of the place where such wrong was done even though the plaintiff is at liberty to bring the action at the place where the defendant resides or carries on business or personally works for gain. This is mainly because it is at the place where the wrong was done that the plaintiff as well the defendant can collect evidence.

3.1.3.2.4 Suits Involving Immovable

In most suits involving immovable property, local jurisdiction lies at the situs and at no other place. Art 25 governs suits involving immovable property. If Art 25 is fully applied,

the provisions of the code dealing with the basic place of jurisdiction do not apply. Thus, suits for the recovery of immovable property with or without rent or *mesne profits*, suits for partition of immovable property, suits for the determination of any right to or interest in immovable property, suits for compensation for wrong to immovable property must be instituted in the court of the place where such immovable property involved in the case is situated.

Art.25-Suits Regarding Immovable Property

- (1) Notwithstanding any provision to the contrary, other than Art. 31, suits for:
 - (a) the recovery of immovable property with or without rent or mesne profits;
 - (b) the partition of immovable property;
 - (c) the determination of any other right to, or interest in, immovable property; or
 - (d) compensation for wrong to immovable property, shall be instituted in the court of the place where such property is situate.
- (2) Where in a suit to obtain relief regarding or compensation for, wrong to immovable property held by or on behalf of the defendant, the relief sought can be entirely obtained through his personal obedience, such suit may be instituted either in the court of the place where such property is situate or in accordance with the provisions of Art. 19.

? What do you think is the reason behind Art.25?

First and for most, it may be necessary for the court to view the property physically. Since such immovable property cannot be transferred from place to place, it will be difficult for a court other than the court in the place where such property is situate to view.

Secondly, may involve a boundary dispute, and measurement of boundaries may be necessary, or if ownership is in dispute, essential documents which can testify are most probably found in the place where such immovable property is situate.

Thirdly, where the case is dependant upon the testimony of witnesses, such witnesses probably reside in the *situs*. Therefore, such suits must be instituted at the *situs*, the court of the place where such immovable property is situate and nowhere else.

However, where the immovable property is held by or on behalf of the defendant, and the relief can be obtained entirely through his personal obedience, suit may be instituted at the situs or in accordance with the provisions of Art. 12. This is an exception to the general rule provided for under Art. 25. This provision, Art 25(2), is intended primarily for cases where the plaintiff seeks specific performance of a contract by which the defendant agreed to transfer immovable property, say a house, to the plaintiff. To elaborate this a little more, let us assume that Ato Tagesew has agreed to sale his house situated in Gondar. He is now personally working for gain in Kosofer, even though his permanent residence is in Debre Markos. But Ato Tagesew is not willing to transfer the ownership of the house according to the contract though he is paid the proceeds of the sale of the house. The buyer of the house is aggrieved by the failure of Ato Tagesew.

? Where can he bring a suit?

The buyer can bring a suit according to Art. 25(2) either in Gondar, where the immovable property is situate, or in Kosofer where he is working for gain, or in Debre Markos where the defendant resides.

3.1.3.2.5. Suits upon Several Causes of Actions

As we will see in the coming Chapter, a plaintiff may claim different or a number of rights from the same defendant based upon different causes of actions. In this case, he can join in a single suit any number of claims against the defendant, even though they may be unrelated. This situation may give rise to questions of local jurisdiction. Art. 29 governs this situation.

Art. 29- Several Causes of actions

Where a suit is based upon several causes of actions arising in different places, the suit may be instituted in any of the court having jurisdiction by reason of one of such causes of actions.

This rule, however, is subject to Art. 25 so that, per Art. 218, the plaintiff could not join suits involving immovable property with other kind of suits where the property is situate within the local jurisdiction of different courts.

To wind up the discussion on the place of local jurisdiction, it is important to note that Art. 19 is the rule on the basic place of local jurisdiction. And exceptionally, when the case falls on Articles from 20-29, the plaintiff will be forced to bring his case in the court provided for by the Articles.

3.1.3.3. Transfer of Suits and Change of Venue

Let us say the place of local jurisdiction is not convenient for both parties, or for one of them for different reasons, what option do parties have?

Just as the Code provides for general rules governing local jurisdiction, it also provides exceptional rules by which a case instituted in one court can be transferred to another court. Art. 31 sets forth the limited grounds on which a case can be transferred and the procedure for such transfer.

? Why do we transfer suits from one court to the other?

There are three grounds justifying transfer under Art. 31. And if it appears to the court that one of the following three grounds is satisfied, transfer may be authorized.

Firstly, transfer may be authorized if it appears to the court that a fair and impartial trial cannot be had in the court where suit was instituted. If, for example, the defendant in a Woreda court is an influential figure in the community, the judges could be biased in his favor. In this case, the plaintiff may apply to the High Court for transfer of his case to another equivalent court or to the High Court itself per Art. 31. But in the opinion of this writer, if the possibility of bias can be avoided by another means, say withdrawal of the judge, transfer will not be justified.

? Can you name some instances where a fair & impartial trial cannot be held in the court where the suit was instituted?

The second ground justifying transfer of suit is if some question of law of unusual difficulty is likely to arise. In this case, if the High Court to which an application for transfer is filled is of the opinion that the case is likely to involve interpretation of complicated code, since another Woreda cannot solve the problem of such interpretation, then the High Court could decide that it could be better if it heard the case.

The third ground justifying transfer under Art. 31 is if an order to transfer would tend to be for the general convenience of the parties or witnesses or is expedient for the purpose of justice. Art. 31(1)(c) incorporates the well — known doctrine of forum non-convenience. This doctrine means simply that even though a court has jurisdiction, it should not hear the case where it is obvious that the plaintiff has chosen with a view

toward making it very inconvenient and expensive for the defendant to defend the case in that place. It does not, however, mean that a transfer should be ordered merely because the defendant would prefer to try the case somewhere else. For instance, the defendant may find it difficult to transport witnesses and evidence. He may in such cases, (out of good faith), apply for the transfer of the suit and the court could possibly order the transfer thereof.

3.2. Objections to Jurisdiction

In the first section of this chapter, we said that for courts of a given country to see and decide a case, the three elements of jurisdiction must be present cumulatively. If one of the three elements is lacking, the court will lack the power to see the case even though the other two elements are present. In this section, we will see the effect of lack of jurisdiction, the objection raised thereon, and the ruling of the court on the objection.

At the first hearing of a proceeding, lack of jurisdiction may be raised both by the court or and by the defendant when he files his preliminary objections according to Art. 244(2) (a). Per Arts.231(1) (b) the court must reject the statement of claim submitted to it where the suit appears from the particulars of the statement of claim to be outside the jurisdiction of the court. If, for example, a suit which involves 20,000 Birr is filed to the state's Woreda court, it is clear that the States' Woreda court does not have material jurisdiction per Art 18 and 15 of the Code.

Art.231-Rejection of the Statement of Claim by court

- (1) The court shall reject any statement of claim submitted under Art. 230 where:
 - (a) it does not disclose any cause of action; or
 - (b) the suit appears from the particulars in the statement of claim to be outside the jurisdiction of the court.
- (2) A claim for recovery shall be rejected where the plaintiff fails to produce the securities required by Art.1403 of the Civil Code.
- (3) On rejecting a statement of claim under sub-art. (1) the court shall record a reasoned order to that effect.

Next we will see the effect of lack of each of the elements of jurisdiction.

? What would happen if the statement of claim does not disclose judicial jurisdiction?

We said previously that it is up to the defendant to object to the judicial jurisdiction of a court. If the defendant does not raise lack of judicial jurisdiction based on the fact that he is not an Ethiopian national or domiciliary, or that the act which is the subject matter of the suit did not occur in Ethiopia, then there is judicial jurisdiction based on implied consent. In effect, the court cannot know whether all the basis of judicial jurisdiction is lacking at the time the statement of claim is filed. The court should not consider the question of lack of judicial jurisdiction unless the defendant raises an objection on that ground at the time of the first hearing. Otherwise, this amounts to implied consent by the defendant to be seen by this very court. In this regard, Art. 231 should be interpreted in light of Arts. 9 and 10(1) of the Code, which only authorize rejection of the statement of claim for lack of material and local jurisdiction respectively.

If the defendant fails to raise lack of jurisdiction at the first hearing, judicial jurisdiction exists on the basis of consent. But there is a distinction between the failure to raise lack of material jurisdiction and local jurisdiction.

? What is the effect of lack of material jurisdiction?

Material jurisdiction represents a decision as to how the judicial business is to be apportioned among the various courts in the hierarchy. Where a preliminary objection is

not raised at the first hearing, it is deemed to be waived unless "the ground of objection is such as to prevent a valid judgment from being rendered."

? My dear student, when do you say that the ground of objection is likely to prevent a valid judgment from being given?

According to Art.244(3), therefore, whenever the court is aware that it lacks material jurisdiction, it shall strike out the suit notwithstanding that the defendant did not raise a preliminary objection on the material jurisdiction of the court (refer Art 9(2)). If the objection has been raised, and the court finds that there is material jurisdiction, the ruling on material jurisdiction is fully appealable even before the case is decided. This is provided under Art.211 (1).

With respect to raising lack of local jurisdiction, the rules are entirely different from that of raising lack of material jurisdiction. As we have already discussed, the requirements of local jurisdiction are primarily intended for the convenience of the parties. If the defendant fails to object lack of local jurisdiction at the first hearing, he is deemed to waive his right. And the court cannot raise lack of local jurisdiction on its own initiative unlike that of material jurisdiction. Unless otherwise the decision has caused a failure of justice, the ruling of the court on the objection raised concerning lack of local jurisdiction is not appealable.

? When is a decision said to have caused a failure of justice?

The Code does not tell us what a failure of justice is But it may be defined as the defeat of a particular right from the lack or inadequacy of a legal remedy for the enforcement of

the one or the redress of the other. The term is also colloquially applied to miscarriage of justice which occurs when the result of a trial is palpably wrong as to shock the moral sense. For instance, there may be a failure of justice if the defendant was forced to try the case in a very inconvenient place where he cannot bring his witnesses.

Pursuant to the second paragraph of Art.10(1), a court having local jurisdiction does not have the power to reject a case on the ground that it may be more conveniently tried by another court that has also local jurisdiction under Arts.19 to 30 of the Code. This would amount to change of venue which is the power of a higher court (Art. 31).

3.3. Conflicts of Jurisdiction & the Solution Thereof

My dear student, I would like to welcome you to the last section of this unit. In this section, I am going to discuss the pragmatic solutions of problems which arise here the plaintiff sues the defendant in more than one court based on the same cause of action.

According to Art.7(1), one and the same civil suit may not be instituted in more than one civil court. But sometimes, this happens. And at other times, the defendant may have a claim against the plaintiff on the same cause. Moreover, parties may file separate suits that actually involve the same claim. All these problems are answer in this section based on Arts 7 and 8 which, otherwise, deal with conflicts of jurisdiction.

Art.7-Priority

- (1) One and the same civil suit may not be instituted in more than one civil court.
- (2) Where a suit may be instituted in any one of several courts, the court in which the statement of claim was first filed shall have jurisdiction and the suit shall be pending in such court.

Art.8-Pendency

- (1) No court shall try any suit in which the matter in issue is also directly and substantially in issue in a previously instituted civil suit between the same parties, or between parties under whom they or any of them claim, litigation under the same title,

where such civil suit is pending in the same or any other court in Ethiopia having jurisdiction to grant the relief claimed.

(2) The tendency of a suit in a foreign court shall not preclude the courts in Ethiopia from trying a suit founded on the same cause of action.

(3) Where the matter in issue is also in issue in a suit pending in another court or is so closely connected with a suit pending in another court that it cannot properly be tried separately the provisions of Arts. 11 or 244 and 245, as the case may be shall apply.

Art.7 covers the problem of priority, which arises when a plaintiff institutes two or more suits on the same claim in different courts. Since this is not permissible, only one of the courts will have the power to see the case. Accordingly, the court in which the statement of claim was first filed will have jurisdiction per Art.7 (2). The plaintiff is the same in both cases.

The other related problem is where the defendant may have his own claim based on the same cause that the plaintiff raises, and the defendant institutes in a different court. The plaintiff in one court will be the defendant in another court. This is the problem of pendency, and is covered by Art 8. For instance Bahir Dar University has concluded a contract with the ANRS Justice Bureau to educate officials of the Bureau. According to the contract, the university has undertaken to give tutorial quarterly by its instructors. In the meantime, the Bureau has failed to discharge its obligation. The Bureau now institutes an action requiring the cancellation of the contract for the tutorial is not given by qualified personnel on the other hand; the university has brought a court action against the Bureau for breach of the contract.

How do you solve this problem? If the two cases were to be decided separately, inconsistent judgment could have been given by the two courts or by different benches of the same court. In such circumstances, it will be difficult to execute the inconsistent decisions. To avoid this problem, the rule on pendency is provided for under Art.8 of the Code. According to this provision, when the court is aware that another similar case is already instituted in another court between the same parties, it will dismiss such suit or direct the parties to apply for consolidation. In the above example, between Bahir Dar

University and ANRS Justice Bureau, the issue is the same. In such situation, Art.11, or Arts.244 & 245 are to be applied.

Under Art.244 (2) (c), a preliminary objection can be taken on the ground that the suit is pending in another court, and where the issue to be determined is the same, the suit may be considered to be pending in another court within the meaning of Art 8. If the objection were made to the court in which the second suit was filed, it would conclude that the issue is pending in another court within the meaning of Art 8 (3) and, therefore, dismiss the case on the ground of pendency. However, either party can make an application to a higher court that the case be consolidated for trial under Art 11. In such a case the higher court, upon granting the application, will grant one of the subordinate courts to try the case. To sum up, the point to remember is that the same issue may not be resolved by two different courts.

SUMMARY

The fact that a given dispute can be settled by the judicial system of a given country does not mean that the dispute can be submitted to any court that can litigate and decide the case. For a given court to litigate and decide a given case it must have jurisdiction. Otherwise, the decision of such court may be challenged due to lack of jurisdiction.

Jurisdiction is defined and understood as the power of a court to hear and determine a case. It constitutes of three elements; judicial, material and local. The three elements must be cumulatively satisfied.

The first element of jurisdiction is judicial jurisdiction, which is concerned with the question of whether Ethiopian courts in general have the power to hear a case. This question usually refers to problems which involve foreign defendants, and it is basically the problem of conflict of law. It is said that Ethiopian courts assume judicial jurisdiction from practice if either the defendant is national or domiciliary of the country or if the defendant has either impliedly or expressly consented to submit himself to the jurisdiction of Ethiopian courts, or if the property, which is the subject matter of the dispute or the cause of action occurred in Ethiopia. Where judicial jurisdiction is lacking, the case must be dismissed for want of jurisdiction without considering the other elements of jurisdiction. However, if judicial jurisdiction is established, then it will be necessary to consider the other elements of jurisdiction.

The next point is material jurisdiction. It is about the type and level of court having power to see the case. If we are to say Ethiopian courts can see the case the question of "which level of court in Ethiopia?" should be answered. It has two aspects; subject-matter and pecuniary aspects. The subject matter aspect of material jurisdiction refers to the type of the case, especially where the subject matter of the dispute cannot be calculated in terms of money. The type of cases could be, in the present situation of Ethiopia either Federal or a States subject matter. The second, aspect i.e. the pecuniary aspect to material jurisdiction concerns determining the level of the court based on the amount of money

involved in the suit. For instance; pursuant to Arts. 3,5,9,11 and 14 of proc. 25/96, if the amount involved in the suit is less than five hundred thousand Birr, and the case is a federal one, the Federal First Instance court will have material jurisdiction. With regard to Federal cases, 500,000 Birr is the benchmark to delineate material jurisdiction of Federal Courts.

By virtue of Proc. 25/96, which provides matters are exclusively put within the exclusive jurisdiction of Federal courts. This kind of jurisdiction is based on laws, parties involved in the suit and places those specified in the constitution to be within the Federal Government i.e. Addis Ababa & Dire Dawa.

Since Proc. 25/96 enumerates Federal Cases, States will have residual power over some cases which are not listed under the proclamation. We have considered such kind of cases in details.

Finally, we have discussed the question of local jurisdiction, which determines the specific court in the locality to which the case may be taken. The basic place of local jurisdiction is the place where the defendant resides, or works for gain or carries on business. Suits may be instituted there except in relation to those cases for which there is specific provision in the Civil Procedure Code. Such places are called mandatory places of local jurisdiction. For instance, in situation where the case involves immovable property the suit must be instituted in the court where such immovable property is situated. The rules of local jurisdiction are also helpful for determining the state court which can exercise. Federal jurisdiction by way of delegation.

Related to the issue of local jurisdiction is the issue of change of venue. This may be made based on the stringent requirements of fear of unfairness and partiality, Involvement of question of law of unusual difficulty or due to inconvenience of the forum. Change of venue comes to the scene especially when the defendant applies to be so.

The case should be instituted in the court having jurisdiction. If a case is filed in a court not having material or local jurisdiction, the court will reject the statement of claim or at a latter step, the defendant will object the jurisdiction of the court. Generally, it will be wasteful for both the parties and the court to file a suit in a court which does not have jurisdiction

Self-Check Exercise

1. Discuss the notion delegation

2. Based on the Family Law of Tigray, a Japanese Tourist in Bahir Dar concluded a contract of Marriage with a beautiful Gondarian girl. As a result of their Marriage, they have owned two cars and 100,000 Birr as their common property. If dispute arises between them,

a) Can Ethiopian Courts Subject the Japanese to their jurisdiction?

b) Where can she bring the suit?

c) If you say, Ethiopian Courts have jurisdiction, which court in Ethiopia has material jurisdiction?

d) Do Ethiopian Courts have jurisdiction over property of the Japanese found in Israel?

3. What differentiates mandatory place of local jurisdiction from principal place of local jurisdiction?

CHAPTER FOUR

PARTIES TO AND THE DIMENSION OF DISPUTE

Introduction

My Dear distance student, welcome to the forth chapter of Module One, which deals with the issues of the real party in interest. As is clearly discussed in the Third Chapter, once it has been decided to institute an action, the first question that the plaintiff should consider is where suit may be brought. Then after, the next important question is whether or not the individual is capable to sue as a plaintiff or be sued as a defendant. This chapter addresses the problem of parties in civil suits. The question of parties seems very simple. But such questions are not simple as such. Any person who wants to be a plaintiff can not be a plaintiff, and we cannot bring anyone into a suit as a defendant. A person, before becoming a plaintiff, has to show a prima facie right over the subject matter of the dispute. And before the plaintiff drags somebody as a defendant, he has to allege something which can be legally claimed against the defendant. Otherwise, the suit will not be maintained.

In this chapter, we will deal with parties who are allowed to be involved in a lawsuit, particularly a civil suit. The question that who may sue, or be sued? Who may join as plaintiff or defendant, what cause of actions can be joined and other relevant questions affecting the dimension of disputes will be answered in this same chapter.

The chapter is in turn divided into sub-topics, and the study is fully based on the Civil Procedure Code of Ethiopia I am sure that you will enjoy studying this chapter.

Objectives:

After successfully studying this chapter, students will be able to

- know the requirements to become a party to a suit;
- Identify who has real interest in a suit,

- Enumerate cases in which parties can be joined;
- Discuss the issues of joinder of causes of actions
- Understand Yardsticks to joinder of parties
- Explain the concept of indispensable parties.

4.1. Plaintiff and Defendants

? Can any person become a plaintiff or defendant as he wishes so?

This question directly takes us to the requirements for a person to sue as a plaintiff or to be sued as a defendant.

Any person who wants to become a plaintiff or who wants to be sued cannot be a plaintiff or a defendant as he wishes so. Of course, any person capable under the law may be a party to a suit as plaintiff or defendant. But capacity is not the only criteria, and is sufficient to make a person become plaintiff or defendant. Among other things, to be a plaintiff first one has to show a prima facie right over the subject matter of the dispute, & to be a defendant, there has to be a person who alleges something against the would be defendant. Otherwise, if there is not a legally established claim between a person called plaintiff and another person called defendant, there will be no dispute & suit. It is this point that we are going to deal in this sub topic. For the definition of the terms plaintiff and defendant, you are advised to read section 1.1 in the first chapter.

4.1.1. Qualification to be Party Plaintiff

Dear student, what requirements should be there for a person to qualify as a plaintiff or defendant?

Art 33 of the Civil Procedure Code provides for the requirements for persons' suing as plaintiff or be sued as defendant. Per Art 33(1), any person capable under the law may be a party to a civil suit. (As plaintiff or defendant)

?

Dear student does it mean that incapable persons cannot be party to a civil suit?

Art 33(1) does not mean that incapable persons cannot be party to a civil suit. It only means that incapable persons cannot file in their own name. Capacity is important to make one a named plaintiff or a named defendant. Persons incapable under the law cannot sue in their own name. They, however, can file a civil suit in the name of their representatives. We will discuss later on how incapable persons are to be represented.

Once we assured the capacity of a person, in order for him to be a party to a suit, he must be interested in the subject matter of the suit. This is what is provided under Art 33(2) C.P.C

?

Who is interested party in a suit?

Art 33(2) reads "no person may be a plaintiff unless he has a vested interest in the subject matter of the suit." It is said that the plaintiff must be a real party in interest.

?

Why is that the plaintiff must be real party in interest?

The provisions of procedural laws on real party in interest determines the number of persons involved in a civil suit and narrows down the dimension of the suit into economically manageable sizes. Had it not been for such rules, every person who wants to litigate a case could have filed in courts. If there were no rules on how to institute a court action, persons without showing any right that is claimed against the defendant could have filed and it would have resulted in congestion of cases in courts instituted by non-interested persons. So, the following two reasons justify the real party in interest requirement:

a. To prevent suits by a person who wants to litigate someone else's claim against the defendant.

If, for instance, Tedy was run over by a lorry and was killed, it is upto his relatives by consanguinity and affinity to file a civil suit against the driver and/or the owner of the lorry. It is not the business of his friends. If Tedy's best friend Kebet decides that Tedy needs a redress he will not be real party in interest. There is not reason to permit Tedy's friend Kebet to file a civil suit in his own capacity. Can Tedy's father institute a suit?

b. The second most important reason for the real party in interest is to prevent two or more suits against a defendant for a single wrong.

As we discussed earlier, the plaintiff must have a vested interest in the subject matter of the suit. This interest of the plaintiff in the subject matter of the suit may or may not be alienated. If the right or the interest in the suit cannot be separated, for instance the claim of the plaintiff for the declaration of paternity, from the individual, it is only the plaintiff himself or through his legal representatives who will have vested interest and claim against the defendant. However, some rights or interests are transferable. If that is the case, the person who originally has the interest will no more have vested interest once he transferred his right in the subject matter of the suit. Where the interest in the subject matter of the suit has been transferred, the defendant should not be subject to suit both by the person who transferred the interest and by the person to whom the interest has been transferred. He is liable to one obligation and not two. In case the defendant is subject to

two suits out of a single wrong or transaction, he has to contend and object that one of the plaintiffs does not have a vested interest in the subject matter of the suit. (Refer Art. 244(2) (d).

To elaborate this, I advise you to assume examples based on your study on the Law of Contracts, especially on Art.1962 and the following of the Civil Code. (Assignment of Contractual Obligations) In this case, it is the assignee, and not the assignor, who will be real party in interest. That is to say, once the debtor (now the defendant) is aware that an assignment has been made; he cannot satisfy the obligation by paying or answering to the assignor.

To wind up the discussion on this point, if in a suit by the assignor, the defendant who is aware of the assignment does not object that the assignor is not real party in interest and judgment is rendered in favor of the assignor, he (the defendant) is subject to a further suit by the assignee. Since he had to object the suit by the assignor, he has to defend the suit by the assignee, and will pay to him the same amount that he paid to the assignor.

Generally, to determine who has vested interest in the subject matter of the suit, we have to consult the pertinent provisions of the substantive law dealing with the matter such as the Civil Code or the Commercial Code or else which defines the right.

For example, per Art .683 of the Commercial Code, an insurer who has insured against damage to an object has the right to be substituted in place of the insured to the extent of the damages he covered. In the case, it is the insurer, and not the insured which will be real party in interest against the tort feisor. So, the real party in interest question is a matter addressed by the substantive law.

4.1.2. Qualification to be a Party Defendant

What is the criterion to be sued as a defendant?

In the previous section, we said that no person may be a plaintiff unless he has a vested interest in the subject matter of the suit. By the same token, no person may be sued as a defendant unless the plaintiff alleges some claim against him. This is exactly the message conveyed by Art .33(3) C.P.C.

Art.33- *Qualifications*

- (1) Any person capable under the law may be a party to a suit
- (2) No person may be a plaintiff unless he has a vested interest in the subject-matter of. the suit.
- (3) No person may be a defendant unless the plaintiff alleges some claim against him.

✓ ? Do you think that one person institutes a civil judicial controversy?

Dear student, if you say it is to enforce a right under the substantive law, you are right. But this is too broad. The main purpose of civil litigation is to provide relief for a wrong that one has suffered in the hands of another. It is just to be compensated where the plaintiff does not want such relief from the defendant; there is not reason to bring the case to court. This is because courts always give discernible and concrete decisions which give relief to the injured plaintiff, and they do not exist to give abstract opinions. The relief claimed by the plaintiff against the defendant shall be clearly known and stated. Where the plaintiff does not seek some kind of relief against the defendant, he is not alleging any claim and cannot make the other person a defendant in a suit. To elaborate the points a little bit, let's see the following example.

E.g. In a car accident between A and B, A's car was highly damaged and the extent of damage was estimated to be 20000 Birr. Accordingly, Ato A was paid the said sum by his insurer. But the Insurance Company waived its right to be substituted in place of Mr. A.

Mr. A knowing that the Insurance Company has failed to sue B, wants to bring a civil suit against B. Can he make Mr. B the defendant to his suit?

Before trying to answer the question in the above example, first you have to determine whether Mr. A has a vested interest once he is paid by the Insurance Company (i.e. insurance is not meant to make profit by the insured!).

? Do you believe that Mr. A has a valid allegation against Mr. B which is based on the substantive Law?

(For more information, you are expected to read on “Ethiopian Civil Procedure”, by Alan Sedler, on PP. 59 & 60)

Once a plaintiff has a valid allegation against the defendant, the suit will be instituted seeking a relief, usually in the form of damages (compensation) or requiring an order that the defendant do or refrain from doing an act; or a declaratory relief. Then the defendant will be required to answer to the plaintiff's allegations, and if proper, the relief can be maintained.

However, there are times where wrong plaintiffs may sue or proper plaintiffs may mistakenly sue wrong defendants. This takes us to the discussion on how proper parties are to be substituted.

4.1.3. Substitution of Parties

Art.40 - *Substitution or Addition of Parties*

(1) Where a suit has been instituted in the name of a wrong person as plaintiff or it is doubtful whether it has been instituted in the name of the right plaintiff, the court, on being satisfied that the suit has been instituted through a bona fide mistake and that it is

necessary for the determination of the real matter in dispute so to do, may at any time order that any other person be substituted or added as plaintiff on such terms as it shall fix.

(2) The court may at any time, of its own motion or on the application of either party and on such terms as it shall fix, order that the name of any party improperly joined as plaintiff or defendant be struck out and that there be added the name of any person who ought to have been joined as plaintiff or defendant or whose presence is necessary for the determination of all the questions involved in the suit:

Provided that no person shall be added as plaintiff without his consent.

(3) Where a defendant is added, the statement of claim shall, unless the court otherwise directs, be amended accordingly and a copy thereof shall thereupon be served on the new defendant and, if the court thinks fit, on the original defendant.

(4) Nothing in this article shall prevent a third party at any time before judgment from substituting himself for either party with the consent of such party on showing that he is qualified under the provisions of Art. 33.

(5) Where it appears to the court at the hearing of an appeal that any person who was a party to the suit in the court from whose decree the appeal is preferred, but who has not been made a party to the appeal, is interested in the result of the appeal, the court may adjourn the hearing and direct that such person be made a respondent.

If a case has been instituted by a plaintiff who is not the real party in interest, the court should not dismiss the case outrightly nor order the substitution or addition of the right plaintiff. The court first has to assure that the institution of the suit in the name of the wrong plaintiff was due to a *bona fide* mistake as to who had the vested interest in the subject matter of the suit.

If the purpose of bringing the suit in the name of the wrong original plaintiff was to obtain some advantage from the defendant, there has not been a *bona fide* mistake, and neither substitution nor addition will be permitted. The original suit will be dismissed, and the proper plaintiff will have to file, if the period of limitation does not lapse, a new suit. For instance if Mr. Zewdu assigns his contractual claim against Mr. Bedilu to his friend Mr. Alemu, he is no more a real party in interest. Let's say when the right is due,

Mr. Zewdu instituted a civil action against Mr. Bedilu claiming the performance of his contractual obligation believing that Mr. Bedilu will raise a counterclaim if Mr. Alemu is to institute the suit. Do you think that Mr. Zewdu has instituted the suit out of bona fide mistake? You will be correct if you answer in the negative.

? Dear Student, what would be your ruling on the objection rose by the defendant who knows the valid assignment if you were a presiding judge? Would you dismiss or order the substitution of the real plaintiff in the above example?

Per Art.40 (1) C.P.C., however, if the court is convinced and satisfied that the suit has been instituted by a wrong plaintiff through a bona fide mistake, and that it is necessary for the determination of the real matter in dispute, it may order that any other party in interest be added or substituted as a plaintiff on such terms as it thinks fit.

? What would happen if the proper plaintiff who is required to be substituted or added fails to do so?

? The last *alinea* of Art.40 (2) provides that no person, shall be added as plaintiff without his consent. Does it mean that he can litigate afterwards?

It is clear that the defendant who is sued in such a case needs a device by which the other plaintiff can be forced to become a party or forgo his right to bring a second suit. According to Art.7 C.P.C., one and the same suit may not be instituted in more than one civil court, and a party should not be subject to two suits on what is essentially one claim. The fact that two or more people have different interest in a claim is not due to any act on

the part of the defendant. For instance, an insurer to the extent of the amount paid to the insured, and the person on whom the wrong is done to the extent which is not covered by the insurance may have a claim on the tortfeasor. But this does not mean that the tortfeasor defendant is liable to the insurer and to that person on whom the wrong is done independently. The two plaintiff's claim is part of one claim. So in this case, as a plaintiff may not split his cause of action per Art. 216 C.P.C., joinder of plaintiffs should be ordered whenever two or more parties have portions of one & the same claim against the defendant. Of course, such plaintiff will not be forced to join. But if he is required to join and failed to do so, it means that he has foregone his right to bring a second suit. Therefore, Art.40 should be read together with Art. 216 C.P.C. what the court is expected to do is to issue an order requiring that the other party be added or be forever precluded from bringing suit on that claim.

Sometimes a person may not be in a position to exercise his right to participate in a suit, or may lack the legal capacity to exercise his right. The next section is devoted to address how such persons are to be represented and exercise their rights through the agency of other persons.

4.2. Representative Suit

Overview

In this section, we will discuss how a person who cannot appear in court for various reasons may be represented by another person. Because in the previous section we said that the party to a suit must be capable, it does not, however, mean that a person under disability cannot be a party to a suit. Such person may sue or be sued through his legal representatives. Hence, the major concern of rules of civil procedure will be how to balance and protect the interests of the represented and the representative. In addition, how the rules are trying not to widen the dimension of the dispute unnecessarily will be discussed.

Objectives:

At the end of studying this section, the student will be able to:

- Define what representative suit is;
- Identify who can represent & who can be represented;
- Explain situations where a person can be represented by persons other than lawyers;
- Distinguish representative suit when the person representing is with or without interest in the litigation;
- Explain what a class suit is
- Identify who the legal representatives are;
- Enumerate and discuss types of representations;
- Identify cases where a person can be represented by a person other than lawyers.

Dear student, what do you think is a representative suit? Can a person be represented by any ordinary person in litigations? In this sub-topic, we will discuss how a person who cannot appear in court in person for different reasons may be represented.

A representative suit may be defined as one in which a person named as the representative of plaintiff or defendant is representing the interest of another. And the suit is brought in the name of the incapable person and then representative is not named as plaintiff or defendant.

? What is the rationale behind representation of the interests of another?

The causes for representation are various. The fact that the human person is the subject of rights and duties per Art.1 of the Civil Code does not mean that he will exercise them personally. To exercise the rights and duties created by the substantive law, one needs to have capacity. Of course, every physical person is presumed to be capable. However,

there are some category of persons such as minors, judicial interdicted persons and legally interdicted persons who are incapable under the law. These kind of persons, though have rights and duties, cannot exercise their rights personally due to their incapacity. Therefore, they will be represented by another person.

If a person is capable, he can exercise his rights. Due to multifaceted nature of human relations, however, it may not be convenient for the person to exercise all his rights personally. A person can be available only in one place at a time. To expect a person to do only one thing at a time in a world where competition is inevitable amounts to making him incompetent. This gives rise to the mechanism of representing capable persons. That is why the Civil Procedure Code itself also provides for the mechanism by which a person who can exercise his rights by himself can be represented. With regard to representative suit, the Code provides for two kinds; that the representative is acting solely for another person, and that the representative is acting for himself as well. We will see them one by one.

4.2.1. Suits by Legal Representatives

Art. 34 C.P.C. provides for the rules which govern litigations by legal representatives. A person under disability may sue or be sued through his legal representative.

Art.34-Representation

- (1) A person under disability may sue or be sued through his legal representative.
- (2) Where a person under disability is not represented by his legal representative, the proceedings shall be stayed until a legal representative is appointed in accordance with the relevant provisions of the Civil Code.
- (3) Without prejudice to the provisions of the following Articles, bodies corporate may be represented in accordance with the relevant provisions of the Civil or Commercial Code, as the case may be.
- (4) Representation in maritime matters shall be as provided for by the Maritime Code.

(5) In all suits concerning property administered by a trustee, executor or administrator, where the contention is between the persons beneficially interested in such property and a third person, the trustee, executor or administrator shall represent the persons so interested, and it shall not be necessary to make them parties to the suit unless the court otherwise directs.

? How do we say a person is under disability?

A person under disability is defined as one who is not capable under the law. Here the term disability is interchangeably used as a synonym to the term incapacity, and this is inferred from the cumulative reading of Art.198 of the Civil Code and Arts.33 (1) and 34(1) of the Civil Procedure Code. This especially comes from the *a contrario* reading of Art.33 (1) of the C.P.C. When Art. 33(1) is interpreted in *a contrario*, it amounts to say that any person who is incapable under the law cannot be a party to the suit.

? What are the sources of incapacity?

Incapacity and its sources are defined in the Civil Code of Ethiopia, and it results from either the age, or mental condition, or from criminal sentences that have been passed against persons. I am sure that you remember what category of persons is incapable under the law from your discussion on the Law of Persons. Generally speaking, persons under the age of 18 years, judicially interdicted persons such as notorious insane, and legally interdicted persons are incapable, and according to the wordings of Art.34(1) C.P.C. disabled persons. The detailed discussion on capacity and incapacity is left to your own study.

The most important concern of this material is not to discuss about incapacity, but how incapable persons participate in civil litigation. Since juridical acts of incapacitated persons may be impugned, they lack the capacity to sue or be sued. Therefore, whenever a party is incapable, suit is to be brought by or against his legal representative

?

What would happen if an incapable person does not have any legal representative?

Art. 34 (2) provides for the solution to this problem. If the incapable party is not so represented by his legal representative, the proceedings shall be stayed until a legal representative is appointed.

?

How long will be the proceeding stayed if we cannot find a legal representative now?

Any ways, minors and judicially interdicted persons are to be represented by their guardians (cross refer Arts. 199(2) & 358 C.C) If a notoriously insane person is not interdicted and has no guardian, the court, when it thinks fit, may pronounce the interdiction of the insane person. This takes place when the interest of such insane person so requires it, and the court should do so, at least, for the purpose of appointing a guardian to represent him in a lawsuit. According to Arts. 351 and 358, the court has the general power to appoint a guardian for an interdicted person to represent him in a lawsuit, and consider the question of a final appointment subsequently.

?

Who is a legal representative of a legally interdicted person?

As is stated under Art.382 of the Civil Code, persons interdicted by law do not have guardian, and at the same time he cannot inter into juridical acts. However, under Art.62(1) of the C.P.C., it is provided that a prisoner person who is a party to a suit and who cannot obtain leave to appear may authorize any person to appear in his place to sue or defend. It is obvious that he cannot be given leave to appear since he cannot perform juridical acts. As a consequence of this, he must appoint an agent. The agent will be his legal representative within the meaning of Art.34 (1) of the C.P.C.

To finalize the point in discussion, I would like to say something on Art.34 (5) C.P.C. It authorizes a representative suit in cases concerning property administered by a trustee, executor, and/or administrator. Art. 516 C.C defines a trustee as person who is administering the property of a trust i.e. an institution or a legal person. Since there are no legal persons or institutions called trusts in Ethiopia, there is no need to devote much discussion here. On the other hand, an executor, according to Art.948 C.C., is a person designated to administer the estate in the deceased's will. An executor otherwise called is a testamentary executor. And in his absence, there will be administrator, the person who liquidates the succession where there is no testamentary executor. So, if the property of the deceased that is to be distributed to the successors is in dispute before it is partitioned, the successors or beneficiaries will be represented by the executor, or in his absence, by the administrator. This rule is applicable both to suits by representative as plaintiff and against him as defendant. The test simply is whether the suit concerns the property being administered by the representative.

So far so good! Till now, we discussed how representation takes place without litigating the interest of the self that the representative is acting solely for another person. Now we will see how the representative acts for himself as well.

4.2.2 Representative Class Suits

This is the second type of representative suit. Class action, also known as representative class suit, is a type of suit in which one or more of the members of a group having the same interest may take or defend a suit concerning the class. In the first type of representative suit the representation takes place to bring defendants on to defend the case on behalf of others without having personal vested interest in the subject-matter of the suit. The guardian of the minor and the judicially interdicted person, for instance, only represent them without having a personal interest. This means that whether the representative won or lost the case which he represents is immaterial to him. Only the party represented will gain or lose as the result of the proceeding.

However, in this second type of representative suit, the representative is representing the interest of others and of himself. He has a double capacity. He has a personal interest in the case. So, he is a representative and a real party in interest at the same time. In this type of representative suit, it is a representative of the class or the group who files the suit or who brings the defense, in general who conducts the litigation. The represented are simply waiting for the outcome or the judgment of the court. It is basically a procedure that is widely applicable in the U.S.A, though the Ethiopian class action is very much different. In countries that apply a representative class suit widely, the suit itself is known as Class Action. And the representative could be lawyers, who personally do not have any claim but who simply represent the persons in the class.

Objective:

After successfully studying this section, the student will be able to:

- Define what a class action is;
- Differentiate a class action from a mere ordinary representative suit;
- Enumerate the criteria to ring a class suit;

?

Dear Student what do you think is the status of the representative in the suit?

In this type of representative suit, the representative is representing the interest of others and of himself. He really has double interest in the case; the interest of others, and his own interest. This in effect means that he is a representative and at the same time a real party in interest. This type of suit is basically a procedure that is widely used in the United States of American legal system. And it is know as class action. Read Art.38 of the Code

Art.38-Representative Party

(1) Where several persons have the same interest in a suit, one or more of such persons may sue on be sued or may be authorized by the court to defend on behalf or for the benefit of all persons so interested on satisfying the court that all persons so interested agree to be so represented

(2) Any person on whose behalf or for whose benefit a suit is instituted or defended under sub-art. (1) may apply to the court to be made a party to such suit.

?

 What is a class action?

Our Civil Procedure Code, in its Art.38 provides for the definition of class actions. It defines a class action as a suit whereby several persons having the same interest in a suit may sue or be sued through their representative whom they authorize to do so by their consent when the court permits.

?

 What are the criteria to bring a class action?

Art. 38(1) incorporates the elements to be satisfied to bring a class action. Accordingly,

1. several persons must have the same interest in the subject matter of the suit;
2. the representative must have an interest;
3. all persons so interested must agree to be represented; and
4. the court must grant permission to sue or defend on behalf of all person so interested.

In other legal systems, such as India, to authorize a representative class action, the size the class has to be large so that it will be allowed only when numerous persons have the same interest. But in Ethiopia, since Art 38(1) says "several", the class does not have to be large though it would have to include more than two persons.

? How many persons are considered to be 'several'?

The difficult question is what constitutes the "same interest" within the meaning of Art.38(1). Whether the plaintiffs or defendants have same interest is analyzed by courts on a case —by-case basis. There is no a single parameter to test the existence of same interest by the parties in a single suit. As one court put it, "for a representative suit to be maintainable it must be shown that all the members of the alleged class have a common interest, that all have a common grievance and that the relief is in its nature beneficial to all of them. Here we have to note that same interest is different from claims which arise from the same transaction. As we will see in the next section, parties may join as plaintiffs where their claims arise from the same transaction and there is likely to be a common question of law or of fact. But this is a different story. If the claims are separate in the sense that each party seeks a recovery for a separate wrong done to him, the parties do not have the same interest in the suit. We can illustrate this point using the following

examples. My dear student, in which of the following examples is a representative class suit maintainable?

E.g. 1. Ato Abebe borrowed 500 Birr from A, 600 Birr from B and a year latter 10,000 Birr from C, 5000 Birr from D, 1,000 Birr from E and yesterday he borrowed 500,000 Birr from F, which is due as of today. At Abebe owed these debts to such various persons which will be due to different loan contracts.

E.g. 2. A bus transporting persons from Gondar to Bahir Dar collided with another car. Some died, other got injured and some others incurred no injury.

E.g. 3. In Merawi, there was a grazing communal land which people in the vicinity used it as a pasture for a long period. But the chair person of the kebele fenced and cultivated it. There were peasants who have one ox, two oxen, 20 cows, 50 sheep, etc.

E.g. 4. The Academic Commission of the Law Faculty of Bahir Dar University has decided to close it distance program.

?

 In which of the above examples, you said a representative class suit is maintainable?

In order for a representative suit to be maintained, the interests of the parties must be identical plaintiffs must seeking the same relief against the defendant for the same wrong committed against all of them. In the above examples, the peasants in the third example, and distance students in the last example have the same interest. if they have the same interest in the subject matter, they will have identical or the same interest in the suit so that representative class action will be maintainable.

The second condition for a representative class suit to be maintained is that the members of the class who would like to be represented must consent or must agree to be represented. In other countries, however, once the existence of a defined class with identical interest is ascertained, the suit will be filed without requiring the consent of

members of the class. The requirement of consent must be unique to the Ethiopian procedure of representative class suits. In other countries that is so because finding out whether a member of the class consents is really very difficult, if not impossible especially where the size of the class is large. Anyways, once decision is given, all members of the class who even did not know that a proceeding that affects their interest would be bound by the decision of the court. The only thing a party who did not know the existence of such proceeding is to apply to be member of the representative suit. However, such judgment will not be binding on a class member, in the Ethiopian procedure, who has not given his consent. So, he can bring a fresh suit or has to be sued. Since every member of the class in Ethiopia must be represented, he should be personally bound by any judgment that is entered against the class. The court will grant permission to bring a representative class suit if the previous two conditions i.e. severalty of persons and their consent are satisfied.

To summarize, in addition to having identical interest of several persons, to bring a representative class suit permission by the court to do so is required. If so, a representative will be appointed. Once a representative is appointed, he will have control over the conduct of the suit. Where a representative has obtained an order of the court, other members of the class cannot appeal. Where the representative withdraws without the permission of the court to file a fresh suit, all other parties who have consented to be represented should be bound by the withdrawal, and should not be able to institute a fresh suit. The court, however, may not permit one of the several persons who have joined as plaintiffs (in our case the representative) to withdraw the suit without the consent of the others. This comes from Art.297 (2) by way of analogy. Also the representative may compromise the suit which will bind the other members of the class. Generally, the case proceeds on the same basis as if it were an individual suit.

4.2.3. Agents and Pleadings

Overview

My dear distance learner, in this section, I will be discussing about how a party to a suit can litigate his case through the agency of others. This is done through persons called

agents and pleaders. These people are assimilated with representatives since agents and pleaders appear in court on behalf of others i.e. real parties in interest.

The basic principle governing the issue of agents and pleaders is provided under Art. 57 of the Civil Procedure Code.

Art 57- Principle

Without prejudice to the provisions of Art. 65, any appearance, application or act in or to any court, required or authorized to be made or done by a party in such court, may be made or done by the party in person or his legal representative, by his agent or by a pleader able to answer all material questions relating to the suit or accompanied by a person able so to answer.

According to the Article, the principle is that a person who wants to litigate a case in court may do it in any one of the following ways.

- (1) The petitioner or a plaintiff or a defendant may appear in person and submit his application and conduct the litigation without a representative provided that the person is capable. OR
- (2) The petitioner or a plaintiff or defendant may be represented by his legal representatives. It is only the legal representative who will act before the court on behalf of the real party in interest. OR
- (3) The party interested may be represented by his agent. The agent will appear and litigate the case on behalf of the real party in interest. OR
- (4) The Real — party in interest may be represented by his pleader. The person called the pleader (a professional of the law) will appear in court and litigate the case on behalf of his client i.e. the real party in interest. OR

Ordinarily, if a person is capable under the law, any appearance, application or act may be done by the person himself, and if the person is incapable, through his legal representatives. This is designed to protect the interest of the incapable person. However, at the time he has to sue or he is sued, the person may be residing outside of Ethiopia or making his business in another place.

? What problem do you see if the law always requires a person to institute a claim or defend a suit only personally?

This question takes us to the discussion of another group of persons called agents and pleaders who represent the interest of others in a lawsuit.

In most civil litigations, the suit concerns the proprietary interest of individual, and the final claim will be calculated in terms of money. So, the person of the individual in a civil suit may not matter. If it matters, the court has the power to require the party to appear in person. This indicates that the party may appear either personally or through the agency of another person. In a civil suit the only requirement is that the person, representative, agent or pleader be able to answer all material questions relating to the suit. This is particularly important for a foreign party or businessmen or one who is residing out of Ethiopia, since he may prosecute a claim or defend a suit without being present here. This is what can be inferred from the reading of Art.65 (1).

? What is the main difference between an agent, legal represent & a pleader?

The position of an agent or legal representative and the position of a pleader must be distinguished.

Since agents are appearing before court by representing others they are assimilated with legal representatives of incapable persons. An agent is a person who is authorized to act on behalf of a party to the suit to do all things that a party is required to do (he does his

job according to the dictates of that party). He is not that party's advocate and does not appear in that role like a legal representative of incapable persons. A pleader, however, is a person who holds an advocate's license, and no person may appear in the capacity of a pleader unless he holds such licence. So, pleaders are professionals of the law, who are dignified characters in the eyes of the general public.

The basic principle concerning agents and pleaders is laid under Art. 57 (Read the provision extracted from the Civil Procedure Code).

? Do you remember the definition of agents in the Civil Code?

The definition of an agent in the Civil Code is not applicable here. This is because as you remember is your study on the Law of Agency the principal can authorize any person to act in his behalf. Art. 58 of the Civil Procedure Code defines agents in litigations. In ordinary suits the agent may be the spouse, brother (sister), son (daughter), father (mother), or grand-father (mother) and such persons are to appear without compensation. Therefore, Art.2205 (2) of the Civil Code to give special agency to bring or defend an action should be interpreted in line with Arts.57, 58 and 63 of the Civil Procedure Code.

Art 57- Principle

Without prejudice to the provisions of Art. 65, any appearance, application or act in or to any court, required or authorized to be made or done by a party in such court, may e made or done by the party in person or his legal representative, by his agent or by a pleader able to answer all material questions relating to the suit or accompanied by a person able so to answer.

Art.58 — Agents in general

Without prejudice to the provisions of the following Articles, the agents of partcles by whom appearances, applications and acts may be made or done are:

- (a) the spouse, brother, son, father or grand-father of such parties appearing without reward on behalf of such parties
- (b) persons carrying on trade or business for and in the names of parties not resident within the local limits of the jurisdiction of the court within which limits the appearance, application or act is made or done, in matters connected with such trade or business only, where no other agent is expressly authorized to make and do such appearances, applications and acts.

Art.63 — *Appointment of pleader*

- (1) No pleader shall act for any person in any court, unless he has been appointed for the purpose by such person by a power of attorney signed by such person or by his recognized agent or by some other person duly authorized by or under a power of attorney to make such appointment.
- (2) Every such power of attorney or a copy thereof shall be filed together with the pleadings in the matter for which the pleader is authorized to act and shall be deemed to be in force until determined with the leave of the court by a writing signed by the client or the pleader, as the case may be, and filed in court, or until the client or the pleader dies, or until all proceedings in the suit are ended so far as regards the client.
- (3) For the purposes of sub-art. (2) any application under Art. 6, 208 or 349, any appeal from any decree or order in the suit and any application or act for the purpose of obtaining copies of documents or return of document as produced or filed in the suit or of obtaining refund of monies paid into the court of execution office connection with the suit shall be deemed to be proceedings in the suit.

Where a non-resident carries on business within the local limits of the court's jurisdiction and the suit involves the business, the person who is carrying on the business on his behalf may appear as agent. This only refers to the person in charge of the business and not a minor employee such as a clerk or a cashier. This is the message of Art.58 (b) C.P.C. If the party, however, is a resident of the place of the court, the agent cannot appear on his behalf. And the agent cannot appear on behalf of the business if the latter has a lawyer to represent.

In suits involving the government as a named defendant, any person authorized to act for the government with respect to judicial proceedings is deemed to be the agent by whom appearances, acts and applications may be made or done on behalf of the government.

The appointment of an agent must be distinguished here from the appointment of a pleader. Per Art.63 (1) in order to appoint a pleader, the party must execute a power of attorney signed by him or his authorized agent to make such appointment. The power of attorney must be authenticated and filed in court together with the pleading. It is deemed to be in force until revoked, or until the death of either the client or the pleader or until all proceedings in the suit are ended so far as regards the client. Since the provisions on the remaining part of the discussion on agents and pleaders, I will wind-up the discussion thereon leaving for your further reading.

4.3. Joinder of Parties and Causes of Actions

Overview

The simplest form of a law suit has a single plaintiff asserting a single cause of action against a single defendant. However as society advanced and develops with the advancement of science and technology, more complex cases were generated due to a multifaceted relation of persons, and many parties and causes of actions become involved in a single suit. If the parties involved are too many, and if they have to be entertained independently, it will be cumbersome to the courts and disadvantageous to the parties. This is because courts entertaining such parties may give different and contradictory decisions which will create problem of execution. So, it has become important to create procedural rules that allow parties and causes of action to be entertained joined. The joinder of parties and causes of action for sure will expand the scope of the civil action, and it has the advantage of, among other things, administering justice as efficiently, economically, and justifiably possible, avoids multiple suits and to extent avoid inconsistency of judgments.

My dear student, to some extent joinder of parties and joinder of causes of action are similar. Both serve to define the dimension of the dispute however, in some respects they are separate and are treated differently in the civil Procedure Code of Ethiopia. Therefore, we will try to discuss the various ways of joining parties and claims in a single lawsuit independently, one after the other. Since the subject matter under discussion is some how technical and difficult to easily understand, you are expected to read the material carefully though it is presented in a simplified manner as much as possible.

Objective

After successfully studying this section, the student will be able to:

- Explain cases of joinder identify rules that allow joinder of cause;
- Differentiate joinder of parties from of action
- Raise objections in case of misjoinder or non-joinder.

4.3.1. Aspects of Joinder of Causes of Action

? Dear student, what is a cause of action?

Cause of action refers to the fact or combination of facts which gives rise to the right to sue. Cause of action for a suit is the sum total of the facts and circumstances which the plaintiff has to prove in order to entitle him to the relief claimed. The term cause of action may be defined as being the fact or facts which establish or give rise to a right of action or the existence of which entitles a party to seek redress in a court of law. It means an action for which the defendant is answerable to court.

It is the subject matter which gives rise to the suit, and is very much related to the transaction. A given occurrence or a transaction may give rise to a number of claims. To substantiate this point, we may assume the following example. Let's say a Minibus taxi,

which transports persons to Peda collided with the Administration office of Bahir Dar University and caused the death of 3 passengers, and two officers of the university. The car also caused the injury of 2 pedestrians and ruined the building of the University. Moreover, one of the injured passengers lost his invaluable watch. In our instance interalia from the same transaction, one of the passengers lost his watch and incurred a bodily injury. This indicates that there are two claims from a single transaction. These two claims are considered as a single cause of action since they arise from a single transaction. Such passenger may file a suit to claim the recovery of his watch and the compensation of his bodily injury.

?

My dear student, how many causes of action can be joined in a single suit?

The general rule allows unrestricted joinder of causes of action by a single plaintiff or plaintiffs with a joint interest against the same defendant or defendants. This rule is provided under Arts. 217-221 C.P.C In this context, "plaintiffs having a joint interest" and "the same defendants jointly" refer to the situation where the right or liability involves two or more persons, but as if it is one person possessed the right or owed the obligation.

There are two limitations on joinder of causes of action. One arises from the nature of the cause of action and the other from the position of the person by or against whom the claim is made. Art 218 provides that claims for the recovery of immovable property may not be joined with other kind of claims except those involving such property such as a claim for *mesne profits* or rent with respect to that immovable property. For instance if Ato A is disposed and evicted from his house by Ato B, for the last five years, Ato B can join the claim for the recovery of his property with the *mesne profit* which Ato A obtained for the five years.

?

Why that is a claim for the recovery of immovable property cannot be joined with other claims?

The justification is that such cases are often difficult to decide, and the Court should be enabled to concentrate its full attention on the question of who is entitled to the immovable property. The exceptions to this rule such as points covered under sub articles (a), (b), and (c) of Art. 218 will be in effect decided only after the court decided whether the plaintiff was entitled to recover the immovable property. The question of rent or *mesne profit* comes second. Moreover, it will be inconvenient to try the other claim with the claim for recovery of immovable property, especially when the two claims are not found within the local limits of the court. As we discussed in the 2nd chapter, suits for the recovery of immovable property must always be brought at the situs. However if both properties situate within the local limits of the court, this rule may be interpreted to allow the joinder of claims for the recovery of two separate pieces of immovable property. Otherwise, joinder could not be permitted.

The other exception is that a claim by or against an executor, administrator, or heir in his representative capacity cannot ordinarily be joined with a claim by or against him in his personal capacity. This is the message of Art. 219. Since this would amount to a suit against two different persons on unrelated claims, the representative cannot sue or be sued in his different capacities. This rule is designed to avoid the problem of conflict of interests i.e. the representative should not be placed in a position where he must protect his own interest in the one hand and the interest of the beneficiaries whom he represented in the same suit. You may refer our discussion on Art.34 (5) CPC. For instance if At Malede is a testamentary executor of the deceased's estate, and he leased such property, if a damage is caused to the person of Ato Malede and on the property he leased & administer, he can't join his claim to be compensated with that of the compensation of the damaged property which he executes. There is one mechanism by which a claim by the

executor may be joined with the claim by his individual capacity. This is left for your own reading!

To wind up the discussion on this point, I would like to make the following points. The rule on joinder of causes of action is a mechanism that allows the plaintiff to join all his claims in one suit instead of going to court on different times. Both the plaintiff and the defendant will be required to appear only once for a number of causes of actions joined. In case joinder of causes of action complicates matters rather than making them easier, the court is entitled at any time of the proceeding to order the separate trials per Art. 221 of the Code especially, when the claims are totally unrelated, and each involves complicated legal or factual questions. Since the court has a great deal of discretion, it may order the separate trial of suits as necessary. Good bye!

4.3.2. Aspects of Joinder of Parties.

? Dear student, what different rates it from joinder of causes of action?

Joinder of parties refers the joining of several parties to a suit as plaintiffs or defendants in the same suit or action. Generally, it is about joining of all or any of those persons as plaintiffs or defendants in whom the right to any relief is alleged to exist, or who is alleged to possess any interest in the subject matter of litigation or who in the view of the court.

As soon as more than one party is involved as plaintiff or defendant, different rules will apply and the question of joinder of parties will be permitted only where the claims made by or against are some how related. While no relationship is required as regards joinder of causes of action, before joinder of parties is proper a relationship must be shown first. Where the claims by or against multiple parties are related, they can be tried conveniently in a single suit, and it is for the purpose of achieving such convenience that joinder is

permitted. Otherwise, joinder of parties will not be permitted if the claims of such parties are unrelated. Here in under, we will see the requirements to be joined as plaintiffs and defendants consecutively.

4.3.2.1. Joinder of Plaintiffs

When more than one plaintiff seeks to file suit against one defendant or the same defendants the rule on joinder of plaintiffs will be applied. Per Art.35 CPC, persons are entitled to join as plaintiffs if the right to relief arises from the same or series of transactions, and if such persons brought action separately a common question of law or fact would arise. The two conditions above must be satisfied cumulatively to be joined as plaintiffs. If not, and one of the conditions is missing, they cannot be joined as plaintiff and they must bring separate suits. As long as the plaintiffs claim arise from the same transaction or series of transactions and there is likely to be a common question of law or fact, the plaintiffs seeking to join as named parties need not to have the same interest like that of parties in the representative class action.

?

Dear student, how do we determine what same or series of transaction is?

If claims of plaintiffs arise from different or separate transactions, joinder will not be proper even though a common question of law or fact may be involved in all the transactions. If for instance 8 stone cutters contracted separately with GAD construction to cut stones, they cannot be joined as plaintiffs if the construction breached the contracts. This is because even though the same question of law or fact i.e. breach of contracts is involved, the claims of the 8 stonecutters for damages based on breach of contracts arose from separate transactions i.e. from separate contract each concluded with the construction.

Art.35-Joinder of Plaintiffs

All persons in whom any right to relief in respect of or arising from the same transaction or series of transactions is alleged to exist, whether jointly, severally or in the alternative, may be joined in one action as plaintiffs where, if such persons brought separate actions any common question of law or fact would arise.

Within the meaning of Art.35, the expression "transaction or series of transactions" refers to an act or related acts which gave rise to the claims of persons involved. Here it should be noted that "series of transaction" refers only to transactions that are related. Separate or unrelated transactions do not constitute series of transactions. If for instance, 5 workers were dismissed by their employer wrongfully, and they want to sue claiming a declaration that they had been wrongfully dismissed, they would be entitled to join as plaintiff. This is because their claims arise from the same transaction i.e. the wrongful dismissal. But if the five employed claimed damages for breach of their contracts, they would not be entitled to join as plaintiffs since their claims arose from separate or unrelated transactions.

?

What constitutes "series of transactions"?

Suppose that a minibus taxi collided with a building and caused injury to persons working in the building. Also it collided with a nearby truck and killed the driver. In this hypothetical case, the owner of the building, the person working in the building, the owner of the truck and the driver suffered much and incurred injury from the incidence. Since their claims arise from these series of transactions within the meaning of Art. 35, they would be entitled to join as plaintiffs. Hence, the injury to the owner of the building, to the persons working therein, to the truck and to the driver of the truck may be considered as series of transactions by the defendant. The question of whether the right to relief arises from the same transaction or series of transactions may be determined by a consideration of the method by which each wrong was committed and the time when the transaction took place.

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Are the two conditions cumulative?

The two conditions under Art 35 are not alternative. If the claims of plaintiffs arise from the same or series of transactions, to be joined as plaintiffs, a similar question of law or fact must arise if they sue separately. There is a question of law when the issue presented to the court for determination is to be determined based on the evidence presented by the parties. This point is too simple, and hence is left for your own reading.

Here it should be noted that joinder will be proper if the two conditions under Art. 35 are met irrespective of the number of plaintiffs and the fact that the damages each suffered may be different. However the plaintiffs must be seeking relief against the defendant and may not be seeking relief against each other as well. That is to say that the interests of the plaintiffs must not be antagonistic.

So long as their rights arose from the same or series of transactions and there is a common question of law or fact, joinder of plaintiffs will be proper. There is no requirement that the plaintiffs be claiming the same relief and that the defendant might be asserting different defences against the joined plaintiffs. Where the claims that have been joined cannot be conveniently tried altogether, the court may order separate trials per Art.221 C.P.C. What is important here is to bear in mind that joinder is proper, but not conveniently to see the case may be because of the very large number of parties, or large number of claims. But if two or more persons are joined as plaintiffs in one suit in a case not covered under Art. 35, the solution is not to order separate trials, but misjoinder of plaintiffs. Here the joinder is not proper. In such cases either of or both of the conditions under Art. 35 are missing. So, the other party has to raise a preliminary objection on misjoinder of plaintiffs per Art.39 CPC at the earliest possible opportunity. If, however, the objection is not raised, it will be deemed to have been waived. Based on the objection

raised by the defendant, if the court sustains the objection, the court should not dismiss the suit, but the statement of claim may be amended by striking out the names of such plaintiffs that have been improperly joined and the suit will proceed with the proper plaintiff or properly joined plaintiffs.

To wind up the discussion on the joinder of plaintiffs, I want to make you know that joinder under Art.35 is permissive in the sense that it will be applied only when the would be plaintiffs prefer to join together in one suit.

Next, we will see joinder of defendants where only the second condition under Art 35 to join as plaintiffs is necessary i.e. to join as defendants whether the claims arise from same or series of transactions is not material.

4.3.2.2. Joinder of Defendants

Art. 36 C.P.C provides for the rule by which a number of defendants may be joined in a single suit. In this kind of joinder, one plaintiff or plaintiffs entitled to join under Art. 35 C.P.C is suing more than one defendant. Under Art 36, there are a series of different rules governing joinder of defendants. Among other things, Art. 35(3) and (4) deal with indispensable and conditionally necessary parties, which will be discussed in the next section, and Art. 36(1), (2), and (5) deal with permissive joinder.

Art.36-Joinder of Defendants

- (1) All persons against whom the right to any relief is alleged exist, whether jointly, severally or in the alternative, may be joined as defendants where, if separate suits were brought against such persons, any common question of law or fact would arise.
- (2) The plaintiff may join as parties to the same suit all or any of the persons severally, or jointly and severally, liable on the same contract, including parties to negotiable instruments.
- (3) Where a suit concerns property administered by several trustees, executors or administrators, all such persons shall be made parties to a suit against one or more of them, provided that trustees, executors or administrators outside Ethiopia need not be

made parties unless otherwise ordered by the court on an application being made under Art. 43.

(4) Where the plaintiff sues for the recovery of immovable property free of occupants, such occupants, whatever their title, shall all be made parties to the suit.

(5) Where the plaintiff is in doubt as to the person from whom he is entitled to redress, he may join two or more defendants so that the question as to which, if any, of the defendants is liable, and to what extent, may be determined as between all the parties.

(6) It shall not be necessary that every defendant be interested as to all the relief claimed in any suit against him.

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What differentiates joinder of plaintiffs from joinder of defendants

There is only one condition for joinder of defendants under this rule — which a common question of law or fact would arise if a separate suit against such persons would be brought. Whether the cause of action arises from some or series of transactions or not is immaterial to join defendants. (Only common question of law or that means the same specific legal or factual question). Joinder, however, is not proper merely because the two cases involve generally the same kind of legal or factual question. If the plaintiff has unrelated claims against B and C arising from breaches of contracts that each has with the plaintiff, he cannot join B and C as defendants in the same suits. It does not matter whether the court will have to consult the same provisions of the Civil Code relating to contracts. In one case, the plaintiff joined two defendants whom he lends money using two independent cheques. But the court ordered the separate trial by striking out the name of one of the two defendants since the claims of the plaintiff against the two defendants were unrelated.

Joinder of defendants, in general, is improper only where the claims against the different defendants are so unrelated that there is no likely to be a common question of law or fact.

Practically, however, there is hardly a case with similar question of law or fact that arose from different and separate transactions. As such, it is not easy to imagine cases that arose from separate transactions but which give rise to similar question of law or fact under Art. 36. In the Indian Code of Civil Procedure, for instance, like joinder of plaintiffs in Ethiopia, the claims must arise from the same transaction. Because of this, in the New Draft Amendment of the Civil Procedure Code of Ethiopia, the requirement of same transaction or series of transactions has been included as a criterion for joinder of defendants.

Art.36 (2) provides that the plaintiff may join as defendants all or any of the persons severally or jointly and severally liable on the same contract, including parties to a negotiable instrument. The main purpose of this rule is to enable the plaintiff to have his rights under a contract determined without to file separate suits against all persons involved in the transaction. For instance, a plaintiff may join the drawer of a cheque and all persons who endorsed that cheque there is no requirement that there be common question of law or fact. In our previous example, the plaintiff may join all endorsers and the drawer in one suit, or may sue any one of them since they (the endorsers and the drawer) are jointly and severally liable.

The last situation in permissive joinder of defendants is where several defendants may be joined in case the defendant is in doubt as to the person from whom he is entitled to redress per Art.36(5). In this case, the plaintiff may join two or more suspected defendants so that the question as to which, if any, of the defendants is liable, and to what extent may be determined as between all the parties involved as defendants. Here again, there is no requirement that there will be a common question of law or fact, although it is likely that there will be. The reason behind this rule is that probably one of the parties will be liable to the plaintiff, though he is not sure as to which one of them. Under this rule, the plaintiff may join them and force them to litigate the question of liability between themselves. The only requirement for joinder of defendants under this rule is the plaintiff cannot specify which of the defendants he joins is liable to him or to what extent.

To conclude, under Art.36 the only requirement for joinder of defendants is whether there is likely of Art. 36 is to enable to plaintiff to determine his rights against all persons who may have interfered with those rights. The provisions under Art 36 are broad and are designed to insure that all claims of the plaintiff may have against the various defendants may be adjudicated in a single suit.

The problem with regard to joinder of parties & causes of actions arises when multiple parties sue or are sued on multiple causes of actions. Where two or more plaintiffs are joined, their claims must arise from the same or series of transactions and there must be a common question of law or fact. And where two or more defendants are joined, there must be a common question of law or fact, or all the defendants must be parties to the same contract, or the plaintiff must be in doubt as to the person against whom he is entitled to a relief. However, there are no specific provisions in our Civil Procedure Code dealing with multiple parties and claims. So, when we faced with such a problem, the court must consider both the rules as to joinder of course of action (from Art. 217-221) and joinder of parties (Art. 35, 36 and 39 C.P.C.). Next, we will see joinder of indispensable parties

4.3.2.3. Mandatory Joinder of Indispensable Parties

The civil procedure Code does not expressly deal with the question of mandatory joinder except for Art.36 (3) and (4), which requires the joinder of parties in certain cases, and Art. 39(1) which provides for the mandatory joinder of parties in case of non-joinder

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 What is indispensable party?

An indispensable party is one whose interests, rights or duties will inevitably be affected by a decree rendered in action in which he is not a named party. The clearest example is a party who has a joint interest in the claim or obligation which is the subject matter of the

suit. Joint owners of an immovable property per Art.1257 ff C.C., husband and wife on the common property, will have a joint right in the subject- matter of the thing. In these cases, if one of the joint owners of an immovable property, or the husband only on the common property have been sued separately, the other joint owners, or the wife will be indispensable parties. In other words, one of the joint owners or the husband had no distinct right. Therefore, all joint owners, or both the husband and the wife had to be parties to a suit. This is what is provided under Art.39 and 40(2).

Art.39-Misjoinder or Non Joinder

- (1) No suit shall be defeated by reason only of the misjoinder or nonjoinder of parties and the court may in every suit deal with the matter in dispute so far as regards the rights and interest of the parties actually before it.
- (2) Any objection on the ground of misjoinder or nonjoinder of parties shall be raised at the earliest possible opportunity and any objection not so raised shall be deemed to have been waived.

Mandatory joinder of parties raises the issue whether certain persons not joined as parties have sufficient interests in the suit that they must be joined and whether, if they cannot be joined the suit will be allowed to proceed without them or must be dismissed. The history of the legal rules governing mandatory joined of parties is complicated, and the rule on indispensable party was based on the premise that a court should do "complete justice or none at all (please try to scrutinize the elements incorporated under Arts.36 (3), 36(4) 39 and 40(2) the Civil Procedure Code.

In determining whether a party not joined is an indispensable party, regard must be had to the requirement that the rights of the party would necessarily be effected by the decree rendered in the suit. The court must consider the factual circumstances of the particular case and ask whether the issuance of the decree would necessarily affect he rights of the party alleged to be indispensable. Here, we are not concerned with whether that party could have joined as plaintiff or defendant nor are we concerned with whether he could intervene. We are concerned only with whether he must be joined in order for the court to

proceed with the case, and this is so only if his rights would necessarily be affected by the decree in a particular case.

Where an indispensable party has not joined or has not been joined, the defendant should raise this objection as soon as possible, namely at the first hearing. Art. 39(2) provides that any objection on ground of misjoinder or non-joinder of parties shall be raised at the earliest possible opportunity and any objection not so raised shall be deemed to have been waived. However, it is generally recognized that such objection cannot be waived and that the court, if necessary, may raise it on its own motion. Art. 40(2) provides that the court may at any time, of its own motion or on the application of either party, add the name of any person who ought to have been joined as plaintiff or defendant or whose presence is necessary for the determination of all the questions involved in the suit. The reason is to protect the interest of the indispensable party who is not joined. The defendant cannot, in effect, waive the rights and interests of a third party. Like the case of absence of material jurisdiction, the absence of an indispensable party renders it impossible for the court to proceed with the case. This indicates that Art. 39 must be read in conjunction with Art. 40(2). This is because the court directed to dismiss the case due to non-joinder by Art. 39(2) is given the power to order the mandatory joinder of the absent indispensable party even in case the defendant fails to raise objection due to non-joinder per Art. 40(2). However, if the indispensable party is not subject to the jurisdiction of the court, then the court must dismiss the case.

There will be no problem, and the statement of claim will be amended accordingly where the indispensable party is joined as a defendant. However, since Art. 40(2) provides that no person shall be added as a plaintiff without his consent, a problem may arise when an indispensable party plaintiff does not join.

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What would happen if a plaintiff who has a joint interest in the subject matter of a suit refuses to join the suit? Would the court dismiss the suit? If that is the case, would it not amount to denial of others the opportunity to recover their rights?

It would be, of course, unfair to deny other plaintiffs who have a joint interest with the plaintiff who refuses to join if the court dismisses the suit. It is clear that a person will never be forced to join as a plaintiff. But to give other plaintiffs the opportunity to recover their right, and not to subject the defendant to two or more suits which would arise from a single cause of action, courts interpreted Art.40(2) to the effect that no person shall be added as plaintiff without his consent to mean that a person will not be added as a named plaintiff; instead he may be joined as a defendant. Such an interpretation is very sound and fair. In so doing, the rights of named plaintiffs should not be affected, and if in case the plaintiffs are unsuccessful, he would not be liable for the costs, and would not even have any responsibility for the litigation. Here I want to pose two questions and leave them unanswered.

☐ ? Do you think that the decree passed in his absence will affect the interest of a person who refuses to be added as plaintiff per Art.40 (2)?

☐ ? Can the person who refuses to be added as plaintiff bring another fresh suit after the suit between named plaintiffs and the defendant is decided?

4.4. Third Party Practice, Interpleader & Intervention

Overview

Dear distance student, I will discuss some group of parties to lawsuit who are not the original parties to the suit as plaintiff or defendants. Sometimes persons other than the plaintiff or the defendant may be involved in a law suit. They are not original parties to the suit but are either dragged by the defendant, or they themselves apply to join the lawsuit where they find it that their interest will be affected. This is perhaps one of the interesting parts of Civil Procedure. In this section, I will try to discuss the subject matter of third party practice. And then I will see the procedure on impleader. Finally, I will discuss the conditions to intervene in a suit.

Objective:

After successfully studying this section, the distance student will be able to:

- enumerate cases which widen the dimension of the suit in the course of the proceeding;
- identify the three procedural mechanisms of joining a proceeding;
- explain the differences and similarities, if any, among third party practice, intervention and impleader;
- apply the procedural rules to practical cases,
- identify objections and with regard to intervenors third party defendants,
- give rulings on applications.

4.4.1. Third Party Practice

In the Common law, this practice is called impleader. It has its roots in the "vouching to warranty practice at common law where a person whose title to land was challenged could vouch in the grantor of the land who has warranted the title. The term "impleader" refers to the rights of a defendant to bring in a new party who may be liable for plaintiff's claim against it, and under what we now call in Ethiopia, "third party practice."

In this kind of procedure, the plaintiff is not involved at all, as he has made no claim against the third party defendant. Since there had been no relation between the plaintiff

and the third party defendant, it does not matter that the plaintiff could have originally joined the third party.

? dear student, what is a third party? And what is a third party defendant?

The main point here is whether the defendant can bring him as a third party defendant, and his right to do so is governed by Art. 43. Once the third party defendant is dragged into the suit, the court will adjudicate the claims of the defendant against the third party defendant as he adjudicates the claims of the original plaintiff against the defendant.

? What is the purpose of Impleader?

Separate suits can be avoided by permitting the defendant to join the third party defendant as follows. The defendant who has a right against third party will not have to bring a subsequent suit against him. His claim against the third party can be adjudicated in the same suit where the plaintiff's claim against the original defendant is being adjudicated. As a practical matter, if the court finds that the original defendant is liable to the plaintiff and that the third party defendant is liable to the defendant, the third party will pay the plaintiff directly. So, the purpose of impleader is to settle all claims involving the same transaction in a single suit.

? What is the criterion to join third party defendants?

Art 43 authorizes joinder of a third party defendant where the defendant claims to be entitled to contribution or indemnity from the person.

Art.43-Joinder of Third Party

(1) Where a defendant claims to be entitled to contribution or indemnity from any person not a party to the suit, he may in his statement of defence show cause why the third party is liable to make contribution or indemnity and the extent of such liability and apply to the court for an order that such person be made a party to the suit.

(2) Where the application is allowed, the third party shall be served with a copy of the statement of claim and defence and, upon being summoned to appear on such day as the court shall fix, shall be deemed to be in the same position as a defendant.

(3) The claim as between the defendant and the third party shall be tried in such manner as the court shall direct.

(4) The provisions of this Article shall apply by analogy where a defendant claims to be entitled to contribution or indemnity from any other defendant in, the suit:

Provided that nothing in this sub-article shall prejudice the plaintiff against any defendant in the suit.

There is a single criterion to bring an impleader action. If the defendant seeks to join a third party defendant, in his statement of defence, he must show cause why the third party is liable to make contribution or indemnity and the extent of such liability, and apply to the court for an order that such person be made a party to the suit.

?	Is the original defendant here expected to produce evidence to that effect?

Based on the application of the defendant to call upon and join the third party defendant, the court will decide on the application without learning the third party. If the defendant makes out *a prima facie* case, i.e. if he satisfies the court that he may be entitled to a contribution from the third party, per Art. 43(2), the third party will be served with the

statements of claim & defence and ordered to appear on such day as the court shall fix. At that day, the court will consider any objections raised by the third party. If the court concludes that joinder is not proper per Art.43, it orders that the third party be dropped as a party. But if it concludes that he may be liable to make contribution to the original defendant, it will proceed to try that claim as well as the plaintiffs claim against the original defendant.

The right to contribution or indemnity is determined by the substantive law. Contribution refers to the situation where more than one person has committed the same wrong against the plaintiff or has the same obligation to him. The best example is the case of plurality of debtors per Arts.1896 — 1909 Civil Code where co-debtors are jointly and severally liable. In such a case, the plaintiff can sue one of them, and the named defendant will be entitled to drag in the remaining others to the suit. Indemnity, on the other hand, refers to the situation in which a party who has had to pay a claim is entitled to recover the amount paid, in whole or in part from another person. The best example here is the case of insurance, where an insured is entitled to drag in the insurer as a third party defendant. Generally, a party is entitled to indemnity where the law imposes on another person a duty to reimburse him for a liability he has incurred on behalf of that person or due to his actions.

The intention of Art.43(1) is that the defendant should be able to join as third party defendants those from whom he may be able to claim contribution, in case he is found liable at the final analysis of the proceeding; at the time of the suit, he should not have to pay the liability. Thus, Art.43(1) should be interpreted to mean that a defendant who, if he had paid the whole debt, for instance would be entitled to contribution under Art 1998(1) may be joined as third party defendants those who would be liable to make contribution under the substantive law. Any other interpretation would render Art 43 ineffective, and no defendant would be entitled to contribution within the meaning of Art.43(1).

In general, the provisions relating to third party defendant provide an effective device which all claims arising from the same basic transaction can be determined in a single

suit. This procedure only involves the defendant and the third party defendant, and the plaintiff's right against the original defendant cannot be affected by such joinder. Impleader is proper only when the defendant shows that he is entitled to contribution or indemnity from a third person.

4.4.2. Interpleader

Interpleader has ancient origins in the common law and it was developed into a suitable device for permitting a person faced with conflicting interests to a limited fund or property to bring all the claimants into a single suit. In this manner the holder of the money or property could avoid the unfairness of inconsistent judgments or multiple liabilities that might result if the claimants were to sue individually. It helps the holder of the money or property, fearing separate suits by individual claimants to institute his own action in which all the claimants would be required to litigate their claims simultaneously.

The main objective of instituting an action of interpleader is to free the self from liability without claiming any right or entitlement on the subject matter of the suit. The procedure on interpleader is applicable where there are two or more claimants over a certain property that is in the hands of the person who is called the interpleader.

Although the Code treats interpleader under Art. 293 and the following as a special procedure, since it is an aspect of multi-party litigation, it is discussed here.

Art.293 — *Definition*

A suit of interpleaded is a suit wherein a person in possession of property or owing money which is or may be claimed adversely by two or more persons, to one or other of whom alone he can be liable, seeks to be relieved from liability to the claimants, or either of them, with regard to the disposition of such property or money.

Art.294-Statement of Claim in Interpleader Suit

A suit of interpleader shall be instituted by filing, upon payment of the prescribed court fee, a statement of claim which shall, in addition to the particulars required by Art.22, state:

- (a) that the plaintiff claims no interest in the subject-matter in dispute other than for charges or costs;
- (b) the claims made by the defendants severally; and
- (c) that there is no collusion between the plaintiff and any of the

Proceedings on interpleader are intended when the plaintiff is confronted with the problem that he may be liable to more than one person on the same claim. If he pays to one claimant, and it finally turns out that the other claimant is entitled to recover, he will have to pay the latter claimant. To avoid such a situation, the procedure on interpleader is provided under (Book IV of the Civil Procedure Code of Ethiopia.)



What conditions must be satisfied to bring an interpleader action?

Under Art.293 C.P.C, an action on interpleader is defined as a suit where in a person in possession of property or owing money which is claimed adversely by two or more persons, to one or other of whom alone he can be liable, with regard to the disposition of such property or money. In order for the plaintiff to institute an action of interpleader, the following conditions must be satisfied:

1. the plaintiff must not claim any interest in the subject matter of the suit other than for charges or costs;
2. the claims must be such as to expose the plaintiff to multiple liability on a single obligation;
3. there must be no collusion between the plaintiff and any of the defendants.

This is what Art. 294 provides for. The plaintiff must admit the obligation. But he cannot institute a suit in interpleader and at the same time deny that he is liable to any of the claimants. If for instance a person provides in his policy of life insurance that the proceeds should be paid to his wife at his death, and if 5 women appear at the death of that person claiming that each was his legal wife, the insurance company can institute an action in interpleader, and refuse to pay either claimant. But the insurance company cannot deny that it was liable and at the same time institute the action in interpleader.

An interpleader suit may be instituted even after one of the claimants has filed suit against the holder of the money or property (stakeholder). The holder then may file an interpleader suit joining the person who has sued him and other claimants. For more details, read Arts. 293-299 C.P.C

4.4.3. Intervention

My dear student! In this section, I am going to discuss how a party, who is not made a party, but whose interest will be affected by the outcome of the suit, presents a claim or defence in a pending action or in a proceeding thereto and become a party for the purpose of the claim or defence presented.

?

 What is Intervention?

Have you tried? Intervention is a device for an outsider, to a pending case, who has an interest in a law suit to voluntarily join it as a party. Sometimes an intervener has an obvious interest in a suit. He might, for example, be someone who should have been joined but was not because he had insufficient contact with the forum.

In our Civil Procedure Code, intervention, under Art.41 is defined as a procedural device by which any person interested in a suit between other parties may intervene therein at

any time before judgment for the purpose of a claim or defence presented. And together with this is Art.42, which deals with what is called intervention by public prosecutor.

Art.41-Intervention of Third Party

- (1) Any person interested in a suit between other parties may intervene therein at any time before judgment.
- (2) The intervention shall be made by the filing of a separate statement containing all the grounds which justify such person in intervening.
- (3) Where the intervention is allowed, the proceedings shall be stayed until the parties have been served with a copy of the statement of the intervening party.
- (4) Where service is not effected for a reason attributable to the intervening party, he shall be deemed to have withdrawn his statement.
- (5) Nothing in this Article shall affect the provisions of Arts. 293-299.

Art.42- Intervention by the Public Prosecutor

The public prosecutor shall intervene whenever his intervention is required by law, in particular in cases relating to:

- (a) civil status (Arts.116, 122 and 156 Civil Code);
- (b) incapacity (Arts. 234, 354 and 377 Civil Code);
- (c) marriage (Art. 592, 608, 609 and 612 Civil Code);
- (d) bankruptcy (Arts. 975, 978, 980, 990, 1004 and 1017 commercial Code).

?

 is said to be interested in a suit between other persons?

The test for intervention is not the same as the test for permissive joinder. The fact that the intervener could have been joined as plaintiff under Art 35 or been joined as defendant under Art 36 does not necessarily mean that he is entitled to intervene in an action to which he was not an original party. The crucial point is whether one is interested in a suit between other parties. Art 41 requires that the intervener be interested

in the suit that has been filed between other parties; it does not permit him to add his own independent claim to that suit merely because he could have originally joined that claim. In this case, it will be of no import to the intervener whether the original party plaintiff is successful or not. Therefore, where the intervener seeks independent relief on his own claim, he is not interested in the subject matter of the suit between the original plaintiff and the defendant and is not entitled to intervene under Art 41. This avoids the rise of new issues and further delay in the proceedings.

One test that has been proposed to determine whether intervention is proper is either the intervener will gain or lose by the direct legal operation of the judgment to be rendered in the suit between other parties. If that is the case, then he would be said to be interested in the subject matter of their suit.

? My dear student, can you think of instances where the person is said to be interested in a suit between two parties? In which of the following examples will the interest of a person be affected?

Eg.1. In an accident, caused by the collision of two cars, a number of pedestrians, passengers, owners of the two cars and their drivers were injured. The owner of one of the cars and its driver brings a suit against the owner of the other car. One of the pedestrians who incurred a sever injury wants to intervene ,can he do so?

Eg.2. Black Nile Trading, insured by NICE, imports goods from the Sudan, and is insured to any damage caused on the goods imported and on the car to the extent of 1 million birr. In a slippery road near to Metema, the car carrying the imported goods turned off and got crushed causing the complete destruction of goods and injury to another car. The owner of that car sues Black Nile trading, can the Insurance Co. NICE intervene?

Intervention will only be permitted where the party seeking to intervene is an indispensable party and where his interest will be affected by the decree rendered in his absence. For the procedure followed in case of intervention, you are advised to read the sub-articles of Art 41.

Art 42 deals with what is called intervention by the public prosecutor, and it provides that the public prosecutor shall intervene whenever his intervention is required by law. This is not necessarily true intervention since in many instances the public prosecutor may initiate the proceedings. This Article will be applied if the suits were initiated by a private party. In this case, the public prosecutor could intervene as of right rather than initiating a distinct proceeding. Since the issue at hand is not that much complex, it is left to your further reading.

Since the matters more of are addressed in the substantive law, how special classes of parties such as bodies corporate, partners, parties in maritime cases and paupers are represented will not be discussed here even though Art 34 provides the applicable rules thereon. In these cases, relevant provisions of the Civil Code, Commercial Code and the Maritime Code will be applied. So, you are advised to find out and understand the pertinent provisions in the said substantive laws.

4.5. Death and Insolvency of Parties

Overview

In this section, we will discuss the procedural rules applicable to continue a lawsuit in case the party concerned dies or is declared bankrupt. In the discussion, I will touch upon procedural problems that arise where a natural person who is a party to a suit dies or where a legal person becomes insolvent while the case is pending. We will also discuss the procedure of substituting parties that are entitled to be substituted to continue the suit.

You are advised to fully understand and apply the provisions of the Code dealing with the matter at hand.

Objective:

After successfully studying this section, the student will be able to:

- Explain the effect of death of a party to a suit,
- Explain when substitution of a party died or a legal person which is declared insolvent is possible,
- Discuss the difference between the effect of death of a natural person and bankruptcy of a legal person which is a party to a suit.

4.5.1 Death of a Party to a Suit

As is rightfully stated under Art 1 of the Civil Code., the human person is the subject of rights and duties from birth to death, and by analogy death of the human person is equivalent to insolvency of a legal person. In this section, we will discuss the impact of death and insolvency of parties on a pending case. Also we will see what procedural problem will arise where a party dies or is declared bankrupt.

? What is the fate of a pending case if one of the parties to the suit dies or becomes insolvent?

The Civil Procedure Code provides for the mechanism by which such situation can be governed. The general rule is that the death or insolvency of the plaintiff or the defendant does not cause the suit to abate if the right to sue survives. The abatement of a suit as a result of the death or insolvency of one of the parties to a suit depends upon the nature of the obligation or the claim that is required in the suit. So, if the right of a person by nature is transferable and is alienable, it does not result in abatement of a suit in case one of the parties dies or becomes insolvent. For instance a contract usually creates transferable rights. As a result of this, a suit in a contract would never abate unless the nature of the contract was continued performance by the defendant himself would be required.

It may be said that a suit will abate where it involves the personal performance or actions of one of the parties. In this case, the right cannot be separated from the individual. They are inalienable and extra-commercium rights, which cannot be transferred to others. Suits for a declaration of paternity, or that the plaintiff is husband or wife of the defendant, etc, involve personal status and the death or insolvency will result in the abatement of the suit. The right to sue does not survive the holders of the right and ends there!

But if the right to sue survives and it does not cause the suit to abate, the right to sue will pass to heirs and the suit will continue. As to how the substitution and continuation of the suit take place please, read Arts 49 and 50 of the Civil Procedure Code.

Art.48-Partys Death if the Right to Sue Survives

- (1) The death of a plaintiff or defendant shall not cause the suit to abate if the right to sue survives.
- (2) Where one of several plaintiffs or defendants dies and the right to sue survives to the surviving plaintiff or plaintiffs alone, or against the surviving defendant or defendants alone, the court shall cause an entry to that effect to be made on the record, and the suit shall proceed the instance of the surviving plaintiff or plaintiffs, or against the surviving defendant or defendants.

Art.49-Death of Several Plaintiffs or of Sole Plaintiff

- (1) Where one of several plaintiffs dies and the rights to sue does not survive to the surviving plaintiff or plaintiffs alone, or a sole plaintiff or sole surviving plaintiff dies and the right to sue survives, the court, on an application made in that behalf, shall cause the legal representative of the deceased plaintiff to be made a party and shall proceed with the suit.
- (2) Where within one year from the death of the plaintiff no application is made under sub-art (1), the suit shall abate so far as the deceased plaintiff is concerned, and on the application of the defendant, the court may award to him the costs which he may have incurred in defending the suit, to be recovered from the deceased plaintiffs estate.
- (3) Nothing in this Article shall apply to proceedings in execution of a decree or order.

Art.50- Death of one of Several Plaintiffs or of Sole defendant

- (1) Where one of several defendants dies and the right to sue does not survive against the surviving defendant or defendants alone, or a sole defendant or sole surviving defendant dies and the right to sue survives, the court, on an application made in that behalf, shall cause the legal representative of the deceased defendant to be made a party and shall proceed with the suit.
- (2) Any person so made a party may make any defence appropriate to his character as legal representative of the deceased defendant.
- (3) Where within one year from the death of the defendant no application is made under sub-art. (1), the suit shall abate as against the deceased.
- (4) Nothing in this Article shall apply to proceedings in execution of a decree or order.

4.5.2. Insolvency of a Legal person

Article 54 of the Code provides for the rules governing the issue of insolvency of the plaintiff.

Art.54-Plaintiffs Insolvency

- (1) The insolvency of a plaintiff in any suit which the assignee or receiver might maintain for the benefit of his creditors, shall not cause the suit to abate, unless such assignee or receiver declines to continue the suit or, unless for any special reason the court otherwise directs, to give security for the costs thereof within such time as the court may direct.
- (2) Where the assignee or receiver neglects or refuses to continue the suit and to give such security within the time so ordered, the defendant may apply for the dismissal of the suit on the ground of the plaintiff's insolvency, and the court may make an order dismissing the suit and awarding to the defendant the costs which he has incurred in defending the suit, to be recovered from the plaintiff's estate.
- (3) Nothing in this Article shall apply to proceedings in execution of a decree or order.

?

 How do you define insolvency?

The insolvency of a plaintiff in a suit does not cause the suit to abate, and the assignee or receiver may elect to continue the suit. However, the court may require him to post security for costs. If he refuses to continue the suit or to give security if required by the court, the defendant may apply for dismissal on the ground of the plaintiff's insolvency, and the court will dismiss the suit. Where a suit abates due to the failure to join the representative of the deceased or is dismissed because of insolvency of the plaintiff, no fresh suit shall be brought on the same cause of action. This is the clear message of Art.55 (1) of the Civil Procedure Code.

I am sure that you will make it. Cheers!

SUMMARY

In this chapter, we have explored at length the rules relating to parties and the dimension of the dispute. In an attempt to analyze the dimension of disputes, I have shown who can initiate a civil suit and what kind of persons may be dragged in the suit.

In most civil suits, there will be two parties involved as plaintiff and defendant. But sometimes a number of persons may be involved in a transaction, and a single transaction may give rise to a number of claims by a single or a number of persons. This complicates the dimension of a dispute.

In so far as possible, all claims arising from a single transaction or involving the same interest should be adjudicated in a single suit. Moreover, to settle all claims involving the same transaction and to protect the interest of persons involved, the code provides for the joinder of parties. Accordingly, the Civil procedure Code addresses issues on how to join plaintiffs, defendants and those persons whose interest will be affected by a decree rendered in their absence. This material fully comments the code. I have also tried to elaborate how parties other than the plaintiff and defendant are dragged into a suit and participate. At this stage, the material addresses the issues on impleader, interpleader and intervention of parties who are not original parties to a law suit.

Finally, I have deeply discussed the impact of death and insolvency of parties on a pending case. I hope you will find it an even better topic and broaden it by your own.

Bye! Bye!

Self-Check Exercise

Answer the following questions in the spaces provided.

1. A and B jointly have agreed to supply C with 1000 tons of coffee with a price of Birr 1000/per quintal. Before delivery, A and B found D who offered them 1200 Birr/Quintal. So, B instituted an action for cancellation of the contract with C.

a) Can he be an intervening party:

b) Can B be a third party defendant?

2. C is a joint and several liability guarantor to A in the agreement of loan between A and D. D instituted an action against C claiming the money.

a) Can A apply to intervene in the suit?

b) Can C apply to added A as a third party defendant?

c) May the court order the addition of A an indispensable party?

3. F has found a golden watch. B is claiming that the watch belongs to him. C is also claiming that the watch belongs to him. Is an interpleaded action possible by F?

CHAPTER FIVE

PLEADING & SERVICE OF PROCESS

Chapter Introduction

My dear student, once a person decides to litigate a case and determines the jurisdiction of the court, the next step is to prepare his allegation in a form of a pleading. In this chapter, I will be dealing with the procedural rules applicable to pleadings. We will examine the process of litigation as it exists in Ethiopia. Presentation of pleadings is one of the vital and crucial steps in the litigation process of our courts. Each party must present his version of a case to the court.

The main purpose of this chapter is to discuss the rules, and procedures concerning the presentation of pleadings. In the course of the discussion, I will try to show you the well defined steps in hearing a case. We will see the pleading and pretrial stages, in the proceeding. We will try to enumerate types of pleadings which received high import in the courts of Ethiopia. In this same chapter, we will see how pleadings are to be amended, and the effects of failure to plead. Since the body of the course has to be practice-oriented, I will analyze cases, and the discussion is supported by examples. So, you are advised to analyze cases annexed at the end of the module to support your discussion in this material.

Objectives;

After successfully studying this chapter, students will be able to,

- prepare pleadings
- identify types of pleadings
- know how to serve summons
- present cases, to the court

5.1. Pleadings in General

Overview

In order to properly understand the discussion in this chapter we must first examine the process of litigation as it exists in Ethiopia. The process of litigation consists of two characteristic features; party presentation, and bilateralism of the hearing. Although the court has some responsibility for developing the case, the primary responsibility rests on the parties. Each party must present his version of the case to the court that is to say, he must allege facts to support his claim or defence, and introduce evidence that will prove the existence of those facts.

Mostly, the hearing process in the court of first instance is divided into two well-defined stages; the pleading and pre-trial stage, and the trial stage. In the first stage, the issues in the case are developed, and in the trial stage, evidence will be presented and the court will render a decision. During the first stage, a party must do something, and if he fails to do so at that stage, he may not be able to do so subsequently. And gives rise to the principle of stage preclusion. In the second stage, a party who has the burden of proof introduces evidence to prove his side of the issue. This stage has a paramount importance in Ethiopia as opposed to other legal systems which do not employ party presentation and bilateralism of the hearing. (Refer your discussion in Chapter One)

5.1.1. Purpose of Pleadings and Stages in Proceedings

It is the mechanism by which a party states its allegations and defences, and the court will be enabled to give its decision. It is through a pleading by which a case is originated and the issues developed in the court of first instance. In this regard we said every proceeding has two stages.

The primary purpose of a pleading and pre-trial stage is to determine the issues that must be resolved at trial.

? What are issues?

Issues may be defined as the points on which the parties disagree parties may disagree on a point of law or fact. An issue of fact arises when the allegations in the statement of claim are denied by the defendant, and an issue of law is an issue upon a matter of law or consisting of a matter of law such as if the defendant questions the validity of a contract. There are many possible issues that could arise in a case, and the purpose of the pleading stage is to determine just what those issues are. It is only through the pleading that the plaintiff tells the court and the defendant (precisely) why he is bringing the suit-what wrong the defendant committed and what redress the plaintiff seeks for the wrong. When the defendant receives the statement of claim, he will know exactly what the plaintiff is claiming and why he is doing so. Then he will plan what to do accordingly. Perhaps he may admit. It is only through a pleading, the statement of defence, that he will present his version of the case to the court. The court then will examine both the statement of claim and defence, and frame the issues.

If pleadings are properly utilized, they can significantly assist in expediting the litigation. The trial will be limited to those questions on which there is actually disagreement. The parties and the court will understand what the dispute is all about before the case gets very far. That is to mean when the pleadings are clear, and it is clear that the plaintiff is not entitled to relief under the law or that the defendant does not have a good defence, the case can be terminated without a full scale trial. So, the main purpose of pleading is to clarify the allegations of the parties, and to assist the court in framing the issue and arrive at a decision.

?

 are recognizable stages in proceedings?

Now, we will examine the two stages in litigation. In his pleading, each party sets for the facts, his version of what happened. For instance, the plaintiff may allege facts showing that there was a contract that the defendant breached, and that he suffered certain damage thereby. In the statement of defence, the defendant admits that there was a contract, but contends that he did not breach it and alleged facts showing that he is not liable for breach of the contract. There is then an issue, and the issue is whether the defendant has breached the contract. This issue will be framed at the pleading and pre-trial stage based on the pleadings of the two parties. Then the court will resort to the second stage of the litigation i.e. the trial stage. At the trial stage, since the plaintiff's allegation is denied, he will have the burden of proving, and he will introduce evidence to support his allegation that the defendant has breached the contract. If he proves it successfully, the defendant will be given the chance to disprove what is proved by the plaintiff, and he in turn will produce evidence. This is how the litigation must proceed.

5.1.2. Definition

Pleading may be generally defined as that branch of legal science which deals with the principles governing the formal written statements made to the court by the parties to a suit of their respective claims and defenses as to the suit. From this definition we understand, among other things, that any oral allegation and application made to the court is not a pleading. Art. 80 (1) C.P.C. states that pleadings are "statement of claim, statement of defence, country claim, memorandum of appeal, application, or petition and any other documents originating proceedings, or filed in a reply there to."

This sub-article of Art 80 rather than defining the term enumerates the types of pleadings.

Do you think that the listing under Art. 80(1) is exhaustive?

The second part of Art.80 (1) says "... other documents originating proceedings ... "
From this we understand that the listing is not exhaustive and indicates that there are
other types of pleadings which are not enumerated.

? you mention some other types of pleading?

To mention some, applications or petitions such as application for execution of foreign judgment, application filed on opposition per Art. 358, petition to demand leave to sue as a pauper, a petition for intervention, a petition for an injunctive order, a petition for setting — aside a judgment, application for review of judgment, application for setting-aside an *ex-parte* decree, application for objecting attachment order as per Art 418, etc are types of pleadings which may originate a proceeding. However, note that not all written applications are considered as pleadings. For instance a person demanding for a copy of the judgment, application to get work absence permit are applications made to the court. But they are not considered as pleadings since they do not originate a proceeding between the parties. Are you now clear with the point at discussion? Good. Next, we will see what functions can be served by pleadings.

5.1.3. Functions of Pleadings

? Functions do pleadings serve?

So far so good. As a follow up of the common law approach to litigation, the Ethiopian procedure shows a heavy reliance on pleadings. The reliance is high when we appreciate the absence of other procedural mechanisms like discovery and pretrial procedures that serve a similar purpose with pleadings. Discovery is a procedural mechanism by which a party to an action knows, at the instance of the other party, of facts, or documents necessary to maintain his own claim. It is the act of revealing or disclosing any matter by a defendant in his answer to a suit filed against him in a court of law. But in our procedural system, such mechanism is not in place. So, the pleading stage entirely affects the entire case significantly. As a result pleadings play, *inter alia*, the following three major functions.

1. Pleadings serve as notice to court. They inform the court about what the matter in a dispute is, whether it has jurisdiction, etc, and enable the court to frame issues
2. They allow the court to dismiss alleged claims or defences that have no legal significance. This in effect avoids unnecessary expenditure of time and money.
3. Pleadings serve as notice to the opposing party. They inform each party the opponent's version of the case and give the parties a fair opportunity to prepare for trial. A statement of claim by the plaintiff informs the defendant on what grounds he is sued and it enables him to prepare his statement of defence accordingly.

Other additional functions are also there. For instance pleadings serve as a formal basis for judgment to be entered. This means that a court cannot render judgment on what is not claimed by the plaintiff. They also serve as a mechanism of separating issues of law and fact; serve that other party to raise objections, etc.

5.1.4. General Rules Applicable to Pleadings

My dear student, do you think that a person can include everything he wishes in his pleading?

? should a pleading Contain?

In short, pleading is a plaint or written statement containing, in a concise form, the material facts on which the party pleading relies for his claim or defence. This is the principle in the common law legal system. As copied from the Indian procedure code, a follow up of the common law, Art. 80 (2) C.P.C. provides for what should be incorporated in a pleading. Accordingly, "every pleading ... shall contain and contain only a statement in a concise form of the material facts on which the party relies for his claim or defence ...". From this basic principle, we may extract the following rules:

- I. A pleading must never contain evidence or law.*
- II. Pleadings must contain only the material facts.*
- III. Material facts must be pleaded in a concise form.*

Rule I. Pleadings must state facts only, not law or evidence.

Here it is important to distinguish between allegations of fact and evidence.

? is a fact?

Fact is anything, state of things, or relation of things and ideas capable of being perceived by series, or any mental condition of which any person is conscious. The facts in proceedings represent a party's version of what happened. An allegation to the effect that "the car caused the accident" would be an allegation of a material fact. So, pleadings must contain only facts, which represent a party's version of the case. Based on this,

A. Pleadings must not contain evidence

?

What is an evidence?

Evidence refers to the means by which allegations are proved at trial. In modern system of pleading, parties are required to state clearly the facts of the case, not the evidence they intend to produce. The reason for the prohibition is because pleading the evidence could obscure the facts in issue. Otherwise pleading the evidence may give rise to framing unnecessary issue. In other words, it is during the trial stage of litigation, if ones claims are denied that he needs to introduce evidence to support his allegations of fact set forth in the pleading. The allegations of a party may be admitted by the other. In this case, there is no need to produce evidence. So, the pleading must contain only facts on which the party relies for his claim.

B. Pleadings must not state law.

The rule on pleadings requires a party to state clearly the facts he is bringing to the court to prove and not the law or a particular section of an enactment under which the claim is made, not conclusion of law, or of mixed law and fact. Moreover, it is bah pleading also to allege merely that a right or duty exists. The facts must set out which give rise to the right or create the duty. The whole purpose of requiring facts as opposed to law is for the law not to cancel the facts in issue. It is the business of the court to determine the applicable law. If a party pleads the facts, the court will determine the law arising out of the facts. For the first thing, the court will take what is known as judicial notice of the relevant law appropriate to the facts pleaded. For the second thing, the parties may not really know the appropriate law. For instance, in a car accident, two passengers and three pedestrians were injured. All the 5 injured persons joined and pleaded their claim based on tort law. Can they do so. The passengers may believe that their claims are pleaded based on tort. But in reality their claim is based on the Commercial Code. So, pleadings must not state the law.

Rule II. Pleadings must state material facts & material facts only!

What is material fact?

The term 'material fact' means any fact necessary for the purpose of formulating a complete cause of action, and if any material fact is omitted, the statement of claim is bad since it cannot be pleaded subsequently. So, a party must set out all the material facts on which he relies for his claim or defence. Not all facts are material. A material fact in relation to claims has two meanings. Primarily it refers to those facts that are essential for the plaintiff to constitute his cause of action. Secondly, it relates to remedies the plaintiff seeks.

A party's claim or defence, however, is not confined to those facts only which constitute the plaintiff's cause of action or the defendant's defence. But it includes, for example, any facts which aggravate or mitigate damages; they are facts which the plaintiff will prove at trial. Such facts are therefore material facts and have to be stated in the pleading.

Together with this rule is that pleadings should not contain anticipatory facts of the adversary. These are facts likely or probably to be made by the opponent. So, it is not part of the statement of claim to anticipate the defence and to state what the plaintiff would have to say in an answer to it. For instance you cannot in your statement of claim, state that "I would say this and that if the defendant says' this and that". Similarly, a defendant should not plead to any matter which is not alleged against him.

Rule III. Material facts must be pleaded in a concise form

The phrase "*concise form*" can be easily understood to mean sufficient, but neither too short nor too excessive in detail. Depending on the nature of the case, a good pleading has to strike a balance between competing pressures: the need to give enough detail to inform the court as well as the opponent, of the issues being raised, and the need to omit details which obscure those issues.

? When do we say that Material facts must be pleaded in a concise form?

The Ethiopian Civil Procedure Code provides guidelines in formulation of concise pleading. The primary guide available to litigants is to follow the forms in the first schedule of the code. Art. 80(2) states that "... every pleading shall be in the form as near as may be to the appropriate Form in the First Schedule to this Code." It does not mean that the pleading must be as provided in the schedule. What is required is approximate conformity to the forms both in structure and content. The pleading must be prepared in the manner similar to what is provided as a guide in the schedule.

? What is the purpose of requiring the party to prepare his pleading in the form as provided in the First schedule?

The purpose of requiring compliance with the form is to help pleading be drafted in a concise form. This avoids lack of clarity and will help to avoid unnecessary details of facts and make possible the accommodation of necessary facts. In addition, it helps the court identify points of contention easily and dispense judgment forthwith. This will

result in saving the time, energy and money of the court and the parties, the central function of a system of civil procedure.

The other guidelines the Ethiopian Civil Procedure Code provides to help draft a pleading in a concise form are found scattered in Arts. 81, 85, 86, 87, 88, and 89. You are advised to read these provisions in the Code. These all are meant to address the technical requirements of a pleading.

Art. 81 — *Condition Precedent*

Any condition precedent, the performance or occurrence of which is intended to be contested, shall be distinctly specified and, subject thereto, an averment of the performance or occurrence of all conditions precedent necessary for the case of the plaintiff or defendant shall be implied in his pleading.

As per Art.81, it is not necessary to allege the performance of any condition precedent. Where the performance or occurrence of a condition precedent is intended to be contested, this condition must be distinctly specified.

?	is condition precedent?

A condition precedent is an event imposed by law or by the parties without the happening of which the right to sue does not arise. The purpose here is to eliminate from the pleading matters about which there is no dispute. That is to mean it is the defendants obligation to specify those conditions in the statement of defence, if any, that the plaintiff allegedly failed to meet.

The Ethiopian Civil Procedure Code is not as strict with respect to matters that must be specifically pleaded as are some Codes. For instance, when a party seeks to allege a condition of mind such as malice or fraudulent intention, he can allege the same as a fact

without setting out the circumstances from which the condition of mind may be inferred per Art.86 C.P.C. It is not necessary for him to allege the circumstances from which the intent to injure can be inferred. The same is true as regards notice, which can be alleged as a result unless the precise terms of the notice pursuant to Art. 87, are material. If the contract requires notice of intention to abandon, it is sufficient for the defendant to aver that he notified the plaintiff of his intention to abandon the contract. However, if the contract required that the notice be given within a certain time, the pleader must allege the precise date by which notice was to be given and when he gave the notice.

? Is it necessary for a party to a suit to set out the whole content or any part of a document in the pleading?

It is not also necessary to set out the whole content or any part of a document. Of course, it is permissible for a party relying on a document to state the effect of the contents unless the precise words are necessary. It is sufficient to state the effects of the document as briefly as possible per Art 85. However, the original and a copy of the document on which a party sues must be attached to the statement of claim. (Art.223 C.P.C.)

As provided under Art. 88 C.P.C, parties are required to plead the contract and set out the circumstances from which the contract is inferred in general terms without detail in an implied contract. The only reservation here is not to set the details of the circumstances. The purpose is to lessen the prolonged details of facts if circumstances are to be stated in detail

? What other restrictions are left?

The other restriction in preparing a pleading is provided under Art.89 C.P.C. It states that neither party in any pleading allege any matter of fact which the law presumes in his favor or as to which the burden of proof lies on the other party unless the same has been first specially defined. This Article emphasizes the court's role in taking judicial notice of the law itself. Judicial notice shall be taken in cases of presumption of the law as well as for burden of proof.

Finally Art.90 Provides that no pleading shall, except by way of amendment, raise any new ground of claim or contain any allegation of fact inconsistent with the previous pleading of the party pleading the same. It is allowed only by way of amendment according to Art 91. So, a party who wishes to add a new claim can do so only by amending his previous pleading. A plaintiff who alleges a certain fact in his statement of claim cannot bring another fact on his reply that is inconsistent with the previous fact contained in the statement of claim.

To conclude the discussion on the general rules of pleadings, pleadings must be, according to one saying, as precise as a lady's skirt to cover the most important areas — the subject matter." But the practice in Ethiopian courts dictates otherwise. There are a number of pleadings of voluminous type that violate the rule of pleading which states that pleadings should be precise. It is not uncommon to see pleadings which are unwarranted by their actual contents. So, courts should not hesitate to order amendment of pleadings in cases where there is non-compliance with pleading rules, and further put forward direction as to how to structure it.

5.1.5. Forms of Pleadings

In addition to the requirement that pleadings must be precise, as we discussed earlier, they must also be in the appropriate form. In all cases in which the party pleading relies on and in all other cases in which particulars may be necessary beyond such as are exemplified in the Forms in the First Schedule of the Civil Procedure Code, particulars with dates and items, if necessary, shall be stated in the pleading. This is what is provided

for in Art.80 (2) and 80(3).As a rule, every pleading shall be in a form as near as may be to the appropriate Form in the First Schedule to the Code.

Article 80 — *Contents of Pleading*

(1) Pleading shall mean a statement of claim, statement of defence, counter-claim, memorandum of appeal, application or petition and any other document originating proceedings or filed in reply thereto.

(2) Every pleading shall be written in ink, printed or typewritten on the prescribed paper and shall contain and contain only a statement in a concise form of the material facts on which the party relies for his claim or defence and shall be in a form as near as may be to the appropriate Form in the First schedule to this Code.

(3) Whenever particulars may be necessary beyond those mentioned in the said appropriate Form, such particulars shall be stated in the pleading with dates and items if necessary.

(4) Sums and numbers shall be expressed in words and figures and where a sum is expressed in foreign currency, its equivalent in Ethiopian currency shall be indicated.

Annexed to the provisions of the Civil Procedure rules in the Code are Forms on which parties rely to litigate a claim before a court of law. They are the modes in which successive steps in litigation are taken. Since they are appendices to an Act or a Statute of the legislature or to a legal instrument containing a statement of details of a relevant matter, they should be observed. They are part and parcel of the Civil Procedure Code. So, when one prepares a pleading, such should be done in line with one of the models in the First Schedule annexed in the Civil Procedure Code.

According to the Forms, every pleading whatever it is, either a statement of claim or of defence, consists of five parts.

A. ***The caption***, which embodies the name and the place of the court together with the identity and address of the parties

E.g. To the High Court of West Gojjam Zone

- Plaintiff Ato A
- Defendant Ato B

B. **Description of the parties.** in this portion, the party pleading must state, among other things, whether he is litigating his own claim or in a representative capacity, whether he has a vested interest in the subject matter of the suit, and that the claim is not barred by period of limitations.

E.g. a) The plaintiff is an officer of the company

b) The plaintiff is a minor and I am his tutor.

C. **The body.** This part is the most important one. It consists of the facts constituting the cause of action on which the party's claim or defence rely. (You may refer pages 4 — 22 in the Schedules part annexed to the Civil Procedure Code).

D. **Verification and Signature.** The party pleading must affirm that the allegations contained in the pleading are true. The objective of this rule is to fix responsibility for allegations made in plaint on the person who verifies and this is to ensure that false allegations are not made freely and recklessly. Where a party includes allegations in a pleading that he knows to be false, he would be subject to a criminal prosecution for perjury. The pleading must also be signed by a party or person authorized to verify the pleading (refer Arts. 92 & 93 C.P.C)

E.g. The plaintiff hereby declares that the facts stated in this claim are true to the best of my knowledge and belief.

(Sig. and description of the person)

E. **Annexes** (Art. 223 C.P.C) when a party files his pleading, he must include a list of the witnesses to be called at the trial, together with their addresses and the purpose for which they are to be called. The following is an effort made to illustrate the form of a pleading containing all of its parts.

A. In the High Court of W/Gojjam

B/Dar

Plaintiff A. Add ____ Woreda ____ Keb ____

Defendant B. Add ____ Woreda ____ Keb ____

B. Description of Parties

a. The plaintiff sues in his own capacity

b. since the claim is the recovery of 10,000\$, the court has jurisdiction

- c. The suit is free from limitation.
- d. The defendant is a firm registered at Bahir Dar.
- C. _____
 _____ { the Body of the Pleading}
- D. I hereby declare that the facts stated in this claim are true to the best of my knowledge.



Plaintiff A

(In a separate sheet of paper) There will be annexes

Now, we will see how the two most important types of pleading i.e. the statement of claim and the statement of defense are to be prepared.

5.1.6. Examination of the Statement of Claim and of Defense

Overview

In the first section, we have discussed about the different types of Pleadings and we also said that the statement of claim and of defence are the two most important types of pleadings. As these two are types of pleadings, the general rules governing pleadings are also applicable here. In this sub-section, we will discuss the requirements in preparing the statement of claim and of defence. Since they have their own specific rules in addition to the general rules applicable to pleadings, the discussion on this point is very important and worth devoting some additional study time. Exercising writing these two types of pleadings amounts to dealing with practical problems. Therefore, you must exercise writing a statement of claim and of defence following the general and specific rules of pleadings.

Objective:

After completely studying this sub-section, the student will be able to,

- apply the specific rules of statement of claim or statement of defence.
- identify the requirements to prepare a statement of claim or defence.

- discuss the effect of failure to comply with these rules.
- raise objections and respond thereto.
- amend pleadings, and know the time and grounds to amend it.
- examine the contents and form of statement of claim and of defence.

5.1.6.1. The Statement of Claim

It is an act of presenting, by the plaintiff, an allegation setting forth relief sought and the ground thereof against the defendant. It signifies a demand made of a right or a supposed right against a person. It is the process by which proceedings in the courts are generally commenced. In other words, it means a statement in writing of the cause of action in a suit in which the relief claimed is set out in details. The term *plaint* is a synonym for Statement of Claim.

?

What should the statement of claim include, and how should it be prepared?

The general rules applicable to all forms of pleading are also applicable to the statement of claim. So, you have to remind the general rules of pleading which we discussed in the previous section. Here, we will only consider the specific rules applicable to the statement of claim.

The requirements for the statement of claim are set forth in Arts.222-228 of the Civil Procedure Code. Please go through these provisions as are extracted from the Code!

? What are the major requirements ?

Art. 222- Contents of the Statement of Claim

- (1) Every statement of claim shall contain:
 - (a) the name and place of the court in which the action is brought;
 - (b) the title of the action;
 - (c) the name, description, place of residence and address for service of the plaintiff and defendant;
 - (d) where the plaintiff or defendant is a person under disability, a statement to that effect;
 - (e) where the plaintiff is suing in a representative capacity, a statement showing the capacity in which he is suing;
 - (f) the facts constituting the cause of action, and when and where it arose;
 - (g) the facts showing that the court has jurisdiction;
 - (h) the facts showing that the defendant is or claims to be interested in the subject-matter and is liable to be called upon to answer the claim;
 - (i) where appropriate, a statement of the value of the subject-matter of the claim;
- (2) In suits by or against the Government, instead of inserting the name and description and place of residence of the plaintiff or defendant, it shall be sufficient to insert the appropriate name of the administrative authority concerned.

Art.223- Annexes

- (1) The plaintiff shall attach to the statement of claim:
 - (a) a list, which he shall certify to be complete, of the witnesses to be called at the hearing, with their full name and address and the purpose for which they are to be called, and of the documents on which he relies, specifying in whose possession or power such documents are;
 - b) the original and a copy of any document in his possession upon which he sues;
 - c) where he has no witnesses or documents to produce, a declaration to that effect.
- (2) A sufficient number of copies of the statements of claim and list of documents or declaration annexed there to shall be filed for the purpose of service on all the defendants named therein.

(3) Notwithstanding the provisions of sub-art (2), any documents upon which the plaintiff sues may, with the permission of the court, be deposited in the registry where it shall be open to inspection by the defendant, instead of being copied and served on the defendant.

Art. 224 — *Relief to be stated*

(1) The statement of claim shall state specifically the relief which the plaintiff claims either simply or in the alternative, and shall not be necessary to ask for general or other relief which may always be given as the court may think just to the same extent as if it had been asked for.

(2) Where the plaintiff seeks relief in respect of several distinct claims or causes of action founded upon separate and distinct grounds, they shall be stated as far may be separately and distinctly.

Art. 225 - *Identification of subject-matter*

(1) Where a claim relates to a specific thing, the statement of claim shall contain such particulars as are necessary to identify such thing.

(2) Where a claim relates to immovable property, the statement of claim shall contain a description of such property sufficient to identify it and, where such property can be identified by boundaries or numbers in a public record, the statement of claim shall specify such boundaries or numbers.

Art. 226 — *Particulars as to amount of claim*

(1) Where the plaintiff seeks the recovery of money, the precise amount claimed shall be indicated in the statement of claim.

(2) Where the plaintiff sues for an amount which will be found due to him on taking unsettled accounts between him and the defendant then, for purposes of pecuniary jurisdiction only, the approximate amount claimed shall, whenever possible, be indicated in the statement of claim.

(3) Where the claim relates to a generic thing, the thing, and the actual value of such thing shall be indicated in the statement of claim.

(4) Where the claim relates to a generic thing, the current price of such thing shall be indicated in the statement of claim.

Art. 227 — *Claim relating to periodical dues*

(1) Where the claim relates to periodical dues payable for a specified period of time, the value of the capital producing such dues shall be indicated in the statement of claim.

(2) Where the claim relates to periodical dues payable for an unspecified period of time then, for purposes of pecuniary jurisdiction only, the value of the annual amount of such dues multiplied by twenty shall be indicated in the statement of claim.

Art. 228 — *Establishment, enforcement or termination of right*

Where the plaintiff seeks to establish, enforce or terminate a right the actual value of which cannot be indicated in accordance with the preceeding Articles, then, for purposes of pecuniary jurisdiction only, statement of claim shall, whenever possible, indicate the estimated pecuniary benefit, if any, which would accrue to the plaintiff in consequence of judgment being given in his favour.

? What are the general requirements to be fulfilled by a statement of claim?

Among other things, the subject matter of the suit must be clearly identified in the plaint. Where the claim relates to a specific thing, say recovery of a thing lost, it must be described with particulars. Where the claim relates to immovable property, it should be described by boundaries or numbers in a public record. This is what Art. 225 C.P.C provides for. When more than one of the items is relied upon, each must be pleaded separately, and all necessary particulars must be embodied in the statement of claim.

The plaintiff is required to indicate the amount of money that he would like to recover, or the value i.e. the estimated value of the specific thing or, even when the claim is not known before settlement of accounts, he has to provide the approximate amount in the statement of claim. This point is covered and governed by Arts. 226-228 C.P.C

Indicating the amount of money serves the purpose of determining the jurisdiction of the court. The court before entertaining a case has to make sure that it has material jurisdiction. This is ascertained by the amount of money involved in the suit. In other words, since the power of a court to hear and determine a case is dependent upon the amount of money involved in the suit, the plaintiff is mandatorily required to show the precise amount or the approximate or estimated amount of money in his statement of claim. Art.227 covers money due at periodic intervals. When the plaintiff seeks to enforce a right the pecuniary amount of which cannot otherwise be determined, he must indicate the estimated amount.

Generally speaking, every suit shall, as far as practicable, be framed so as to afford ground for final decision upon the subjects in dispute and to prevent further litigation concerning them. Where the plaintiff while preparing the statement of claim, omits to include or intentionally relinquishes any portion of his claim, he shall not afterwards sue in respect of the portion so omitted or relinquished. This is the message of Art.216 C.P.C. So, every statement of claim shall include the whole of the claim which the plaintiff is entitled to make in respect of the same cause of action. The plaintiff is not entitled to split his cause of action into parts, and bring separate suits in respect of each part. If the plaintiff is aware of his claim, and omitted to sue (to include in his statement of claim), he will be precluded from suing again even if the omission is accidental or involuntary, and it makes no difference that he states in the statement of claim that he intends to bring a second suit for the portion omitted. This, however, holds true only if prior to the suit the plaintiff had knowledge about the claim. Thus the bar will not operate and there will be a second suit for partition in respect of the portion omitted by mistake in the prior suit.

Once the plaintiff prepares the statement of claim based on provisions of the Civil Procedure Code in the appropriate form, he will submit the same to Registrar of the Court, and it has to pass through two types of examinations.

1. Examination of the statement of claim by the Registrar (Arts. 229 and 230 C.P.C)

We have already said that the statement of claim will be submitted to the Registrar of the Court. The Registrar, before submitting plaintiffs pleading to the court will examine it to assure whether it fulfils its technical sufficiency.

? technical requirements are expected to be fulfilled in the statement of claim?

The most important technical requirement is that the statement of claim shall contain the material facts on which a party relies for his claim. In order to facilitate this, the code contains, as I discussed in the previous section, model forms of pleading. The pleader is required to draft his pleading in the form as near as possible to the appropriate form in the First Schedule. So, the Registrar of the Court will examine the formality of the statement of claim, if it fulfills the requirements under Art.229 C.P.C. These requirements are said to be technical requirements of the statement of claim since they are basically requirements of form (You are advised to read Art.229 C.P.C.)

Art.229 — Rejection of the Statement of Claim by registrar

The statement of claim shall be rejected by the registrar where:

- (a) it is not in the form provided for by Art. 222;
- (b) it is not accompanied by the annexes provided for by Art. 223; or
- (c) it is not verified in the manner provided for by Art. 92.

If the Registrar is not satisfied that the statement of claim is sufficient, it will reject the statement of claim. The Registrar will reject the statement of claim, *inter alia*, if it does not contain the name and place of the court or if it does not show the title of the action, if it does not indicate the description of the parties, if it does not show the amount of money, if it is not verified, or if it is not accompanied by the annexes provided under Art.223, etc.

?

What will be the effect of rejection of the statement of claim by the Registrar?

The rejection of the statement of claim by the Registrar under Art.229 does not as of its own force prevent the filing of a new suit. So, if it is rejected by the Registrar, the plaintiff can correct the deficiency in the statement of claim, and may submit again to the Registrar. In other words, it does not have the effect of dismissing the plaintiff's claim for good.

If the Registrar, however, is satisfied that the statement of claim is technically sufficient, the procedure under Art.230 will be effected, and the Registrar will submit it to the court. (Refer Arts.230 and 214 C.P.C cumulatively). The plaintiff will be required to pay court fee according to the tariff provided by Regulation. The Registrar will proceed according to Art. 214. If the plaintiff does not have income or money to pay for court fee, provision of the Code dealing with 'Suits by Pauper' from Art. 467 — 479 will come into being. After all these procedures are effected, the Registrar will file the suit and submit it to the court. The court then will examine it for its legal sufficiency.

2. Examination of the Statement of claim by the Court — Arts. 231 and 232 C.P.C.

Legal sufficiency refers to the content or the substance of the statement of claim. Art.231 of the Code provides how the Court examines the allegations of the plaintiff which need protection. The court, on receiving the statement of claim from the registrar, will examine it if it states a cause of action and if the matter alleged in the statement of claim is within its jurisdiction.

Art. 231 — *Rejection of the Statement of Claim by Court*

- (1) The court shall reject any statement of claim submitted under Art. 230 where:
 - (a) It does not disclose any cause of action; or
 - (b) The suit appears from the particulars in the statement of claim to be outside the jurisdiction of the court.
- (2) A claim for recovery shall be rejected where the plaintiff fails to produce the securities required by Art. 1403 of the Civil Code.
- (3) On rejecting a statement of claim under sub-art.(1), the court shall record a reasoned order to that effect.

If the statement of claim does not show any cause of action or if the court finds that the matter alleged in the statement of claim is not within the local limit or material jurisdiction of the court, it will reject statement of claim.

? When do we say that the statement of claim does not show cause of action?

Let me clarify this point through an example .

E.g. Brother of Mr. Y, X, was killed by a car accident caused by Ato Dinberu Mr. Y instituted an action against Ato Dinberu. Do you think that Mr. Y's statement of claim show a cause of action?

Art. 2095 C.C — Fatal Accident — 1 Rights of Certain Next of Kin

(1) In the case of a fatal accident, the spouse of the victim, his descendants and his descendants may claim compensation on their behalf for the material damage they have suffered as a result of his death.

Since the Registrar of the court cannot see the legal sufficiency of this statement of claim by Mr. Y, for sure, it will submit to the court. But since a brother of the deceased person does not have a legal right to compensation as per Art.2095 of the Civil Code, the court will dismiss the statement of claim made by Mr. Y. This is because it does not show any cause of action.

Rejection of the statement of claim by the court has more or less similar effect with that of rejection by the Registrar. But sometimes, if the rejection is due to failure of the statement of claim to state a cause of action, it may result in the dismissal of the suit for good. Read Art. 232(2). Pleading facts which do not entitle the plaintiff to relief under the law, pleading conclusions only, pleading facts negating the claim, and pleading a legally sufficient defence are some instances of statement of claim which do not show a cause of action so that to be rejected by the court.

? What would happen if the statement of claim is not rejected?

If the statement of claim is found legally sufficient and where there are no reasons for rejecting it under Art. 231, the court will order the summoning of the defendant. As per Art.233 C.P.C, the court shall cause the statement of claim and annexes to be served on the defendant together with summons requiring him to appear with his statement of defence. So, now we will discuss the statement of defence.

5.1.6.2. Examination of the Statement of Defence

?

What is statement of Defence?

It is the answer or response of the defendant to the allegations of the plaintiff. It constitutes of the action against the claims of, or the denial of the truth or the validity of the plaintiff's complaint, and generally the proceedings by the defendant for defending his case. The Civil Procedure Code Articles 234 — 238 provide for the rules on statement of defence.

?

What is expected from the defendant while preparing the statement of defence?

In the statement of defence, the defendant may do three things: (1) he must deal with the factual allegations of the statement of claim, (2) he may raise affirmative grounds of defence; (3) he may also file a counter-claim or set-off.

a. He must respond to each allegation of fact contained in the statement of claim, admitting or denying it.

As per Art.234(1), the defendant must give a concise statement of the material facts on which he relies for his defence, and he must specifically deny any fact stated in the statement of claim, which is not admitted. Otherwise, allegations not denied are deemed to be admitted. He may not deny all allegations of the statement of claim generally. Where he denies an allegation, he must deny it directly and not evasively. This is the message of Art.235 C.P.C.

?

What is an **evasive** denial?

It is a denial conducted in a vague and ambiguous language which avoids direct and clear answer to the question at hand, and is an answer that neither denies nor admits a question. In pleadings this is considered to be a failure to answer. For example in a car accident between A and B, it is not enough for the defendant to allege that he does not know the plaintiff. This is evasive denial since it does not neither answer nor deny the question at hand, whether he caused the accident. He must answer whether he is liable for the accident or not specifically.

b. He may raise affirmative grounds of defence.

In this case, the defendant is not in fact denying the existence of the basis of the claim but he is alleging that he is not liable for some other reasons. This kind of defence includes facts showing that the claim is inadmissible on grounds of want of capacity or jurisdiction or limitation. This is what is provided under Art.234(1) (c). Pursuant to Art.234(1)d, it includes the material facts on which the defendant relies for his defence and any ground of defence, which if not raised, is likely to take the plaintiff by surprise or raise issues of fact not arising out of the statement of claim. For instance, the defendant may answer that the plaintiff's claim is barred by limitation, or that the court lacks jurisdiction, or that the defendant cannot perform juridical acts because he is a minor, etc. without denying the existence of the plaintiff's claim.

c. The defendant may raise a claim of counter-claim or set-off while answering the statement of claim.

? How do you define a counter claim?

A counter claim ordinarily refers to any claim that the defendant may have against the plaintiff. It need not be related to the original claim the plaintiff filled against the defendant and it need not be for an ascertained sum. Thus, if the plaintiff sued the

defendant on a claim for breach of contract, the defendant can counter claim for breach of another contract, or he can counter claim for compensation based on tort. There is no limit on the kind of counter claim that can be asserted. But if the court is of the opinion that both the claim and counter claim cannot be tried together, it has the power to order separate trial according to Art.221 C.P.C.

? What is set-off?

Set-off, on the other hand, refers to the right of the defendant in an action for a fixed or ascertained sum of money where he has himself a liquidated demand against one the plaintiff to set one demand against another. Where there are mutual debts against another between the plaintiff and the defendant if either party sues or is sued by the other one, debt may be set against the other. A set-off is a cross-action by the defendant against the plaintiff which is allowed by law to avoid multiplicity of suits when the debts are mutual i.e. when the parties are the same and the debts are due in the same right. For a better understanding, you are advised to refer the provisions of the Civil Code from Art. 1831 to 1841.

Therefore, whenever a counter claim or set-off is filed, the court will hear both the claim and the counter claim or the set-off. For the purpose of material jurisdiction, the amount in controversy is determined by the value of the higher claim whichever it may be. For further, read our discussion on material jurisdiction.

Where the statement of defence contains a set-off or counter claim, by analogy, the court must examine it for legal sufficiency, as it does for a statement of claim and determine, per Art.238, whether it states a cause of action. Where it is not rejected, the plaintiff will be asked whether he wishes to file a reply to the set —off or the counter-claim, and if he does, the court will fix a time in which the reply is to be submitted according to Art.239

C.P.C. If, however, the counter-claim or set-off is not found to be technically and legally sufficient, the defendant will be required to correct the deficiency. If they do not state a cause of action, the court will dismiss the set-off or the counter-claim. After all these, the pleadings are closed.

Sometimes, a party may plead alternatively. An alternative pleading is an allegation to the effect that either one or another thing happened, the choice of either involving the rejection of another that which is in the alternative. If either of the allegations is found to be true, the plaintiff is entitled to recover. The rules of alternative pleading are found scattered under Arts.217, 224, and 237 of the Code.

So far so good! In the previous sections, we have discussed how to prepare a pleading and what to include therein. We said that the plaintiff should include in his statement of claim each and every fact constituting the cause of action and the relief sought by identifying the subject-matter. And we said the defendant in his statement of defence must deal with the factual allegations of the statement of claim and give a concise statement of the material facts on which he relies for his defence.

My dear student, the issue here is what would happen if a party plaintiff fails to plead and if a party defendant fails to deny.

5.1.7. Effects of Failure to Plead.

a. Variance / Departure

When do we say that there is a departure?

The primary purpose of pleadings is to develop the issues for trial. To accomplish this, the plaintiff and the defendant have to raise whatever claims and defences respectively they have in their pleadings. Based on these allegations of parties, the court frames issues

for trial at the first hearing. At trial, parties will introduce evidence to support the allegations of fact contained in the pleadings and put in issues at the first hearing. The theory is that each party will prepare his case based on the issues that have been framed for trial. He will have evidence to support his side of the issues and will not be prepared to introduce evidence on other issues. It follows then that if an allegation of fact is not contained in the pleadings, and therefore not put in issue by the court at the first hearing, evidence to support that allegation cannot be introduced at trial. Where evidence is introduced to prove a fact that was not put in issue, there is variance. The general principle is that no amount of evidence can be looked into a plea which was not put in issue. If this is the case, this will be a proper ground for raising objection.

Art. 90 —*Departure*

No pleading shall, except by way of amendment, raise any new ground of claim or contain any allegation of fact inconsistent with the previous pleadings of the party pleading the same.

Concerning the plaintiff, Art.90 stipulates that he can't raise any new ground of claim or any allegation of fact which is inconsistent with his previous pleading at the pleading stage. This in effect means that unless otherwise the plaintiff pleads at the commencement of the suit, he will not be given the chance to prove what he does not allege except by way of amendment which we will discuss latter on. To elucidate this, let's assume the following example. At the commencement of the suit, the plaintiff alleged that the defendant has injured him and claimed compensation to bodily injury. At the trial, he wanted to produce evidence that will show that the defendant's son has injured him and the defendant is vicariously liable to his minor child. In this case, there is variance, and the defendant should raise an objection that the original claim by the plaintiff and the evidence produced are inconsistent. Here you have to note that the doctrine of variance is applicable only if an objection is raised by the opposing party. The court, before proceeding to see the case, should give a ruling on the objection raised as to variance — either to sustain or rule out the objection. If the objection is sustained, the evidence will not be admitted due to variance. This rule is also applicable in case the defendant departs from what he counter-claimed.

? What would happen if the defendant fails to deny?

b. Failure to deny

We said that the defendant must respond to each allegation of fact contained in the statement of claim by either admitting or denying it. According to Art.235 (2) C.P.C., any factual allegation not denied in the statement of defence specifically or by necessary implication is deemed to be admitted. This means that the defendant does not contest it, and consequently no issue arises as to that allegation. This would also apply to the plaintiff's reply filed in response to the defendant's counterclaim under Art. 239. The reply is to be treated the same way as if it were a statement of defence. Thus, the plaintiff is not ordinarily required to introduce evidence at trial to prove that allegation.

To wind up the discussion on failure to plead, the parties must state on their respective pleadings all their factual allegations and ground of claim or defence. If they do not do so at that particular time, there will be stage preclusion, and they may not do so at a latter time unless the court permits an amendment of their pleading, which I will discuss in the next section

5.1.8. Amendment of Pleadings

Overview

There are two conflicting interests in civil proceedings. The first interest is to give parties to a suit unlimited right to raise any point of contention at any stage of the proceeding. This in effect means that a party to a suit will be given the chance to amend his pleading in case some claim and / or evidence comes to his mind. The other interest is to decide cases in a fair and orderly manner so that congestion of case in courts can be avoided. It

means that if limitations in amending claims or defences are in place, the court will be enabled to decide cases in time and the dimension of the suit can be known in advance. Hence, the point in this section is how to allow parties to amend their pleadings. I will discuss the rules on amendment of pleadings. The rule is primarily provided to amend the adverse effects of the non-compliance of the rules on pleading.

Objective:

The student, after successfully studying this section, will be able to,

- know what stage — preclusion is.
- describe circumstances of amending pleadings.
- enumerate procedures in amendment
- list—out advantages and disadvantages of amendment of pleadings.
- identify when amendment is compulsory.
- practice amendment in real cases.

5.1.8.1. General

? distance student, what do we mean by amendment of pleadings?

Amendment refers to modification or correction of any error of pleading. This rule is provided to avoid the adverse effects of non-compliance of the rules on pleadings. The basis of the rule on pleading is incorporated under Art.90 C.P.C, which says no pleading may raise new ground of claim or contain any allegation of fact inconsistent with the previous pleading of a party except by way of amendment.

The main objective of this rule is to dispose cases as expeditiously as possible. If a party is allowed to introduce new things every time as he wishes, the pending case will never come to an end. It will create more complications and the resolution of the dispute will not be expeditious and economical. If then, the party fails to plead at the proper stage of

the proceeding, he will be barred from bringing new claims or defences, as the case may be, afterwards. The ultimate effect of this is that the plaintiff will be precluded from bringing new suit on the subject matter, and the defendant will be considered as admitting the allegations contained in the statement of defence.

? Dear student, do you think that this is fair?
Should a party lose his substantive right for he is ignorant of procedural rules?

Dear distance student, please try to answer this question before you proceed to studying the coming paragraphs.

The answer to the question raised above is obviously no. The Civil Procedure Code has designed a mechanism to alleviate this problem. This is the mechanism of amendment. As we discussed in the previous section, if a plaintiff or a defendant failed to plead, he can not do so afterwards. That is to mean he cannot introduce new facts on the remaining unalleged facts subsequently. But there is one exception to this rule. That is, to introduce new or unalleged facts, the party who has failed to plead may introduce them through the procedure of amendment.

? How is a party to amend his pleading?
What is the procedure of amendment?

If a party fails to act at an appointed stage, the principle of stage preclusion will apply i.e. he cannot plead subsequently. If this rule, however, is rigidly applied, the result is that substantive rights of the parties will often be adversely affected because of pleading errors. To prevent this from happening, in some circumstances it is recognized that pleadings could be amended. The party could do something that he failed to do at the

appointed time, and it was as if he had done it at that previous time. An amendment, when allowed, relates back to, the date of the original pleading. Thus, the approach that is taken toward amendment will determine the extent to which substantive rights of parties can be affected by pleading errors.

Art.91 of the Code governs amendments and seems to allow amendments of pleadings whenever it is found necessary to determine the real question in dispute. The provision also provides that amendment could be ordered by the court on its own motion or on the application of the parties, i.e. a party will apply to court for leave to amend his pleadings.

?

 When should the court allow amendment?

The court may, at any stage of the proceeding, allow either party to alter or amend his pleading in such manner and on such terms as may be just, and all such amendments shall be made as may be necessary for the purpose of determining the real question in controversy between the parties.

The occasion for amendment arises in the following different ways, namely;

- i. amendment of proceedings in a suit by the court, whether moved there/ to by the parties or not, for the purpose of determining the real question in issue.
- ii. amendment of the proceeding because of striking out or adding parties;
- iii. amending one's opponents pleading: compulsory amendment and;
- iv. amending one's own pleading: voluntary amendment.

Pursuant to Art.91 (1) of the Code, the time to amend, or to get leave to amend is any time before judgment is rendered. But in the opinion of this writer, the time to get leave to amend has to be before production of evidence is concluded, not before judgment. This is because I do not see any purpose that can be served if a party is allowed to amend after evidence is produced. So, the maximum period of allowing amendment of pleadings, in

the opinion of this writer, must be the time where the party replies on the whole case according to Art.259(3).

Usually, a question of amendment arises at the trial where one party seeks to introduce evidence and the other party objects on ground of variance. The objection, of course, must be sustained. If the objection by the other party is ruled out, it means that the court has allowed the party to a variance, and there is no need to amend. It could also arise at the trial if the defendant sought to raise an issue that he did not raise in the statement of defence.

☐ Should the court allow amendment freely?
☐ Should the court's approach to amendment be liberal or restrictive?

According to Art.91, amendments should be freely permitted except where such is not necessary to determine the real question in dispute. If free amendment of pleadings is allowed then the parties will tend to be reluctant, especially those parties who would like to use delaying tactics will abuse amendment procedure. On the other hand, restrictive approach to amendment will adversely affect the substantive right of the parties pleading. Currently, many cases cannot be disposed of because courts are allowing free amendment of pleadings. This has resulted in congestion of cases in courts. So, the court has to be careful to balance these two interests: to allow amendment freely at the expense of congestion of cases in courts unnecessarily, or to restrictively allow amendment at the expense of affecting the substantive right of the parties. The court has to use its power to impose conditions on amendment so that the allowance of amendment will not affect the substantive right of a party and not to prejudice the right to speedy trial of the other party. Whenever amendment is necessary to determine the real question in issue, it should be allowed. But the party applying to amend has to show to the court that there is an important point that was not raised in the previous pleading.

Leave to Amend when Requested:

If the question of the party to amendment is only technical in the sense that it will not affect the ultimate result in the case, amendment should not be allowed.

An amendment cannot be permitted when it could prejudice the substantive rights of the other party existing at the time the amendment is sought to be made.

?

When does this occur?

This would occur when the effect of amendment would take away from a party a right that occurred as a result of lapse of time or running of period of limitation. For instance A sues B for damages for slander. While the case is pending, A afterwards applies for leave to amend the pleading by adding fresh claims in respect of assault and false imprisonment. These latter claims are barred by limitation at the date of the application for amendment although they were not barred at the date of instituting the suit. In this case, the application for amendment should be refused, for the effect of allowing it would be to take away from B the defence (preliminary objection) under the law of period of limitation, and therefore, unjustly to prejudice B.

Generally, as a follow up of our discussion, leave to amend should be refused where amendment will introduce a totally different, new and inconsistent case, where the application is made at a late stage of the proceeding, and finally where the application is not made in good faith.

5.1.8.2. Compulsory Amendment of Improper pleading

This happens when the court requires a pleading to be amended either on its own motion or upon motion by the other party. In such a case, the pleading is legally sufficient, but it is defective or improper in certain respects. There are two situations where compulsory amendment may be ordered.

The first is where the pleading is not sufficiently defined. Art. 93(1) of the Code provides that "a further and better statement of claim or defence, or further and better particulars of any matter stated in any pleading may in all cases be ordered by the court". As we saw earlier, all doubts should be resolved in favor of the pleader, and pleadings that simply are not very good may be found to be legally sufficient. If the allegations are vague and imprecise, the pleader should be required to amend his pleading to make the allegations more specific so that the court and the other party will exactly know what he is claiming. In one case submitted to Western Gojjam High Court at Bahir Dar, the plaintiff claimed for compensation for damage since her husband was killed by a car accident caused by the defendant. But her pleading failed to show the extent of damage she incurred because of the accident, and the amount of compensation. So, the court ordered the plaintiff to amend his pleading so that he will make it clear to the court and the defendant.

The second situation where compulsory amendment will be ordered is where the pleading contains improper matter or is in such a form that the other party cannot properly reply to it. Art. 91(4) says that the court may at any time order to be struck out or amended, in any pleading, any matter which is unnecessary or scandalous.

? What type of pleadings are said to be scandalous?

A pleading is said to be scandalous if it alleges anything unbecoming the dignity of the court to hear, or is contrary to good manners, or containing defamatory information. Scandalous pleadings are not only grossly disgraceful or defamatory but also irrelevant to the cause or defence.

Pleadings are matter of public record. It is not fair to the other party if a pleading contains scandalous matter — matters unnecessary to the decision of the case. If, for example, the plaintiff in a suit to recover property from the defendant contends that the defendant stole

the property, the allegation is perfect. In this case, to state the fact that the defendant has stolen the property is unnecessary and scandalous for the decision of the case. So, it has to be struck.

The court may also require a pleading to be amended where it contains unnecessary matter which would tend to prejudice, embrace or delay the fair trial of the suit. So, when a pleading contains extraneous matter, the court should order the pleader to amend the pleading. Practically in our courts, pleaders always state facts that show the personal relationships, and background story of the case which is totally unnecessary in their pleadings. Such pleading should be amended by the order of the court.

To summarize our discussion in this section, we have said that pleading is any application or petition submitted to a court that originates a proceeding. We have explored the rules on the process of pleading and have seen the purpose that pleading is designed to serve. We said that the whole purpose of pleading is to bring the parties to an issue, and the meaning of the rules relating to pleadings was to prevent the issue being enlarged, which would prevent either party from knowing when the cause came on for trial, what the real point to be discussed and decided was. In fact, the whole meaning of the system of pleading is to narrow the parties to definite issues, and thereby to diminish expense and delay. To attain this end, the plaintiff should state in his plaint all the facts which constitute his cause of action, and the defendant should also state in his defence all the material facts on which he relies for his defence.

We also raised the points of variance from one's previous pleading and the effect of failure to plead. This results in the preclusion of raising such allegations in the later stage of the proceeding. The only way by which a party can add claims or defences is by way of amendment. A party will be allowed to amend his pleading if he shows to the court that a real question in dispute is not raised, or that a right accrued to the other party will not be included in the amendment or that the amendment is necessary to correct improper pleading. If once amendment is allowed, it will be considered as if the party had done it at the date of the original pleading.

If pleading is properly utilized the issues in the case can be clarified, and the trial of the case can proceed expeditiously. And the process is further refined by proceedings prior to trial, to which we will turn and discuss in the next chapter.

5.2. Issue and Service of Summons

Overview

Once the plaintiff has prepared the statement of claim to institute a suit, he must bring it to the attention of the court and he must see to it that the defendant is called before the court. If his claim is found legally sufficient by the court, the defendant will be called upon to give his answer to the plaintiff's allegations. This is accomplished by notifying the defendant that a suit has been filed against him and, he will be ordered to appear and defend by a written court order called summons. In this section, it is how this written court order is served that we will discuss.

Objective:

The student, after fully studying this topic, will be able to:

- define what a summons is and know the service places.
- understand service of summons as one of the rights of the defendant.
- identify methods of serving the defendant with summons.
- list out the hierarchy of modes of service of summons.
- identify the best mode of service in circumstances, and
- describe the effect of lack of proper notice.

5.2.1. Issue of Summons

Art. 94 — *Issue of Summons*

(1) When a suit has been duly instituted, a summons shall, unless otherwise provided, be issued to the defendant to appear and answer the claim on a day to be specified therein in accordance with Art. 233 or 338.

Provided that no such summons shall be issued when the defendant has appeared at the presentation of the statement of claim and admitted the plaintiff's claim.

(2) The summons shall order the defendant to produce all the documents mentioned in the list annexed to the statement of defence under Art. 223.

(3) Every summons shall be in the form prescribed by the second Schedule to this Code and shall be signed by a judge or the registrar and sealed with the seal of the court.

When a suit has been duly instituted, and where there are no reasons for rejecting the statement of claim, a summons may be issued to the defendant to appear and answer the claim on a day to be specific therein.

N ☐ ? ar distance student, are you clear with the issue of summons?

What is a summons?

Why is it issued?

A "summons" is a process in procedure issued from the office of a court of justice requiring persons to whom it is addressed to attend the court for the purpose therein stated. It is an authoritative call to attend a court litigation, or by which a person is called to appear before a court for a specified purpose, in case of the defendant, to defend his case.

Art. 233 — *Service of the Statement of Claim*

Where there are no reasons for rejecting a statement of claim under Art. 231, the court shall cause the statement of claim and annexes to be served on the defendant together with a summons requiring him to appear with his statement of defence on a day to be fixed in the summons and informing him that the case will be proceeded with notwithstanding that he does, not appear or that he appears without his statement of defence.

Art. 233 of the code provides that, assuming that the statement of claim is sufficient to show that the court has jurisdiction and that the facts alleged state a cause of action, the

court will cause the statement of claim to be served on the defendant together with a summons requiring him to appear in court with his statement of defence on the date specified in the summons. The summons also states what happens if he does not appear, or appears without his statement of defence. The case will be heard in his absence. It is important here to remember that the defendant is entitled to an opportunity to appear and defend. If he does not appear after having received a proper notice, or appeared without preparing his statement of defence, the court may proceed in his absence and give a valid decision.

☐ is the summons issued?

Art.94 of the Code Provides that the summons shall be issued in accordance with the provisions of Art.233 and that it shall be in the form prescribed by the Second Schedule to the Code. Where there is more than one defendant, a copy of the summons is to be served on each of them. The summons is to be served on the defendant by any person authorized to do so by the court. But if the defendant, by any means, has appeared at the date of the presentation of the plaint and admitted the plaintiff's claim, no summons shall be issued. This is because the main objective of issuing a summons is to notify the defendant that he has been sued. This provision contemplates cases where a decree may be passed against the defendant without issue or service of summons upon him.

5.2.2 Mode of Delivery and Hierarchy of Service

Service of Summons shall be made by delivering or tendering a copy thereof signed by the judge and sealed by the seal of the court to the defendant. According to Art.95, the court may authorize any person, including the plaintiff to serve the summons to the defendant. The person who serves the defendant with the summons is referred to as a serving officer. It would be desirable if every court had its own serving officer like the

practice in other legal systems. No court in Ethiopia has a serving officer, may be due to financial constraints, and it is the plaintiff who serves the summons on the defendant.

What is the main objective of Summons?

The objective of service of a summons, in whatever way it may be effected, is that the defendant may be informed of the institution of the suit in due time before the date fixed for the hearing, other than substituted service which other considerations apply. Where the defendant is not served with summons, the mere fact that he had knowledge of the suit is immaterial. So, the defendant, as far as possible, should be served with the summons.

Should the defendant be served with summons?

Close examination of the provisions of the code relating to service of process shows that these provisions incorporate a hierarchy of methods of service, designed to insure that the defendant receives the best kind of service that is possible under the circumstances. In terms of the likely effectiveness, the methods of service authorized by the code can be divided into four categories. These are:

1. Personal service of summons,
2. Constructive Service of Summons,
3. Postal Service of Summons and
4. Substituted service of Summons.

1. **Service to be on defendant in person when practicable, or on his agent.**

Personal service of summons refers to the situation that a copy of the summons and the statement of claim have actually been delivered to the defendant personally. Whenever it is practicable, service shall be made on the defendant in person, unless he has an agent empowered to accept service, in which case service on such agent shall be sufficient. Since it actually informs the defendant that a suit has been instituted against him, and he acknowledges the receipt of the notice, personal service is the best kind. That is why Art. 95(3) provides that, in so far as possible, the summons shall be served on the defendant personally.

Save as otherwise provided, Art. 95(2), provides, where there are more defendants than one, service of the summons shall be made on each defendant. But if the defendant cannot be found in person, we will resort to the assimilated kind of service.

? When do we say that service is personally served on the defendant other than the above condition?

Have you tried to give an answer? Good. There are circumstances where the defendant can not be found or he may not be in a position to be served with the summons. In this case, there are cases where service on a person other than the defendant is assimilated to service on the defendant, and it is as if the defendant himself were served on personally. Now, we will examine how service on a person other than the defendants is considered as personal service on the defendant.

Where the defendant is member of the armed force and cannot obtain leave for the purpose of defending a suit against him, he shall authorize a person to defend the suit on his behalf as per Art. 61 of the Code. Where no such agent has been appointed, Art.96 (1) provides that service of summons is to be made on the Commanding Officer. A prisoner who cannot obtain leave must also appoint an agent or pleader to defend, and service will

be served to the pleader. But if he cannot appoint an agent, summons will be served on the superintendent of the prison.

In a suit relating to any business or work against a person who does not reside within the local limits of the jurisdiction of the court from which the summons is issued, service on any manager or agent, who at the time of the service personally carries on such business for such person within such limits, is deemed to be good service.

?

Is service to an ordinary employee of a business deemed to be a good service?

The manager or the agent contemplated by this rule is the one who has an initiative and independent discretion subject possibly to general orders for his guidance. A mere servant employed to carry out orders or to execute particular commission or a factor, who is not identified with the firm for which he acts, is not such an agent. Hence, service on a mere servant employee of a business is not considered to be personal service on the defendant. Agent, as incorporated under Art. 96 C.P.C. refers to a person specifically authorized to receive service and appointed for that purpose. By the same token, where the defendant has appointed a pleader, the summons may be served on the pleader, and this constitutes assimilated personal service on the defendant. This is a very practical and better way of service since the address of the pleader will be known. Read the following Provision of the Code.

Art. 96 — *Service on Agent or Pleader*

(1) Where the defendant has an agent empowered to accept service, service shall, unless the court otherwise directs, be made on the agent and shall be as effectual as service on the defendant in person. Provided that, where no agent has been appointed in the cases provided for by Arts. 61 and 62, the summons shall be sent for service on the defendant to the commanding officer or superintendent of the prison, as the case may be.

(2) A summons may be served on the pleader of the defendant or left at the office of such pleader and shall in such a case be deemed to be duly communicated and made known to the defendant as though it has been served on him in person.

(3) In suits against the Government, the summons shall be served on the government pleader or, where no such pleader has been appointed, in such other manner as the court shall direct.

Where persons are sued as partners in the name of their firm, Art.98 of the code will be applicable. Where such suit is filled, service upon any of the partners, at the principal place of the business is deemed good personal service on all of the partners, including those residing outside of Ethiopia. This is a very practical approach. The suit is against the firm rather than the partners individually, and it has to be defended by the firm (business). And the notice is notice to the firm, and the persons charged with representing the firm will certainly be aware that the suit against the firm has been instituted.

Art. 98 — *Service on Partners.*

(1) Where persons are sued as partners in the name of their firm, the summons shall be served either:

- (a) upon any one or more of the partners; or
- (b) at the principal place at which the partnership business is carried on within Ethiopia upon any person having, at the time of service, the control or management of the partnership business there, as the court may direct, and such service shall be deemed good service upon the firm so sued, whether all or any of the partners are within or without Ethiopia.

(2) In the case of a partnership which has been dissolved to the knowledge of the plaintiff before the institution of the suit, the summons shall be served upon every person within Ethiopia whom it is sought to make liable.

(3) Where a summons is issued to a firm and is served in the manner provided by this Article, every person upon whom it is served shall be informed by notice in writing given at the time of such service, whether he is served as a partner or as a person having the control or management of the partnership business, or in both characters, and in default of such notice, the person served shall be deemed to be served as a partner.

In a suit against a body corporate or an association, it is provided under Art. 97 that the summons may be personally on the secretary or on any director or other principal officer of the body corporate or it may be served deposited or sent by post addressed to the body corporate at the registered office, or if there is no such office, at the place where the body corporate carries on its activities by the choice of the serving officer. And finally, in a suit against the government, Art. 96(3) provides that the summons is to be served on the government pleader, or where there is no pleader, the court must order another method of service.

So far so good, we have seen how service can be served on the defendant personally and how service on persons other than the defendant can be considered as personal service on the defendant. Next, we will see what would happen if the defendant cannot be obtained at all personally or through legally recognized agents.

2. Constructive Service of Summons

Where in any suit the defendant is absent from his residence at the time when the service of summons is sought to be effected on him at his residence and there is no likelihood of his being found at the residence within a reasonable time and he has no agent empowered to accept service of the summons on his behalf, service may be made on any adult member of the family who is residing with him.

?

What is the rationale behind constructive service?

It is based on the likelihood that the defendant will actually receive the summons if it is served on some one having a close relationship with the defendant. The theory is that the person having such relationship would transmit the summons to the defendant. However, where no attempt is made to find the defendant and the summons is served for instance on his son, the summons cannot be said to be duly served. The inquiry as to the where/

abouts of the defendant has to be shown. The conditions mentioned in Art. 101 of the code must be satisfied.

Note: where the serving officer delivers or tenders a copy of the summons to the defendant personally, or to an agent or any other person on his behalf, he shall require the signature of the person to whom the copy is so delivered to an acknowledgment of service endorsed on the original summons. This is mandatorily required by Art. 102. The main purpose and effect of this requirement is to give rise to presumption of service. It is prima facie proof of service.

Art. 102 — *Person served to sign Acknowledgement*/.

(1) Where the serving officer delivers or tenders a copy of the summons to the defendant personally, or to an agent or other person on his behalf, he shall require the person to whom the copy is so delivered or tendered to sign an acknowledgement of service on the original summons.

(2) Where such person refuses to sign the acknowledgement, the provisions of Art. 103 shall apply but the court may, if it thinks fit rule that such person has been duly served and dispense with the requirement of Art. 105(2)

Where personal or constructive service is not possible, or to put it the three-way, where the defendant or his agent or such other person as afore/ stated effuses to sign, or where the serving officer after using all due and reasonable diligence cannot find the defendant, who is absent from his residence at the time when service is sought to be effected on him at his residence, the serving officer shall return the summons to the court from which it was issued together with the affidavit of facts which prevented him from serving it

Art. 103- *Defendant who cannot be found.*

Where the serving officer, after using all due and reasonable diligence, cannot find the defendant, and there is no agent empowered to accept service, nor any other person on whom service can be made, the serving officer shall return the summons to the court from which it was issued, together with an affidavit as to the facts which prevented him from serving the summons and the provisions of Art.105 (2) shall apply.

In such a case, the court is to apply the provisions of Art.105, which authorizes it to use service by post and substituted service. Though not expressly provided under Art.105, we can infer from Arts. 106 and 107 that service by post shall be employed in preference to substituted service, if the defendant's postal address can be obtained.

3. Service by Post

It is much more likely that the defendant will actually receive notice if the summons is sent to him by post than if substituted service is used. So, the court should try to serve the defendant by post before resort is had to the methods of substituted service provided for in Art.105. Art.106 says that service by registered post may be employed in lieu of or in addition to other methods of service. This does not of course mean in lieu of personal service, since Art.95 (3) requires personal service first when/ever possible.

Pursuant to Art.106, the summons is to be addressed to the defendant or to his agent empowered to receive summons. According to Art.107, the court issuing the summons may send it, either by one of its officers or by post, to any court having jurisdiction in the place where the defendant resides or is known to have last resided or personally worked for gain. That court must try to serve personally the summons there, and if not successful, return a copy of the summons to the court of issue together with a record of any proceedings it may have taken.

? Is this method of serving the defendant with summons efficient one in Ethiopia?

You must have answered in the negative. The main pragmatic problem with serving the defendant summons using post is several Ethiopians do not have a postal address. So, the court will not succeed in serving the defendant summons using post. If the afore /stated

three ways of service are not successful, one after the other, the court will resort to the fourth way.

4. Substituted Service

It may be used when the defendant himself or his authorized agent cannot be found or that he is keeping away not to receive service and where the court is satisfied to this effect. It is used so as to do the maximum possible effort to notify the defendant that he is sued.

? How is it effected?

As authorized by Art. 105, substituted service is chosen as a service to be made as a last resort. There are three ways by which substituted service is effected. These are:

1. by affixing a copy of the summons in a conspicuous place in the courthouse;
2. by affixing a copy of the summons upon a conspicuous place of the building where the defendant is known to have last resided, carries on business, or personally worked for gain; and
3. Publishing notice of the suit in newspapers.

This is the message of Art. 107 and the hope is that somehow the defendant may actually receive notice or perhaps someone will see the summons at the courthouse or at the building or on newspaper and advice him to appear and defend the suit instituted against him.

? Do you think that substituted service is a best kind of service?

The only thing that we can say is that the defendant perhaps may read the newspaper or someone who has read the affixed or published copy of the summons may advise him to appear and defend. But, practically, in our country where about 80% of the population lives in the countryside, I personally do not believe that the defendant will be informed. So, I would say, let alone best, substituted service is inefficient way of service. This obvious inefficiency of such service, and the unlikelihood that the defendant will actually receive notice make it clear that substituted service should only be used as a last resort. Anyways, service substituted by order of the court shall be as effectual as if it had been made on the defendant personally.

5.3. Lack of proper Notice

In this section, we will discuss what effects lack of proper notice will have. In the previous section, we said that the defendant has the right to be notified, and we saw the hierarchy of serving the defendant with notice.

What would happen if the defendant did not receive summons?

What will be the effect if ineffective means was used when much more effective means were readily available?

Where no attempt is made to find the defendant and the summons is served on for eg., his son, or if the plaintiff send the summons by post when he can go to the defendant's house to serve the summons therein, the summons cannot be said to be duly served. In this case, the defendant, being unaware of the suit against him, will not appear. And when the plaintiff appears, he will notify the court that he has served the summons on the son of the defendant, or he has sent the summons by post. It is clear that the plaintiff will require the court to proceed in the absence of the defendant. But before the court determines that the suit be preceded *ex-parte*, it has to examine whether the summons was duly served within the meaning of Art.70(a). For sure, the court in the example at hand, will not be satisfied that the summons was duly served. If this is the case, it must order a second

summon to be served, or in case the summons was not served due to the negligence of the plaintiff, the court may strike out the suit or dismiss the appeal (Art. 70(d)).

However, where the defendant has actually received notice, he cannot contend that the service was defective simply because a better type of service could have been employed. The purpose of service of process is to inform the defendant that he is sued, and once he has been informed of this fact, the purpose is satisfied and it is irrelevant that he was not served in the proper way. To require the serving of the summons over and over again would accomplish nothing. If the contention is that the summons was not served in time to enable him to properly prepare his statement of defence, the solution will be an adjournment. So, if the son of the defendant has actually given the summons to his father, it would be deemed to have been duly served, even if the father contend otherwise. Even where the means employed were not legally sufficient, the defendant who in fact received it is deemed to have been duly served.

Generally, lack of proper notice is detrimental to the parties and the court. Even it is detrimental to the plaintiff. Of course, the plaintiff may convince the court that he has duly served the defendant though he did not. And secure the order of the court to proceed *ex-parte*. However, the defendant may satisfy the court, which proceeded *ex-parte*, that the summons was not duly served, or that he was prevented by a sufficient cause from appearing so that the court will set-aside any decree of *ex-parte* against him. This, if happens, may result in delay of the proceeding exposing the plaintiff to unnecessary costs. Therefore, both the parties and the court should exert possible effort to avoid problems. In order to avoid any problem with regard to issuance and service of summons the court should always insist that the provisions of the code designed to insure that the defendant is duly notified be strictly followed, and the parties should litigate their allegations in good faith!

SUMMARY

In this chapter, we have discussed the procedural rules governing pleadings, and the issue of summons.

Pleading is a mechanism by which a party to a suit brings his allegation to a court of law. The whole object of pleading is to bring the parties to an issue, and the meaning of the rules relating to pleadings are meant to prevent the issue being enlarged, which would prevent either party from knowing when the cause came on for trial, what the real point to be discussed and decided was. In fact, the whole system of pleading is to narrow parties to definite issues, and thereby to diminish expense and delay.

If the plaintiff submits his statement of claim to the Registrar of the court, the Registrar will examine the form (the technical requirement) and if it finds necessary, will submit it to the court. The court then will examine it for its legal sufficiency. If the court finds it that it is legally sufficient, i.e. if it states a cause of action, and is found to be within the jurisdiction of the court, then, the court will order the defendant to appear and defend the case against him. This is effected through the issuance of summons.

Once the court finds that the statement of claim is legally sufficient, it will cause the statement of claim to be served on the defendant. There are at least, hierarchically, four methods of service that will be employed to notify the defendant about the suit. The person who is serving the summons on the defendant is called the serving officer. In practice, it is the plaintiff who will serve the summons on the defendant.

If the defendant is not properly served, and if it was not possible for the defendant to get summons, it is said that there is lack of proper notice. To avoid the problem of lack of proper notice, it is said that both the court and the parties should act properly.

Self-Check Exercises

1. How do you define a pleading?

2. Discuss at least four types of pleadings other than the statement of claim or defence.

3. What is stage preclusion?

4. Can a party amend his pleading if in the due course of the proceeding he finds a new evidence?

5. Ato Habtamu is sued by Ato A for the former failed to perform the contract. The plaintiff Mr. A claimed a compensation of 100000 birr. Advise Ato Habtamu on how to write his statement of defence.

6. Discuss the hierarchy of the modes of serving the defendant with the summons.

7. Service on the defendant was made upon the head office of the defendant where he works for gain. The official, however, has not communicated the summons to the defendant. Is it possible to call it as personal service? If no, what kind of service is it? Is it service at all?

8. What should the plaintiff do in case the defendant refused to receive the summons? What is the effect?

9. What is the effect of lack of proper notice?

CHAPTER SIX

PROCEEDINGS PRIOR TO TRIAL

Overview

Dear distance student, I would like to welcome you to the last chapter of the first Module. In this chapter, we will discuss what the court will do if a party to the proceeding appears or fails to appear. As we discussed in the first chapter of this module, we said that a civil suit has three stages: the preliminary stage, the trial stage, and the judgment stage. It is the point which determines either to proceed or to discontinue the suit that we discuss in this chapter. In short, we will see the effects of appearance or non-appearance, preliminary objections and discontinuance of suits. If both the parties appear, and no objection is raised or if an objection is raised but ruled out, the court will resort to the trial stage of the proceeding. This includes examination of the parties and framing of the issues to result in the rendition of judgment. Mainly, procedural devices which affect the discontinuation of the suit will be seen.

Objective:

The main objective of studying this chapter is to

- identify procedural issues that must be solved before trial,
- know when to raise and to apply preliminary objection,
- give response to and ruling on preliminary objections raised.

6.1 The First Hearing

We said, in the preceeding chapter that the court will cause the plaintiff's statement of claim to be served on the defendant once it finds that the claim is acceptable, thereby requiring the defendant to appear with his statement of defence on a date specified therein. This is effected by issuing summons to the defendant. A summons, as discussed previously, is a process issued from the office of a court of law requiring persons to whom it is addressed to attend the court for the purpose therein stated. At the date stated

in the summons requiring the defendant to appear with his statement of defence, the court holds what is called the first hearing.

?

How do you describe the first hearing?

Hearing is defined as a judicial session heard for the purpose of deciding issues of fact or of law from the stages of presentment of arguments including the introduction of evidence and pronouncing of the decree by the presiding judge. So, in proceedings the first hearing refers to the steps in preparing the case for trial, which we will discuss in the coming chapter. Among other things, at the first hearing, the court reads the statement of defence, examines both parties to determine their respective positions, rules on preliminary objections, and frames the issues for trial. Generally it is the final step of proceedings prior to trial. Therefore, in this section we will see, especially, what the court will do when the party appears or fails to appear.

6.1.1. Non-Appearance and the Effect Thereof

Ordinarily any appearance in court may be done by the party or his legal representatives, agents or pleader. The only requirement is that the representative, agent or pleader be able to answer all material questions relating to the suit or be accompanied by a person so able to answer. So, an appearance involves coming before the court so that the court can adjudicate the case or take any other action it deems necessary. This implies that a party named may not be required to appear personally at the hearing before the court unless it is essential for the proper determination of the suit that the party appear or act in person. But if the party who has been ordered to appear fails without good cause, as per Arts.77 and 65(1), it is considered as if there were no appearance, and then the party will be subject to the provision of the code regarding non-appearance. Therefore, the person who is ordered by the court to appear must appear on the day fixed by the court and answer whatever questions posed to him by the court. For your convenience, I have extracted the provisions from the Code and you are advised to read Arts.65 -79 of the Code. But the

problem is the party ordered to appear may fail to appear at all or may appear without his claims or defences.

Art. 65 - Appearance need not be in person

(1) Any appearance, application or act in or to any court need not be made or done by the party in person but may be made done in accordance with the provisions of the preceding Chapter:

Provided that any such appearance, application or act shall, if the court so directs, be made by the party in person, and provided further that the court shall not so direct unless it is essential for the proper determination of the suit that the party should apply or act in person.

(2) The absence of any party in the course of the performance of duties assigned by the court to any person, such as a commissioner, local investigator, expert or any officer executing an order of court shall not preclude such person from performing his duties and shall not constitute good cause for objecting to the findings of such person.

Art. 66 . - Appearance of one of several plaintiffs or defendants.

(1) Any one of two or more plaintiffs or defendants may be authorized by any other of them to appear or act for such other in any proceeding.

(2) The authority shall be made in writing, signed by the party giving it and shall be filed in the case.

Art. 67. - Appearance of partners

(1) Where persons are sued as partners in the name of their firm, they shall appear individually in their own names but all subsequent proceedings shall continue in the name of the firm.

(2) Where a summons is served in the manner provided by Art. 98 upon a person having the control or management of the partnership business, no appearance by him shall be necessary unless he is a partner of the firm sued.

(3) Any person so served may appear under protest, denying that he is a partner, but such an appearance shall not preclude the plaintiff from otherwise serving a summons on

the firm and obtaining a decree against the firm in default of appearance where no partner has appeared.

Art. 68. - Power to require appearance of certain persons.

- (1) The court may, at any stage of the suit, require the personal appearance of the secretary or of any director, or other principal officer of a body corporate who may be able to answer material questions relating to the suit.
- (2) The court may also, in any case in which the government pleader is not accompanied by any person on the part of the Government, who may be able to answer any material questions relating to the suit, direct the attendance of such a person.

Art. 69. - to appear at hearing

- (1) On the day fixed for the hearing of the suit, the parties shall be in attendance in the court in person or by their respective agents or pleaders and the suit shall then be heard.
- (2) Where neither party appears when the suit is called on for hearing, the court shall make an order that the suit be struck out, or, in cases of appeal, that the appeal be dismissed.
- (3) The provisions of sub-art. (2) shall not apply where a party who has not been required to appear in person fails to appear but his agent or pleader appears.

Art. 70. — Defendant failing to appear

Where the plaintiff appears and the defendant does not appear when the suit is called on for hearing:

- (a) if it is proved that the summons was duly served, the suit shall be heard ex-parte;
- (b) if it is not proved that the summons was duly served, the court shall direct a second summons to be served on the defendant.
- (c) if it is proved that the summons was served on the defendant but not in sufficient time to enable him to appear on the day fixed therein, the court may adjourn the hearing;
- (d) if it is proved that the summons was not served on the defendant or any one of several defendants through the plaintiffs negligence or default, the court may adjourn the

hearing or order that the suit be struck out as against any defendant not served or, in cases of appeal, that the appeal be dismissed as against any respondent not served:

Provided that no order for the striking out of the suit or the dismissal of the appeal under sub-art. (d) shall be made where, although the summons has not been served on the defendant or respondent, the defendant or respondent appears in person or by agent or pleader when the suit or appeal is called on for hearing.

Art. 71. — Effect of striking out

(1) Where a suit is struck out under Art. 69 (2) or 70 (d), the plaintiff may bring a fresh suit on payment of full court fees.

(2) Where he satisfies the court that there was sufficient cause for his non-appearance, the court may make an order dispensing from payment of court fees and shall appoint a day for proceeding with the suit.

Art. 72. — Subsequent appearance

Where the court has adjourned the hearing of the suit ex-parte, and the defendant at or before such hearing, appears and shows good cause for his previous non-appearance, he may, upon such terms as to costs or otherwise as the court may direct, be heard in answer to the suit as if he had appeared on the day fixed for his appearance.

Art. 73. — Plaintiff failing to appear

Where the defendant appears and the plaintiff does not appear when the suit is called on for hearing, the court shall make an order that the suit be dismissed, unless the defendant admits the claim or part thereof, in which case the court shall pass a decree against the defendant upon such admission and, where part only of the claim has been admitted, shall dismiss the suit as it related to the remainder.

Art. 74. — Effect of dismissal.

(1) Where a suit is wholly or partly dismissed under Art. 73, or an appeal is dismissed under Art. 69 (2). 70 (d) or 73 the plaintiff shall be precluded from bringing a fresh suit in respect of the same cause of action.

(2) Nothing in sub-art (1) shall prevent the plaintiff from applying for an order to set the dismissal aside within one month of such dismissal, and if he satisfies the court that

there was sufficient cause for his non-appearance, the court shall make an order setting aside the dismissal upon such terms as to costs or otherwise as it thinks fit, and shall appoint a day for proceeding with the suit.

(3) No order shall be made under sub-art. (2) unless notice of the application has been served on the opposite party..

Art. 75. — Several parties failing to appear.

(1) Where one or more of several plaintiffs fail to appear, the court may, at the instance of the plaintiff or plaintiffs appearing, permit the suit to proceed in the same way as if all the plaintiffs had appeared, or make such order as it thinks fit.

(2) Where one or more of several defendants, although duly served, fail to appear, the suit shall proceed, and the court shall, at the time of pronouncing judgment, make such order as it thinks fit with respect to the defendants who do not appear.

Art. 76. — Third party failing to appear

(1) Were a third part duly summoned to appear under Art. 43 (2) fails, without good cause, to appear for the purpose of disputing the plaintiff's claim as against the defendant on whose behalf the summons was issued, or his own liability to the defendant, he shall be deemed to admit the validity of the decree passed against such defendant and his own liability to contribute or indemnify, as the case may be, to the extent claimed by the defendant.

(2) Where judgment is given against the defendant, the defendant shall be entitled, after satisfying such judgment or, on the granting of an application to this effect before satisfying such judgment, to judgment against the third party to the extent of the contribution or indemnity claimed by the defendant.

Art. 77. — Party failing to appear in person.

A plaintiff or defendant who has been ordered to appear in person and fails without good cause so to appear shall be subject to all the provisions of the preceding Articles applicable to plaintiffs and defendants, respectively, who do not appear

Art. 78. — *Setting aside decree ex-parte against defendant.*

(1) Any defendant against whom a decree is passed or order made ex-parte or in default of pleading may, within one month of the day when he became aware of such decree or order, apply to the court by which the decree was passed or order made for an order to set it aside.

(2) If the defendant satisfies the court that the summons was not duly served, or that he was prevented by any sufficient cause from appearing when the suit was called on for hearing or from filing his defence or reply, the court shall, after notice of the application has been served on the opposite party, make an order setting aside the decree or order as against him upon such terms as to costs payment into court or otherwise as it thinks fit, and shall appoint a day for proceeding with the suit or re-hearing the appeal, as the case may be:

Provided that where the decree or order is such that it cannot be set aside as against such defendant only, it may be set aside as against all or any of the other defendants also.

(3) No decree or order shall be set aside under this Article on the sole ground that the applicant was absent at the time when the decree was passed or order made.

Have you fully read and understood the provisions of the Code? Excellent you are!! In the past, cases had been delayed because one or both of the parties failed to appear, and the court would often adjourn the case to a later date. But presently, the Civil Procedure Code is strict on the requirement of appearance. That is to mean non-appearance results in affirmative action on the part of the court. Otherwise, it will create lots of problems to the parties and the court, if the court adjourns the case when the party ordered fails to appear. That will be contrary to the very purpose of procedure — to dispose cases as expeditious and economical as possible. So, the court should take immediate action depending on circumstances.

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 Dear distance student, what should the court do in case one of the parties fails to appear?

Is ☐ are to appear without /consequences?

I suppose and am confident that you will say no! Failure to appear before the court is subject to legal consequences. Arts.69-79 of the code provide for the remedy for failure to appear. And the rules governing non-appearance differ depending on whether the defendant or plaintiff or both failed to appear. In other words, where there has been non-appearance, depending on who has failed to appear, four things can happen;

1. *The suit may be struck out;*
2. *The suit may be dismissed;*
3. *The court may proceed ex-parte; or*
4. *The court may issue another summon or the court may adjourn the hearing.*

Now, let us examine when any of these four things happen depending on the plaintiff's or defendant's (or both) failure to appear.

Where neither party appears, Art. 69(2) provides, the court must order that the suit shall be struck out or in case of appeal, that the appeal be dismissed. In this case the court does not have discretion to adjourn the case. But here again any party may appear by his pleader or agent.

☐ ? would happen if the defendant appears but the plaintiff does not?

It is the plaintiff who sets the case in to motion. So, since he knows that his case is pending in a court of justice, he is greatly expected to appear. But if he fails to do so, the court will out rightly dismiss the case unless the defendant admits all or part of his claim.

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Is it sufficient if the defendant was served 10 days before the date fixed for appearance?

If you say it depends on the circumstance of the case, you are great! It depends on the complex nature of the claim, the proximity of evidence, the place where the defendant really resides or works for gain, the means of transport he employs, etc.

Where the summons was not served on the defendant at all due to the negligence or default of the plaintiff, the court may order that the suit be struck out or the appeal dismissed instead of ordering an adjournment. It is very important to discourage any lack of diligence on the part of the plaintiff (Read Art 70 (d)).



When do we say the plaintiff was negligent to serve on the defendant summons?

Can we say that the pleader was negligent if he failed to serve summons on the defendant believing that the defendant would appear without being served?

Discuss with your friends.

Finally, where the court finds that the defendant has been duly served and has not appeared, the court will order to proceed *ex-parte*. This is the exact message of Art.70 (a). Here, it is very important to distinguish between proceeding *ex-parte*, and default judgment.



What do we mean by proceeding *ex-parte*?

The expression ex-parte is used to signify something done or said by one person not in the presence of his opponent. Literary it means "on one side." And an ex-parte proceeding refers to a proceeding at the instance of one party only and without the contestation by any person adversely interested. In this case, the court hears the plaintiff's case. But it may not and actually does not grant a judgment in his favor on the ground that the defendant does not appear. An ex-parte proceeding does not necessarily mean that the party appearing will be a judgment creditor. His evidence may be self contradictory. On the other hand, default judgment is a judgment rendered against a party because of his non-appearance. And the court is not authorized to render judgment due to the non-appearance of the defendant, or the non- appearance of the plaintiff in case of counterclaim or set-off. It is improper for a court to render a judgment for the plaintiff in an ex-parte proceeding without requiring him to introduce any evidence. If the court is not satisfied by the claims and evidences of the plaintiff in ex-parte proceeding, i.e. if the plaintiff does not have a valid claim, it may render judgment for the defendant. There is one exception to this rule. Where a third party defendant summoned to appear under Art.43 failed to appear, he is deemed to have admitted the validity of the decree passed against the defendant and his own liability to the defendant. According to Art.76, a default judgment is entered against the third party defendant due to his non-appearance exceptionally. In this case, the court proceeds to decide the case at the first hearing.

6.1.2. Effects of Non-Appearance

Dear distance learner, are you clear with the issues? If the defendant admits all or part of the claim against him, the court shall pass a decree against him based on his admission. Otherwise, if the defendant denies or keeps silent as to the claim of the plaintiff, the dismissal is mandatory, and even the defendant cannot demand that the suit be continued. If the defendant raises a claim of set-off or counter claim, the rules relating to the non-appearance of the defendant apply.

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What does it mean?

With regard to the counterclaim or set-off, if any, the defendant occupies the position of the plaintiff and the original plaintiff takes the position of the defendant. In this case, if the original plaintiff who initiated the case fails to appear while a set-off or counter claim is asserted by the original defendant, the court will proceed to hear that part of the case (the counterclaim or set-off) dismissing the original claim. Let us say Ato A sue Ato B requiring him to pay his 5000 birr which he lend to Ato B. At the date fixed to hear the case Ato A failed to appear. That day Ato B appeared and asserted that Ato A failed to discharge his contractual obligation to give 3000 birr to him. In this case, Ato B's allegation is called a counter claim. So, the court will dismiss Ato A's claim, and will proceed to see the counterclaim asserted by Ato B in the absence of Ato A.

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What would happen if the plaintiff appears and the defendant does not?

Unlike the procedure where the defendant appears and the plaintiff does not, the procedure here is different, and the court cannot give order out /rightly. The appearance or failure of the defendant to appear is greatly dependant upon the service of summons. If the defendant does not appear, such non-appearance may be due to the fact that the defendant did not receive notice of the proceedings. So, where the defendant does not appear, the first question the court must ask is whether he was "duly served with the summons."

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can the court assure that the defendant was duly served?

You are advised to cross refer your answer with our discussion in the previous chapter on service process. Anyways, the plaintiff must prove this to the satisfaction of the court that he has duly served the defendant with the summons among other things, based on the hierarchy of service set forth in the code. If he does not do so, that is to say, if it is not known that, the defendant may or may not be served, the court must direct that a second summons be served on the defendant, setting another date for the hearing per Art.70(b) of the code. Here nothing is known; whether the defendant was served or not is not proved. If, on the other hand, it is proved that the summons was served on the defendant, but not in a sufficient time to enable him to appear or prepare his statement of defence, the court will adjourn the hearing as per Arts.70(c) cum. 233. He must have sufficient time to consider the allegations of the statement of claim and prepare his defence.

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How long period of time is sufficient with?

So far so good! Where the defendant has not appeared, and the court is satisfied that the plaintiff has a valid claim which is substantiated by the evidence produced, it will render judgment in his favor against the defendant, and the case will be decided at the first hearing. However, it may not be possible to make a final disposition of the case at that time, and the court may adjourn the ex-parte proceeding to hear to a later time. Let us say the defendant seeks to appear at the adjourned hearing.

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he do so?

Art.72 provides that where the court has adjourned the hearing of the suit ex-parte, and the defendant, at or before such hearing, appears and shows good cause for his previous

non-appearance, he may, upon such terms as to costs or otherwise as the court may order, be heard in answer to the suit as if he had appeared on the day fixed for his appearance. If the defendant establishes such 'good cause' he will be placed in the same position as if he had appeared at the proper time. The defendant will then file his statement of defence, with the prescribed procedure and frames the issue for trial. But the most important question which may be posed here is what constitutes good cause.

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 What is the meaning of 'good cause'?

The code uses the term 'good cause' or 'sufficient cause' in different contexts. Generally 'good cause' refers to reason which is found to be adequate or proper and justified by a court or a competent authority dealing with the matter. In this regard, due care and attention should be given to a condition precedent for sustaining the plea of good cause under Art.72.

Together with the issue of good cause is the notion of 'sufficient cause'. The expression 'sufficient cause' implies the presence of legal and adequate reason. So sufficient cause means some cause beyond the control of the party and for successfully invoking the aid of the court the claimant must have acted with due care and attention. If, for instance, a person has no knowledge of the suit or the final decree proceedings or the date of the hearing, he can be taken to have shown sufficient cause for non- appearance. Or if a person who had no knowledge of the pending suit files a petition to plead at the adjourned hearing per Art 72, there is no question of any negligence on his part and so absence of knowledge is good cause for the defendant who wants to appear at the adjourned hearing. For further understanding, you are advised to read elements of "good or sufficient cause" incorporated under Arts.71 (2), 72, 74 (2) and 78(2) of the Code.

The question arises as to whether a defendant who cannot demonstrate good cause for his previous non-appearance can appear at the adjourned hearing. In other jurisdictions like India, it has been held that the defendant has an absolute right to appear at the adjourned

hearing, and need show good cause for his previous non-appearance if he wishes to retrace his steps i.e. only if he wishes to present his statement of defence. If he cannot show good cause, he is bound by evidence presented at the previous hearing and can only proceed from the stage already reached. Here we may ask whether Art.72 should be interpreted in this way. But there seems to be no valid reason why a defendant who was so indifferent to his obligation to appear should be able to appear subsequently as of right. In the opinion of this writer, if the defendant cannot show good cause for his previous non-appearance, especially at the time the case was adjourned for hearing, he should not be allowed to appear and defend subsequently. This is because it is this kind of indifference that has caused litigations to be delayed in Ethiopia.

Where a suit is struck out under Art.69 (2) because neither party appeared, or under Art.70 (d) because the defendant was not served summons due to the negligence of the plaintiff, according to Art.71(1), the plaintiff may as of right bring a fresh suit on payment of full court fees. But exceptionally, if he satisfies the court that there was “*sufficient cause*” for his non-appearance, the original suit will continue instead and the plaintiff will not have to pay court fee.

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What is the distinction between sub-article (1) and (2) of Art. 71?

Where the plaintiff brings a fresh suit under sub-article (1), it is as if the first action had not been instituted and the court fee is to institute a new action. The effect of this is that if, for example, the period of limitation to institute a court action under the substantive law has expired before the second suit is instituted, that suit will be barred by limitation.

Eg. Ato Okelo and Ms. Gnelowak concluded a contract of sale so that Gnelowak will deliver a quintal of coffee on Sene 30, 1988 E.C. Okelo has paid the proceed of the sale. Since Gneluak failed to deliver the coffee, he instituted a civil action claiming the performance of the contract on Tir 30, 1998. The Court fixed Sene 30, 1998 to be the date of hearing the case. Even though the defendant Gneluak appeared on the date fixed for

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the hearing the plaintiff Okelo failed to appear. Realizing that he had a pending case on Sene 30, 1998, Okelo approached you to advise him whether he can do anything.

What do you advise him?

Can he have a sufficient case for his previous non appearance?

Do you think that his action will be barred by limitation?

If the plaintiff can show sufficient cause for his previous non-appearance, the first suit continues, and the issue of limitation will be immaterial. But if there is not sufficient cause, where a suit is struck out, the plaintiff can always bring a fresh suit so long as it is not barred by limitation paying the court fee. In effect, the only question will be whether he will have to pay court fee or not.

The other side of Arts.69 (2) and 70(d) is where an appeal is dismissed. Where an appeal has been dismissed under Art.69 (2) because neither party appeared, or under Art. 70(d) because the respondent was not served with notice of the appeal due to the negligence of the appellant, or under Art. 73 because the appellant did not appear, a further appeal cannot be filed and the case will be dismissed. In this case, the appellant will be precluded from bringing a fresh appeal on the same cause of action.

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 can an appellant whose appeal has been dismissed do?

There is one exceptional remedy for such appellant. He may apply for an order to set the dismissal aside within one month from the date of the dismissal by showing sufficient cause. If he can show that there was sufficient cause for his previous non-appearance, the order of dismissal will be set-aside as per Art. 74(2) and the court will proceed with the suit by holding the hearing originally scheduled. In other words, where there was

sufficient cause for non-appearance, the court will proceed as if such party appeared from the beginning. Otherwise, the appellant is barred forever from prosecuting such claim. These provisions, however, have to be read in line with Art.49 (1) of the code, which deals with the death of the plaintiff or applicant.

In the discussion above, I have said that the court proceeds ex-parte if the defendant does not appear. Where the defendant does not appear and the plaintiff appears, the court proceeds ex-parte and may enter a decree against the defendant depending on the validity of the claim and evidence of the plaintiff. Where a third party defendant does not appear, the court enters a decree against him by default. The defendant or third party defendant, however, may apply to have it set-aside within one month from the day he became aware of the decree. To proceed ex-parte, the court must be sure that the defendant was duly served. However, if the defendant satisfies the court that the summons was not duly served, or that he was prevented by sufficient cause from appearing, the decree or order will be set-aside, and the case will continue as per Art. 78. Notice of application of the defendant to set the decree aside must be served on the opposite party, so that he can contest it. When the decree is set aside, the court cannot consider the testimony, if any, taken at the former hearing. The proceeding must begin afresh; as if the decree was never rendered.

Note: The plaintiff or appellant seeking an order of dismissal to be set aside must apply within one month from the date the court rendered the decree. Whereas a defendant seeking to have an ex-parte decree set-aside must apply within one month from the time he was aware of the decree, not from the date the decree was rendered.

? What is the rationale behind this rule?

The defendant, in whose absence a decree is rendered, may not be aware of the very existence of a suit against him, let alone a decree. Perhaps he may be aware of this when the plaintiff (decree holder) tries to enforce it against the absent defendant. This especially is likely to be the case where the summons was not duly served. So, the period runs only from the time when the defendant is aware of that decree. But if the court finds that the summons was duly served or that the cause was not sufficient, the decree is valid, and in fact it will be enforced notwithstanding that he never presented his defence. But concerning the plaintiff or the appellant, since he has the knowledge that a suit is pending initiated by him, one month is enough to set the decree aside.

Concerning the setting-aside of an ex-parte decree, a problem may arise where there are multiple defendants, and where an ex-parte decree is set aside as to some of them. Let us say that there were two defendants and only one of them appeared, and an ex-parte decree was entered against the other which he later has set aside. In this case, where the decree is such that it cannot be set aside only against the non-appearing defendant it may be set aside, pursuant to Art.78 (2), against both defendants. This would be necessary where the defendants are indispensable parties, for a decree against some cannot stand alone. (For the details, you are advised to read the material written by R. Allan Sedler, on pages 167 and 168). But note that the decree against the other defendant or defendants should be set aside only where the decree is necessarily indivisible. This implies that where separate judgments can be entered against each defendant, there is no need to set aside the decree against the others (the appearing defendants).

To sum up the discussion here, in all cases, a case is not to be adjourned due to the non-appearance of the parties. Such non-appearance always entails legal consequences, and the court must take action in accordance with the appropriate provisions of the code. Among other things, the action may be striking out or dismissal of the suit, or to proceed ex-parte.

6.2. Examination of Parties

It is the culminating stage in preparing the case for trial. Assuming that both parties appear, or the court gives an order to proceed ex-parte, the court proceeds to verify the identity of the parties. If the court finds the statement of defence acceptable under Art. 238, it will examine the parties on the pleadings. According to Art.241, the court reads the pleadings, especially the statement of claim and defence, and ascertains from each party whether he admits or denies such allegation of fact as are made in the pleading of the other party. Every allegation of fact contained in the statement of claim, as we discussed in the previous chapter, must be denied in the statement of defence. Otherwise, any fact which is not denied specifically will be considered admitted. This rule of Civil Procedure is qualified by the court's power to examine the parties orally at the first hearing. If the court sees that the defendant has not denied or expressly admitted a particular allegation of the statement of claim, it (oral examination) gives him a second chance. The court will specifically ask him whether he intended to admit that allegation, and if he says then that he did not intend to admit it, that allegation is deemed denied. If there is any contradiction between what a party pleads in his pleading, and what he says at oral examination, the latter will be given priority! The court records all admissions and denials, and according to Art. 241, they form part of the record. In other words, the defendant may plead opposite to what he pleads in the pleading. The court makes sure that such party intends to change his mind at the oral examination under Art. 241. Particularly, if a party makes an admission at the first hearing, the admission is conclusive, and no issue will be framed as to that matter. And in this case, the court will render decision out rightly in accordance with Art.242 of the Code.

Art.242- Judgment on admissions

Any party may, when the opposite party has given notice by his pleading or otherwise in writing that he admits the truth of the whole or any part of the case of the other party, or has made admissions of fact during the examination held under Art.241, apply to the court for such judgment or order as he may be entitled to upon such admissions, without waiting for the determination of any other question between the parties and the court may thereupon make such order or give such judgment as it thinks fit.

At the first hearing, both the plaintiff and the defendant will be examined. The defendant, in his statement of defence might have raised affirmative defences such as limitation or force majeure or may have claimed counter claim or a set-off. By examining the plaintiff, the court determines whether he admits or denies the facts constituting such defences. So examination of the plaintiff is particularly important to give him the chance to file a responsive pleading to the statement of defence that he received in writing. For better understanding, see the discussion on affirmative defences in the preceeding chapter. Generally speaking, oral examination of the plaintiff at the first hearing serves the function of a reply to affirmative defences raised in the statement of defence.

? What is the need to conduct oral examination while the parties plead their version of the case through pleadings?

This is a very good question. The main purpose of conducting oral examination at the first hearing is to help the court to clarify and develop the issues for trial. This is one mechanism of narrowing the dimension of the suit. Since the examination must be conducted by the court and only for the aforementioned purpose, it would not be proper for a court to put a party on the stand, examine him on the entire case and allow the other party to cross-examine. The need to conduct such oral examination hence is to determine what admissions and denials a party wishes to make and thereby to determine the dimension of the suit by framing the issues. It, therefore, must be conducted with reference to the allegations in the pleadings, and only supplements the pleading in developing the issues for trial.

Sometimes the defendant may admit that he is liable, but deny that the plaintiff suffered the damages he claimed. In this case, the court would issue judgment to the effect that the defendant is liable to the plaintiff in an amount to be determined at the trial, which would then be limited to deciding the question of what damages the plaintiff suffered. Let us say the plaintiff sued the defendant claiming a recovery of 10,000 birr which he suffered

from a car accident caused by the defendant. The defendant admitted that he caused the accident, but denied that the plaintiff suffered damages which amount to 10,000 birr. In this case, the issue will be whether the plaintiff has suffered the damages of 10,000, and not whether the defendant has caused it. So, it will be only whether the plaintiff has suffered 10,000 birr that will be decided at trial.

In addition to defences to the statement of claim and affirmative defences, the defendant may raise preliminary objections which may result in the discontinuance of the suit. Next, we will discuss the possible preliminary objections which may be raised by the defendant, and by the plaintiff, in his response to counterclaims and set-off raised by the defendant

At the day called on for the hearing, the court will examine the statement of defence if it is acceptable. The statement of defence, *inter alia*, may contain preliminary objections. So, the court, before it proceeds to examine the subject matter of the suit, must give a ruling on any preliminary objection that has been raised by the defendant.

6.3 Preliminary Objections

? What is a preliminary objection?

Objection may be defined as the action of stating something in opposition to a party or which is an adverse reason, argument or contestation to proceed with. A preliminary objection in procedure is an objection which gives a court an insight not to litigate a given case. The objection is not targeted to the merit of the case, but if sustained prohibits the court from entertaining a given case. It does not involve the question of whether the defendant is liable to the plaintiff under the substantive law. But even though the plaintiff may be entitled under the substantive law, for some procedural reason, he might have lacked the right to exercise his right under the substantive law.

Art. 244 of the Code provides for certain grounds of preliminary objection. If one or more of such objections are raised by the defendant, the court shall decide thereon before proceeding with the trial of the suit in accordance with Art. 245 of the code. This is a mandatory provision of the code incorporated under Art. 244(1). Where an objection is raised, the court will hear the opposite party, order the production of evidence if necessary, and render a decision on objection.

Art.244- Preliminary objections

- (1) Before proceeding with the trial of the suit, the court shall decide such preliminary objections as may be taken by the parties.
- (2) The provisions of Art. 245 shall apply where either party states that:
 - (a) the court has no jurisdiction;
 - (b) the subject —matter of the suit is res judicata;
 - (c) the suit is pending in another court;
 - (d) the other party is not qualified for acting in the proceedings.
 - (e) prior permission to sue has not been obtained, when this is required by law,
 - (f) the suit is barred by limitation; or
 - (g) the claim is to be settled by arbitration or has previously been made the subject of a compromise or scheme of arrangement.
- (3) Where there are several objections under this Article, they shall all be taken together and any objection not taken at the earliest possible opportunity shall be deemed to have been waived, unless the ground of objection is such as to prevent a valid judgment from being given.

? Is the listing provided for in Art.244(2) exhaustive?

The possible grounds to raise a preliminary objection, as mentioned under Art. 244(2) are lack of jurisdiction, res-judicata, pendency, lack of vested interest, period of limitation, etc. But grounds of objection listed under Art. 244(2) are only the common ones, and hence the list is not exhaustive but only illustrative. For instance, we have a preliminary objection based on mis-joinder or non-joinder of parties under Art. 39.

6.3.1 Grounds of Preliminary Objection under Art. 244(2) of the Code

The first ground of preliminary objection listed under Art. 244(1) (a) is *jurisdiction*. As we discussed in the third chapter, a suit can only be brought in a court that has jurisdiction. If the court does not have jurisdiction, especially material and local jurisdiction, it will reject the case under Art. 231. But since in case of judicial jurisdiction the defendant has to object, the court cannot say it does not have jurisdiction. In this case, if the defendant fails to object the judicial jurisdiction of the court, it means that it has impliedly consented to be judged by this court. Read your discussion on jurisdiction.

The other ground of preliminary objection is *res-judicata*, which is provided for in under Art.244 (2) (b). Pursuant to Art.5 (1), a matter having been litigated between the same parties in a former suit cannot be litigated subsequently. If this is the case the defendant may raise an objection not to proceed with the subject matter of the suit. You are hereby advised to refer Art. 5.

Art.5 — *Res judicata*

(1) No court shall try any suit or issue in which the matter directly and substantially in issue has been directly and substantially in issue in a former suit between the same parties, or between parties under whom they or any of them claim, litigating under the same title, and has been heard and finally decided.

(2) Any matter which might and ought to have been made a ground of defence or attack in the former suit shall be deemed to have been directly and substantially in issue in such suit.

(3) Any relief claimed in the former suit which has not been expressly granted by the decree passed in such suit shall, for the purposes of this Article, be deemed to have been refused.

(4) Where persons litigate in good faith in respect of public or private right claimed in common for themselves and others, all persons interested in such right shall, for the purposes of this Article, be deemed to claim under the persons so litigating.

The third ground of preliminary objection under Art. 244(2) (c) is the issue of *pendency*. The objection that the suit is pending in another court may be raised where the plaintiff had filed a suit on the same subject matter in another court previous to this. This is covered under Arts. 7 and 8 of the Code.

Art. 7- Priority

(1) One and the same civil suit may not be instituted in more than one civil court.

(2) Where a suit may be instituted in any one of several courts, the court in which the statement of claim was first filed shall have jurisdiction and the suit shall be pending in such court.

Art. 8 - Pendency

(1) No court shall try any suit in which the matter in issue is also directly and substantially in issue in a previously instituted civil suit between the same parties, or between parties under whom they or any of them claim, litigating under the same title, where such civil suit is pending in the same or any other court in Ethiopia having jurisdiction to grant the relief claimed.

(2) The pendency of a suit in a foreign court shall not preclude the courts in Ethiopia from trying a suit founded on the same cause of action.

(3) Where the matter in issue is also in issue in a suit pending in another court or is so closely connected with a suit pending in another court that it cannot properly be tried separately the provisions of Arts. 11 or 244 and 245, as the case may be, shall apply.

The other ground is *where the party litigating is not qualified for acting under* Art. 244(2) d. This objection could arise in number of ways. If, for example, a party is a

judicially interdicted person, the defendant may demand that his legal representative be brought in his stead. Or the defendant could object on the ground that the plaintiff does not have a vested interest in the subject matter of the suit.

The other ground listed under Art.244 (2) (e) is ***lack of prior permission to sue***. In very rare circumstances prior permission to sue is required by the law. In this case, unless otherwise the plaintiff secures the permission of the court to bring a court action, the defendant may object it. For instance, as per Art.365 of the Commercial Code, unless the general meeting has decided that the suit be instituted against its directors, the suit will not be filed. If the suit is filed, the directors (the defendants) will raise a preliminary objection that prior permission to sue was not obtained.

The other ground listed under Art. 244(2) (f) is ***period of limitation***. It refers to the period specified by law within which an action must be brought. For instance any action claiming the performance of contractual obligations should be brought within ten years from the time when the obligation is due. So, the defendant may argue that the plaintiff has instituted his action after the period of limitation had run. In this case, the defendant has to raise it as an objection.

The last, but not the least, ground of objection listed under Art.244 (2) (g) is failure to observe an agreement to submit the dispute to arbitration or compromise. The parties are free to agree that they will submit their case to arbitration rather than to court. If they have agreed so, they have to submit their dispute to arbitration. If one of the parties, violating the agreement, files a suit on the dispute in a court, the other party may raise this as a preliminary objection

?

 Do you think there are other grounds of Objection?

If you say yes, try to list as much as you can.

Next, we will see the time when these objections should be raised, and the decisions of the court thereon.

6.3.2 Time to Raise and Decision on Preliminary Objection

As we have already discussed, preliminary objections concern not the merits of the case. They do not relate to the question whether the defendant is liable to the plaintiff under the substantive law. They are directed to the issue whether to proceed to see the merit of the case or not. So, they should be disposed of as soon as possible, and should be raised at the earliest possible opportunity as is provided under Art.244 (3) of the Code.

?

What stage of the proceeding is sound to be the earliest possible opportunity?

It would be a waste of time for the court to examine the parties and frame the issues for trial if it does so before ruling on the objection raised. A trial may not be necessary. So, before proceeding with the trial, pursuant to Art.244 (1) and 244(3), the court shall decide such preliminary objections as are raised by the parties. Therefore, the earliest possible opportunity to raise, and to decide, a preliminary objection is at the time the court calls for the first hearing. Otherwise, any preliminary objection not raised at the first hearing is deemed waived unless such ground of objection is such as to prevent a valid judgment from being given. There will be stage preclusion. From this we understand that some grounds of preliminary objection, even if not raised at the first hearing may be raised at a later time throughout the proceeding since their existence prevents the court from giving a valid judgment.

?

Which grounds of preliminary objection fall under this category?

In dispensing justice, and actualizing the constitutional right of citizens to access to justice, the lions share is taken by the court. Sometimes even though not raised by the parties, if miscarriage of justice is to happen the court will, of its own motion, act and avoid anything which prevents it from giving a valid judgment. For instance, if a court entertains a case which is already in issue in another court, there will be miscarriage of justice. Among the listed grounds of objection under Art.244 (2), there are about four which prevent the court from giving a valid judgment. Try to list them out and, if there is any, try to find out any ground of objection which may prevent the court from giving a valid judgment.

?

What do you think the decision of the court would be on the objection raised?

The decision on the preliminary objection raised by the defendant may be either ruling it out or sustaining it. Where the court does not accept the objection and disregards it, we say the objection is overruled, and the court will proceed with the case since there is no ground to discontinue the case. On the other hand, when the court accepts the objection, we say the objection is sustained, and the court will not proceed further.

The acceptance of the objection has two types of effects. It may result in **dismissal** or **striking out** of the suit.

?

Which grounds of objection, if accepted, result in the dismissal of the suit?

According to Art.245 (2), where the court is satisfied that the subject matter of the suit is in *res-judicata*, and/or the suit is barred by limitation, it will dismiss the suit. Even though the objection does not go to the merit of the case, the suit will be disposed once

these objections are sustained. This is because if a case is said to have been previously seen and decided, or if the claim of the plaintiff is said to have been barred by limitation, there is no chance for the suit to be instituted afresh. The order that sustains the objection, in all other cases listed under Art.244 (2), would result in striking out the suit. For example, if the court sustains the objection on jurisdiction, it will strike out this suit, and the plaintiff has the right to file a fresh suit in a court that has material and local jurisdiction. The court itself will advise the plaintiff that he may sue in a court that has jurisdiction and shall refund the prescribed portion of the court fee paid by the plaintiff to file the statement of claim. This is the message of Art.245 (4).

?

What is the effect of dismissal of the suit? Try to answer the question in the space provided below.

The effect of dismissal of the suit by sustaining the objection under Arts.244 (b) and f, and Art. 245(2) is that ***the plaintiff will be precluded from bringing a fresh suit*** forever for that same claim. In anyways, any decision taken under Art.245, whether the objection is sustained or overruled, shall be recorded together with the reasons for such decision.

After the court examines the parties, and gives ruling on possible preliminary objection, if the suit is one to be continued, it will prepare the case for trial by framing the issues.

6.4. Framing of Issues

Dear distance student, welcome to the last stage of the first hearing. In this sub-section, we will discuss the mechanisms of framing the issues and preparing the case for trial.

?

are issues framed?

In the first and preceeding chapters, we have defined what issue is. Now, we will see how it can be framed.

The rule concerning framing of issues is provided under Art.246 of the code. After preliminary objections have been decided, the court shall ascertain upon what material propositions of fact or of law the parties are at variance, and there upon proceed to frame and record the issues on which the right decision of the case appears to depend. As per Art.247 (1), issues arise when a material proposition of fact or law is affirmed by one party and denied by the other. So, if the defendant at the first hearing of the suit makes no defence, or if the plaintiff makes no reply to what has been counterclaimed by the defendant there will be no issue to be framed.

?

What are material propositions of fact or law?

The allegations of the plaintiff and the response of the defendant are called material propositions. The proposition alleged by the plaintiff to be framed as issue must be denied by the defendant and they may be material propositions of law or of fact.

Material propositions of law affirmed by one and denied by the other are called issues of law. An issue of law is an issue upon a matter of law such as the validity of a contract or the issue of capacity. On the other hand, material propositions of fact which are denied are called issues of fact, allegations of any pleading which are denied and to be proved by any evidence produced by the parties such as the fact that one has not entered into a contract or one is the owner of a given property. In this way issues will be framed and the case will be referred to the trial. How the court resolves these issues of law and of fact will be the main point of discussion in the first Chapter of the Second Module. The party who alleged the proposition will be required to prove it by producing evidence. But some

cases may be resolved with-out employing such full-scale trial. This is what we are going to deal with in the next sub-section.

6.5. Adjudication without Trial

In certain circumstances, the court may adjudicate the case without requiring a full-scale trial at the first hearing. It is at this point of the proceeding that the court will be required to proceed forward and conduct the trial, or dispose the suit, after issues have been framed, without holding a trial. Following are instances where the court disposes of cases before requiring a full-scale trial, or sometimes even without requiring the opposite party to respond.

6.5.1 Disposition of Pleadings

In our discussion on pleadings, we said that the court will examine the legal sufficiency of the statement of claim and of defence. Pursuant to Art.231, where the statement of claim fails to state a cause of action, the court will reject it without requiring the opposite party to respond. Where the plaintiff does not have a claim against the defendant, the court will dismiss the case. We also said that the court may give judgment at the first hearing in whole or in part on the basis of admissions that the parties have made at the oral examination. Moreover, a decision on preliminary objection may resolve a case, and the court may give a final judgment without a full scale trial.

6.5.2. Agreement on Issue

The code also recognizes the agreement of the parties on the issue to be framed. The parties may reach agreement on the basis of the pleadings and the pre-trial examination. This is to say that from the pleadings and oral examination, the parties might have come to an agreement as to what the issue should be. This is provided under Art.252 of the Code. You are required to read the provision from the Civil Procedure Code. Generally, when the parties reach on an understanding on the issue to be resolved, they can agree as to the question of law or of fact. The agreement should be in writing. The agreement is that if the court resolves the issue in favor of one of them, the other will do some thing.

Agreement on an issue is entirely different from other cases of agreement. Inter alia, in other similar cases, the parties may accept the issues that are framed by the court. But when parties make agreement on an issue under Art.252 of the Code, they communicate one another, sit together and write the issue. They also set forward what the losing party would do to the other party. The court will give a decision on an issue that has been framed by the parties; it cannot give a decision on issues framed by the court. The court only is acting as a passive mediator or performs the function of an arbitral. But this procedure is optional to the parties, and the court can not proceed on this without the agreement of the parties.



Do you think that this type of agreement on the issues is advantageous?

6.5.3. Parties Not at Issue

Art. 254(1) provides that where after, preliminary objections, if any, have been decided, it appears that the parties are not at issue, the court may at once pronounce judgment.

As we discussed earlier, the primary purpose of proceedings prior to trial is to develop the issues for trial. In the due time of the hearing, the court may find that there is no issue that will need the continuation of the proceedings. In this case, the court will adjudicate the case without employing a full-scale trial. The best example of this occurrence is where the allegation of one party is not denied by the other. So, if the plaintiff has forwarded his propositions which are found to be legally sufficient, the defendant is required to deny it so that an issue will be framed. However, if the defendant admits the material propositions of the plaintiff, it is said that parties are not at issue, and there is no need to adjourn the case. The court will at once give judgment. This happens when either the defendant has no good defence or when he intentionally admits.

But sometimes the parties may not be at issue on some points while they are at issue on others. In such cases, the court has to conduct a trial to decide on some matters on which the parties are at issue. Try to think examples of this type as much as you can.

Generally speaking, if it is found that the parties to a civil suit are not at issue, i.e. where there exists no point of departure between the parties, the court will adjudicate the case without a full-scale trial.

SUMMARY

In this chapter, we have discussed the rules on pleadings, the issue of summons and proceedings prior to trial. We said that the court will examine the statement of claim and of defence of the defendant if both parties appear.

If both parties or one of the parties fail to appear, then the effects of non-appearance will take place. If plaintiffs appear and defendant fails to appear, the suit will be proceeded ex-parte. If defendant appears and plaintiff fails to appear, the suit will be dismissed. If both plaintiff and defendant fail to appear, the suit will be struck out. Plaintiff whose suit is dismissed or struck out may petition to the court to continue the suit provided that he shows sufficient cause. Defendant who has also sufficient cause may apply for the setting aside of the ex-parte decree.

The court to clarify the controversial points examines the parties at the first hearing. At the first hearing, it will identify the issues and will proceed to the next stage of the proceedings, i.e., the trial. But before proceeding to the trial stage, the court has to make a ruling on preliminary objections if there are any. Preliminary objections must be raised at the earliest opportunity, i.e., at the first hearing. But, if the objection is such that it will prevent the rendering of a valid judgment, it may be decided at any stage in the proceedings.

The court may also adjudicate the suit before trial. Adjudication without trial could be possible under three situations. They are:

- 1) If the parties reach an agreement as to the issue that needs resolution and they submit their agreement to the court (Agreement on an issue Art. 252 Civil Procedure Code).
- 2) Where the parties are not at issue: there is no controversy between the parties that needs a full scale trial.
- 3) Where the evidence at hand is sufficient to dispose of the suit, full-scale trial will not be necessary.

SELF — CHECK EXERCISE

1. Discuss the situation when parties are at issue and not at issue.

2. How do you describe the significance of adjudication without trial?

3. The plaintiff alleges that he is a partner in a business with defendant and claims the recovery of his contributions and share of the profits. Defendant admitted that plaintiff is a partner in the business and had made contributions, but he cannot claim contributions and profit. Because defendant argued that plaintiff doesn't have a legal right to claim contributions and profit. Because defendant argued that plaintiff doesn't have a legal right to claim contributions, and as regards the profit, the business was at a loss.

Plaintiff did not disprove the defendant's allegation on the issue of loss. Are the parties at issue or not? If they are, what is the issue?

ANNEX I

PROCLAMATION No. 25/1996

FEDERAL COURTS PROCLAMATION

WHEREAS, in the Federal Democratic Republic of Ethiopia, judicial power is vested in both the Federal Government and the Regions,

WHEREAS, it is found necessary to determine the jurisdiction of the Federal Courts on the basis of the Constitution;

NOW, THEREFORE, in accordance with Article 55(1) of the constitution of the Federal Democratic Republic of Ethiopia, it is hereby proclaimed as follows:

PART ONE

General

1. Short Title

This Proclamation may be cited as the "Federal Courts Proclamation No. 25/1996."

2. Definitions

In this Proclamations:

- (1) "Officials of the Federal Government" means members of the House of Peoples' Representative and the House of the Federation, officials of the Federal Government above ministerial rank, ministers, judges of the Federal Supreme Court and other officials of the Federal Government of equivalent rank;
- (2) "Employees of the Federal Government" includes all employees, other than those referred to under sub-Article (1) hereof, engaged in the activities of the Federal Government
- (3) "Laws of the Federal Government" includes all previous laws in force which are not inconsistent with the Constitution and relating to matters that fall within the competence of the Federal Government as specified in the constitution;
- (4) "Federal Courts" means the Federal Supreme Court, the Federal High Court and the Federal First Instance Court;
- (5) "Person" means a natural or juridical Person.

PART TWO

Common Jurisdiction of Federal Courts

3. Principle

Federal Courts shall have jurisdiction over:

- (1) cases arising under the constitution, Federal Laws and International Treaties;
- (2) parties specified in Federal Laws;
- (3) places specified in the Constitution or in Federal Laws.

4. Criminal Jurisdiction

Federal Courts shall have jurisdiction over the following criminal cases:

- 1) offences against the constitutional order or against the internal security of the state;
- 2) offences against foreign states;
- 3) offences against the law of nations;
- 4) offences against the fiscal and economic interests of the
- 5) federal Government;
- 6) offences regarding forgery of instruments of the Federal Government;
- 7) offences regarding the security and freedom of one Region or at the international level;
- 8) offences against the safety of aviation;
- 9) offences regarding foreign nationals;
- 10) offences regarding illicit trafficking of dangerous drugs;
- 11) offences falling under the jurisdiction of courts of different Regions or under the jurisdiction of both the Federal Regional Courts as well as concurrent offences;
- 12) offences committed by officials and employees of the Federal Government in connection with their official responsibilities or duties.

5. Civil Jurisdiction

Federal Courts shall have jurisdiction over the following civil cases:

- 1) cases to which a Federal Government organ is a party;
- 2) suits between persons permanently residing in different regions;
- 3) cases regarding the liability of officials or employees of the Federal Government in connection with their official responsibilities or duties;

- 4) cases to which a foreign national is a party;
- 5) suits involving matters of nationality;
- 6) suits relating to business organization registered or formed under the jurisdiction of Federal Government organs;
- 7) suits regarding negotiable instruments;
- 8) suits relating to patent, literary and artistic- ownership rights;
- 9) suits regarding insurance policy;
- 10) application for Habeas Corpus.

6. Substantive Laws to be Applied by Federal Courts

1) Federal Courts shall settle cases or disputes, submitted to them within their jurisdiction on the basis of:

- (a) Federal laws and international treaties;
- (b) Regional laws where the cases relate to same;

2) Regional laws to be applied pursuant to sub-Article (1) (b) hereof shall not be applicable where they are inconsistent with Federal laws and international treaties.

3) Where a case brought before them gives rise to issues of Constitutional interpretation, Federal courts shall refer the case to the Council of Constitutional Inquiry prior to giving decision on the matter.

7. Procedural Laws to be Applied by Federal Courts

The Criminal and Civil Procedure Codes as well as other relevant laws in force shall apply with respect to matters not provided for under this Proclamation insofar as they are not inconsistent therewith.

PART THREE

Jurisdiction of the Federal Supreme Court

8. First Instance Jurisdiction of the Federal Supreme Court

The Federal Supreme Court shall have exclusive first instance jurisdiction over the following:

- 1) offence for which official of the Federal Government are held liable in connection with their official responsibility;
- 2) without prejudice to international diplomatic law and custom, offences for which foreign ambassadors, consuls as well as representatives of international organizations and foreign states are held liable;
- 3) application for change of venue from one federal High Court to another or to itself, in accordance with the law.

9. Appellate Jurisdiction of the Federal Supreme Court

The Federal Supreme Court shall have appellate jurisdiction over.

- 1) decisions of the Federal High Court rendered in its first instance jurisdiction;
- 2) decisions of the Federal High Court rendered in its appellate jurisdiction in variation of the decision of the Federal First Instance Court.

10. Power of Cassation of the Federal Supreme Court

In cases when they contain fundamental error of law, the Federal Supreme Court, shall have the power of cassation over:

- 1) final decisions of the Federal High Court rendered in its appellate jurisdiction;
- 2) final decisions of the regular division of the Federal Supreme Court;
- 3) final decisions of the Regional Supreme Court rendered as a regular division or in its appellate jurisdiction.

PART FOUR

Jurisdiction of the Federal High Court and First Instance Court

11. First Instance Civil Jurisdiction of the Federal High Court

- 1) The Federal High Court shall have first instance jurisdiction over the following civil cases involving an amount in excess of Birr five hundred thousand (5000,000);

(a) without prejudice to the jurisdiction of the Federal Supreme Court under article 8 of this Proclamation, federal civil cases submitted pursuant to Articles 3 and 5 herein;

(b) other civil cases arising in Addis Ababa and Dire Dawa.

2) Notwithstanding the provisions of sub-Article 1(a) hereof, the Federal High Court shall have first instance jurisdiction over the following civil cases:

(a) cases regarding private international law;

(b) cases regarding nationality;

(c) application regarding the enforcement of foreign judgments or decisions;

(d) applications for change of venue from one Federal First Instance Court to another or to itself, in accordance with the law.

12. First Instance Criminal Jurisdiction of the Federal High Court

The Federal High Court shall have first instance jurisdiction over the following criminal cases;

1) criminal cases specified under sub-Articles (1),(2), (3), (8) and (10) of article 4 hereof;

2) other criminal cases arising in Addis Ababa and Dire Dawa and falling under the jurisdiction of the High Court pursuant to other laws in force.

13. Appellate jurisdiction of the Federal High Court

The Federal High Court shall have appellate jurisdiction over decision of the Federal First Instance Court.

14. Civil Jurisdiction of the Federal First Instance Court

The Federal First Instance Court shall have jurisdiction over the following civil cases involving an amount not in excess of Birr five hundred thousand (500,000) or over civil case the value of which cannot be expressed in money:

1) without prejudice to the jurisdictions of the Federal Supreme court and High court under Article 8 and sub-Article (2) of Article 11 hereof, federal civil cases submitted pursuant to articles 3 and 5 of this Proclamations;

2) without prejudice to judicial power vested in other organs by law, other civil cases arising in Addis Ababa and Dire Dawa.

15. Criminal Jurisdiction of the Federal First Instance Court

The Federal First Instance Court shall have jurisdiction over the following criminal cases:

- 1) criminal cases specified under sub-Articles (4) (5) (6) (7) and (9) of article 4 hereof;
- 2) without prejudice to judicial power vested in other organs by law, other criminal cases arising in Addis Ababa and Dire Dawa as well as other criminal cases under the jurisdictions of Awraja and Woreda Courts pursuant to other laws in force.

PART FIVE

The Presidents of Federal Courts

16. Powers and Duties of the President of the Federal Supreme Court

- 1) The President of the Federal Supreme Court shall be responsible for the administration of Federal Courts in accordance with the law.
- 2) Without prejudice to the generality of sub-Article (1) hereof, the President of the Federal Supreme Court shall:
 - (a) in consultation with the Federal High Court and the Federal First Instance Court, place, assign and administer judges of federal Courts;
 - (b) in consultation with the Presidents of the Federal High Court and the Federal First Instance Court, employ personnel necessary for Federal Courts;
 - (c) prepare and submit to the House of Peoples' Representatives the work plan and budget of Federal Courts and implement same upon approval, forward his opinion on requests for budgetary subsidy to regional Courts exercising federal jurisdiction by delegation;
 - (d) cause the publication of the law journal of the Federal Supreme Court;
 - (e) cause the preparation of statements regarding the activities of Federal Courts and the submission of reports on the activities of regional courts concerning Federal cases as supported by statistical data;
 - (f) facilitate conditions for the education and training of judges and other personnel;
 - (g) in consultation with Regional Courts, work out ways for improving the records management and general practices of regional Courts as relating to federal cases heard thereat;

- (h) submit, to the House of Peoples' Representatives, researched reports on the judicial activities of Federal Courts;
- (i) cause the selection and publication of instructive judgments and decision of the year,
- (j) organize the public defence office;
- (k) perform such other duties as may be entrusted to him by law.

17. The Vice-President of the Federal Supreme Court

The Vice-President of the Federal Supreme Court shall:

- 1) discharge duties to be assigned to him by the President;
- 2) serve in the President's stead, while he is absent.

18. Powers and Duties of the Presidents of the Federal High Court and First Instance Court

The president of each Court shall:

- 1) represent the court;
- 2) administer personnel of the Court subject to directives to be given by the president of the Federal Supreme Court.
- 3) cause the preparation of statements, supported by statistical data, regarding the activities of the Court;
- 4) prepare and submit to the President of the Federal Supreme Court the work plan and budget of the Court and implement same upon approval;
- 5) cause the selection, and submission to the President of the Federal Supreme Court, of instructive judgments and decisions of the year;
- 6) submit to the President of the Federal Supreme Court periodic reports on the activities of the Court;
- 7) perform such other duties as may be entrusted to him by law.

PART SIX

Federal Court Structure land the Administration of Justice

19. Judges and Other Personnel of the Federal Supreme Court

- 1) The Federal Supreme Court shall have a President, a Vice - President and the necessary judges.
- 2) The Federal Supreme Court shall have the personnel necessary for its function.

20. Divisions of the Federal Supreme Court

- 1) The Federal Supreme Court shall have:
 - (a) a Civil Division;
 - (b) a Criminal Division; and
 - (c) a Labour Division.
- 2) There shall sit a presiding judge and two other judges, in each division.
- 3) The President or the Vice-President of the Federal Supreme Court may preside over any division.

21. Division with not less than five Judges

- 1) The President of the Federal Supreme Court may on his own initiative or suggestion by a division of the Federal Supreme Court or where one of the parties so petitions direct a case to be heard by a division with not less than five judges sitting.
- 2) Without prejudice to the provisions of sub-Article (1) of this Article, the following cases shall be heard by a division with not less than five judges sitting:
 - (a) cases falling under the first instance jurisdiction of the Federal Supreme Court;
 - (b) cases relating to a provision of law having caused a fundamental difference in interpretation amongst divisions of the Federal Supreme Court;
 - (c) cases referred to under article 10 of this Proclamation, where determined that they be heard in cassation.

22. Application Procedure for Cassation

- 1) A decision shall be heard in cassation by the Federal Supreme Court, pursuant to article 10 herein, subject to prior ruling as to the existence of fundamental error of law qualifying for cassation, by a division wherein three judges of the Federal Supreme Court sit.

2) The applicant for a hearing in cassation shall state the reasons for alleging the decision to contain a fundamental error of law.

3) The applicant shall together with his application submit a copy of the decision protested and of the decisions of lower courts.

4) An application for a hearing in cassation shall be made to the Federal Supreme Court within 90 days from the date on which the final decision protested is rendered.

23. Divisions of the Federal High Court and First Instance Court.

1) The Federal High Court and the Federal First Instance Court shall have:

(a) a Civil Division:

(b) a Criminal Division: and

(c) a Labour Division.

2) There shall sit a presiding judge and two other judges, in each division.

3) The President and Vice-President of the Federal High Court may preside over any division of their respective Courts.

24. Place of sittings

1) The Federal Supreme Court shall sit in Addis Ababa.

2) The Federal High Court and the Federal First Instance Court shall sit in Addis Ababa, Dire Dawa and in such other places as may be determined in accordance with Article 78 (2) of the Constitution.

3) A Federal Court of any level may, where it finds it necessary for the efficient rendering of justice, hold circuit hearings in any place within the Region or area designated for its jurisdiction.

25. Working Language of Federal Courts

1) Amharic shall be the working language of Federal Courts.

2) The Court shall provide an interpreter to a party who does not understand Amharic.

26. Open Hearing

1) All cases shall be heard in open court.

2) Notwithstanding the provisions of sub-Article (1) hereof and without prejudice to procedural laws relevant to adjudication, cases may be heard in camera in consideration of the following:

(a) public and state safety and security: or

(b) public morality and decency.

27. Withdrawal of Judges

1) No judge of a Federal Court shall sit in any case where:

(a) he is related to one of the parties or the advocate thereof by consanguinity or by affinity;

(b) the dispute relates to a case in which one of the parties is a person for whom he acted as tutor, legal representative or advocate;

(c) he has previously acted in some capacity in connection with the case or the subject matter of the dispute;

(d) he has a case pending in court with one of the parties or the advocate thereof;

(e) there are sufficient reasons, other than those specified under sub-Article (1) (a) to (d) hereof, to conclude that injustice may be done.

2) The Judge concerned shall withdraw as soon as he is aware that he should not sit, in accordance with sub-Article (1) hereof, and shall be replaced by another judge.

28. *Application for Removal of a Judge*

1) Where a party to a case is of the opinion that a judge should not sit for one of the reasons specified in Article 27 hereof, he shall submit a written application to the court requesting that the judge be removed.

2) The application shall be made before the trial opens or soon after the party becomes aware of the reason for making such an application.

3) Where the judge is sitting alone he shall, after considering the application, either withdraw or refer the matter for decision to another division of the same court or, where there is no other division, to the court in which appeal lies from the decision of his court.

4) Where the judge is sitting with other judges, he shall withdraw and the remaining judge or judges shall hear the application and give a decision thereon.

5) A decision given under sub-Articles (3) and (4) hereof shall be final and subject to no appeal.

6) A judge shall forthwith comply with a decision given under this Article.

29. *Costs of Application*

The costs of application under Article 28 hereof shall form part of the costs in the case. Where the application is dismissed, however, the costs shall be borne by the applicant irrespective of the outcome of the case.

30. Penalty for Application Without Good Case

Where a party makes an application under Article 28 hereof without good case the court may, in addition to dismissing the application, impose a fine not exceeding Birr five hundred (500).

PART SEVEN

The Plenum of the Federal Supreme Court

31. Plenum of the Federal Supreme Court

The Federal Supreme Court shall have a Federal Supreme Court Plenum (hereinafter "the Plenum.")

32. Members of the Plenum

- 1) The members of the Plenum shall be the President, the Vice-President and judges of the Federal Supreme Court, the Presidents of the Federal High Court and the Federal First Instance Court and the Presidents of Regional Supreme Courts.
- 2) The Minister of Justice shall participate in the sessions of the Plenum without, however, having the right to vote.
- 3) Judges not referred to under sub-Article (1) hereof and representatives of appropriate government offices, associations, organizations, law faculties, and scientific institution or other individuals may be invited to participate in the Plenum without, however, having the right to vote.

33. Powers and Duties of the Plenum

The Plenum shall have the following powers and duties:

- 1) to deliberate on problems encountered in the administration of justice and work out remedies thereto;
- 2) to examine and approve directives and decisions that help improve the judicial practices of Federal Courts;

- 3) to submit proposals to the House of Peoples' Representatives for the enactment of new laws or the amendment of existing ones;
- 4) to perform such other functions as help to make the judiciary efficient and strong; and
- 5) to issue regulations necessary for the proper carrying out of its duties.

34. Working Procedure of the Plenum

- 1) The President of the Federal Supreme Court shall be the Chairman of the Plenum.
- 2) The Plenum shall designate its own secretary.
- 3) The plenum shall convene once a year, additional meetings may be called as necessary.
- 4) Two-thirds of members of the Plenum shall constitute a quorum. Decisions shall be adopted by a majority vote; in case of a tie, the Chairman shall have a casting vote.

PART EIGHT

Miscellaneous Provisions

35. Decisions and Orders of Federal Courts

- 1) Federal Courts of any level may order that decisions and orders given by them be enforced by Regional Courts.
- 2) Where two or more Regional or Federal Courts claim or disclaim jurisdiction over a case, the Federal Supreme Court shall give the appropriate order thereon.

36. Pending Cases

Cases pending in Central Courts as well as in the Courts of Region 14 and Dire Dawa, prior to the coming into force of this Proclamation, shall be transferred to the Federal Courts having jurisdiction pursuant to provisions herein.

37. Repealed and Inapplicable Laws

- 1) The Central Government Courts Establishment Proclamation No. 40/1993 (as amended) is hereby repealed.
- 2) Any law inconsistent or dealing with matters provided for under this proclamation shall be inapplicable.

38. Effective Date

This Proclamation shall come into force as of the 15th day of February, 199.

Done at Addis Ababa, this 15th day of February, 1996.

NEGASO GIDADA (DR.)

PRESIDENT OF THE FEDERAL DEMOCRATIC REPUBLIC OF ETHIOPIA